

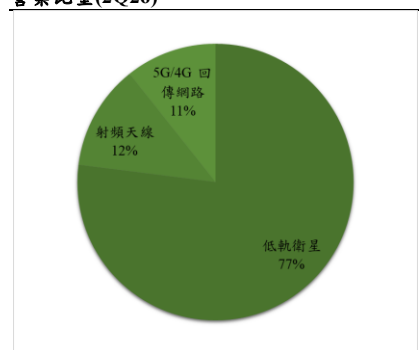
2026/08/07

潛在漲幅	14.2%
前日收盤價	1,350.00 元
目標價	1,560.00 元
前次目標價	1,850.00 元
前次評等	增加持股

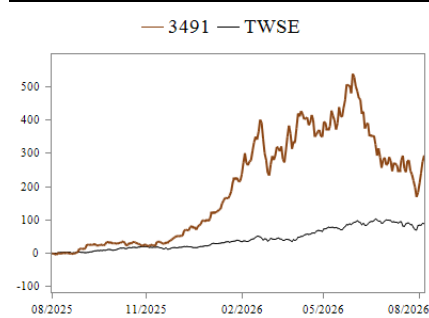
公司基本資訊

目前股本(百萬元)	688
市值(億元)	929
目前每股淨值(元)	50.64
外資持股比(%)	32.00
董監持股比(%)	8.73

營業比重(2Q26)



個股與大盤走勢(%)



賴彥維

Benson.lai@ctbcasis.com

通信網路

維持評等

昇達科 (3491 TT)

增加持股(Overweight)

客戶產品調整暫告段落，然 LEO 營收展望遜於預期

- 2Q26 財報符合預期，2H26 營運回升
- 客戶產品調整暫告段落，然低軌營收展望遜於先前預期
- 新產品太赫茲傳輸模組有望於 2026 年底量產

2Q26 財報符合預期：昇達科技於 8/6 舉行法說會，先前已公告 2Q26 自結損益，營收 9.02 億元(QoQ-12%，YoY+76%)低於市場共識，主因低軌衛星客戶產品調整導致以生產產品並未出貨認列營收，毛利率 55.6%亦低於市場共識，主因為低軌衛星營收比重下降，惟客戶有支付產品調整相關補償，EPS 4.47 元，僅略低於原先市場預期約 4.9 元。

低軌衛星逆風緩解，然展望低於先前預期：目前低軌衛星客戶產品調整已告一段落，預期 8 月起出貨逐步回歸正常，2H26 營收預期將回升，將帶動毛利率成長，同時營收規模有望使營業費用率下降。然公司預期 2H26 低軌衛星營收較 1H26 成長 20%以上，低於先前預期，且目前在手訂單約 7~8 億元，較上一季 18 億明顯減少，整體展望較為遜色。雖然我們認為在手訂單減少主因客戶下長單時間主要落在 4Q26，然公司低軌衛星營收展望不如預期，因此我們下修公司營收及獲利預估。

新產品有望於 2026 年底量產：公司於 7 月宣布取得巨頻科技 51% 股權，於 8 月完成交割，預期 2026 年受惠併表將貢獻約 3~4 億營收，公司透過併購強化高頻通訊技術。其中，公司開發太赫茲(THz)傳輸模組有望切入 AI 資料中心，可應用於機櫃間高速互聯，可作為如光通訊、CPO 的替代方案，解決散熱問題及降低成本，預期 2026 年底有望進入量產。

評價：我們認為低軌衛星產業長期展望仍向，SpaceX 近期財報會議針對 Starlink 及 Starship 皆持正向態度，因此我們仍維持增加持股投資建議，目標價 1,560 元(2027 年 EPS x 45 倍 PER)。

風險因子：低軌衛星發射進度不如預期。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	1,838	1,585	2,335	2,452	4,476	7,749
營業毛利淨額	751	641	1,198	1,254	2,605	4,900
營業利益	292	202	622	574	1,432	3,064
稅後純益	271	200	547	518	1,316	2,384
公告基本 EPS(元)	4.36	3.20	8.59	7.83	--	--
調整後 EPS(元)	4.36	3.18	8.56	7.53	19.12	34.65
營業收入 YoY(%)	4.51%	-13.74%	47.30%	5.02%	82.53%	73.13%
稅後純益 YoY(%)	14.52%	-26.16%	173.28%	-5.22%	153.81%	81.19%
本益比	29.03	49.05	37.30	86.26	70.60	38.96
本淨比	4.00	4.80	8.36	12.85	20.43	16.32
股息(元)	3.96	3.35	6.49	6.80	17.21	31.18
殖利率(%)	2.58%	1.12%	1.80%	0.52%	1.27%	2.31%
ROE(%)	13.69%	9.94%	24.26%	17.09%	32.23%	46.56%

2026/08/07

圖表一、季度財報與預估差異

損益表 (單位：百萬元)	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	902	1,141	-20.9%	1,028	-12.3%	1,112	1,244	-10.6%	1,174	-5.3%
營業毛利	502	704	-28.8%	613	-18.2%	636	775	-18.0%	716	-11.1%
營業利益	241	406	-40.5%	332	-27.3%	349	454	-23.1%	406	-14.0%
稅前純益	356	426	-16.5%	366	-2.7%	416	474	-12.2%	428	-2.7%
稅後淨利	308	339	-9.1%	310	-0.6%	324	377	-14.0%	349	-7.0%
EPS(元)	4.47	4.92	-9.1%	4.25	5.3%	4.71	5.48	-14.0%	4.91	-4.1%
財務比率(%/百分點)										
毛利率	55.6%	61.7%	-6.1 ppts	59.6%	-4.0 ppts	57.2%	62.3%	-5.1 ppts	61.0%	-3.7 ppts
營益率	26.8%	35.6%	-8.8 ppts	32.3%	-5.5 ppts	31.4%	36.5%	-5.1 ppts	34.6%	-3.2 ppts
稅後淨利率	34.1%	29.7%	4.5 ppts	30.1%	4.0 ppts	29.2%	30.3%	-1.2 ppts	29.7%	-0.5 ppts

資料來源：CMoney、Bloomberg，中信投顧整理

圖表二、預估財報調整表

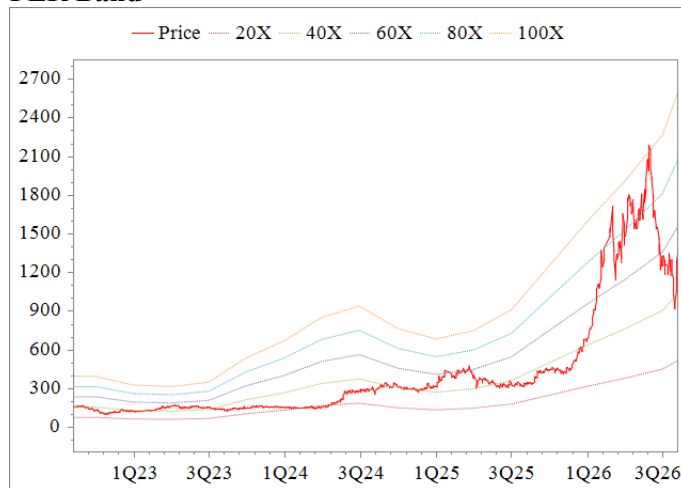
損益表 (單位：百萬元)	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	4,476	4,778	-6.3%	4,688	-4.5%	7,749	7,280	6.4%	7,900	-1.9%
營業毛利	2,605	2,926	-11.0%	2,860	-8.9%	4,900	4,726	3.7%	5,176	-5.3%
營業利益	1,432	1,678	-14.7%	1,612	-11.2%	3,064	2,944	4.1%	3,351	-8.6%
稅前純益	1,638	1,743	-6.0%	1,703	-3.8%	3,144	3,024	4.0%	3,397	-7.4%
稅後淨利	1,316	1,386	-5.1%	1,380	-4.7%	2,384	2,404	-0.8%	2,684	-11.2%
EPS(元)	19.12	20.14	-5.1%	19.85	-3.7%	34.65	34.94	-0.8%	41.19	-15.9%
財務比率(%/百分點)										
毛利率	58.2%	61.2%	-3.0 ppts	61.0%	-2.8 ppts	63.2%	64.9%	-1.7 ppts	65.5%	-2.3 ppts
營益率	32.0%	35.1%	-3.1 ppts	34.4%	-2.4 ppts	39.5%	40.4%	-0.9 ppts	42.4%	-2.9 ppts
稅後淨利率	29.4%	29.0%	0.4 ppts	29.4%	0.0 ppts	30.8%	33.0%	-2.3 ppts	34.0%	-3.2 ppts

資料來源：CMoney、Bloomberg，中信投顧整理

2026/08/07

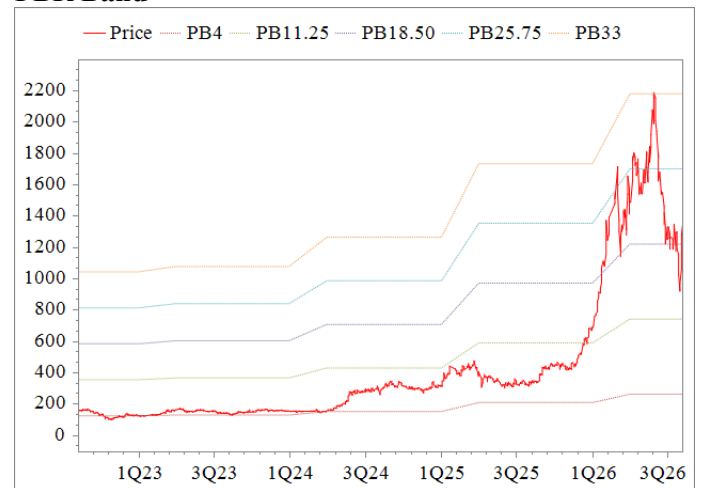
(百萬元)	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	1,020	902	1,112	1,442	1,707	1,793	2,034	2,214
營業成本	429	401	475	566	654	679	733	783
營業毛利	592	502	636	876	1,053	1,114	1,302	1,431
營業費用	278	260	287	348	409	427	481	519
營業利益	314	241	349	528	644	687	821	913
營業外收支淨額	5	114	67	20	20	20	20	20
稅前純益	318	356	416	548	664	707	841	933
所得稅	65	48	85	112	136	145	172	191
稅後純益	253	308	324	430	499	533	639	713
調整後 EPS(元)	3.68	4.47	4.71	6.26	7.25	7.75	9.29	10.36
毛利率(%)	57.98%	55.60%	57.23%	60.75%	61.69%	62.13%	63.99%	64.64%
營業利益率(%)	30.74%	26.77%	31.42%	36.60%	37.72%	38.32%	40.34%	41.22%
稅後純益率(%)	24.81%	34.13%	29.16%	29.85%	29.22%	29.73%	31.43%	32.18%
營業收入								
QoQ(%)	22.25%	-11.58%	23.23%	29.73%	18.37%	5.05%	13.46%	8.85%
YoY(%)	64.51%	75.60%	129.71%	72.81%	67.33%	98.79%	83.02%	53.55%
營業利益								
QoQ(%)	36.31%	-23.02%	44.64%	51.14%	21.98%	6.71%	19.44%	11.23%
YoY(%)	88.12%	157.97%	315.58%	129.39%	105.28%	184.57%	134.99%	72.93%
稅後純益								
QoQ(%)	17.14%	21.61%	5.30%	32.80%	15.86%	6.89%	19.92%	11.46%
YoY(%)	77.11%	333.22%	267.20%	99.22%	97.05%	73.19%	97.22%	65.52%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

個股報告



中國信託證券投顧
CTBC SECURITIES INVESTMENT SERVICE

2026/08/07

資產負債表

(百萬元)	2022	2023	2024	2025	1Q26
資產總計	3,451	3,400	4,283	5,195	5,726
流動資產	2,219	2,078	2,434	2,518	2,800
現金及約當現金	964	731	1,247	1,276	1,313
應收帳款與票據	569	432	806	795	896
存貨	235	161	222	241	284
採權益法之投資	4	3	4	196	195
不動產、廠房設備	903	934	1,205	1,810	1,985
負債總計	1,064	937	1,771	1,578	2,242
流動負債	997	848	776	1,368	2,023
應付帳款及票據	137	157	224	241	313
非流動負債	67	89	995	210	218
權益總計	2,387	2,463	2,513	3,618	3,485
普通股股本	622	629	639	688	688
保留盈餘	556	531	595	815	656
母公司業主權益	1,968	2,058	2,449	3,618	3,485
負債及權益總計	3,451	3,400	4,283	5,195	5,726

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	1,585	2,335	2,452	4,476	7,749
營業成本	944	1,137	1,198	1,870	2,848
營業毛利淨額	641	1,198	1,254	2,605	4,900
營業費用	439	576	679	1,173	1,836
營業利益	202	622	574	1,432	3,064
EBITDA	350	803	734	1,668	3,144
業外收入及支出	97	127	67	206	80
稅前純益	299	749	641	1,638	3,144
所得稅	58	162	122	311	645
稅後純益	200	547	518	1,316	2,384
公告基本 EPS(元)	3.20	8.59	7.83	--	--
調整後 EPS(元)	3.18	8.56	7.53	19.12	34.65

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	1Q26
營業活動現金	420	527	713	471	182
稅前純益	416	299	749	641	318
折舊及攤銷	77	83	88	113	32
營運資金變動	-44	232	-368	9	-71
其他營運現金	-28	-87	244	-292	-97
投資活動現金	231	-376	-160	-817	-240
資本支出淨額	-60	-93	-532	-727	-228
長期投資變動	280	-303	373	-18	-6
其他投資現金	10	21	-1	-72	-7
籌資活動現金	-284	-380	-46	400	65
長借/公司債變動	0	0	1,175	140	0
現金增資	0	0	0	0	0
發放現金股利	-300	-249	-214	-430	0
其他籌資現金	16	-132	-1,007	690	65
淨現金流量	364	-233	515	30	37
期初現金	600	964	731	1,247	1,276
期末現金	964	731	1,247	1,276	1,313

資料來源：中信、CMoney

比率分析

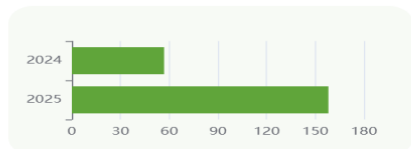
(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-13.74%	47.30%	5.02%	82.53%	73.13%
營業毛利淨額	-14.62%	86.88%	4.65%	107.78%	88.09%
營業利益	-30.77%	207.11%	-7.61%	149.31%	113.97%
稅後純益	-25.65%	143.12%	-11.52%	153.81%	81.19%
獲利能力分析(%)					
毛利率	40.44%	51.31%	51.13%	58.21%	63.24%
EBITDA(%)	22.10%	34.39%	29.93%	37.27%	40.58%
營益率	12.77%	26.63%	23.43%	32.00%	39.55%
稅後純益率	15.22%	25.13%	21.17%	29.39%	30.76%
ROE(%)	9.94%	24.26%	17.09%	32.23%	46.56%

ESG 資訊-環境保護(Environmental)

溫室氣體(範疇一/二)排放量

範疇一

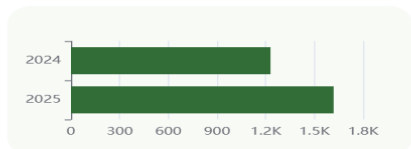
158.09 (YOY) 178.08% ▲



確信機構：-
確信標準：-
確信意見：-

範疇二

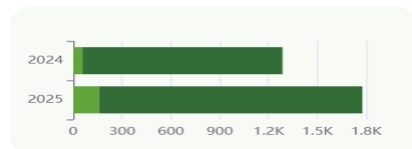
1,618.61 (YOY) 31.65% ▲



確信機構：-
確信標準：-
確信意見：-

總排放量

1,776.7 (YOY) 38.12% ▲



單位：公噸CO₂e

用水量

用水量

14,372 (YOY) 29.49% ▲

全市場平均

2,118,167.19

(YOY) 16.72% ▲

產業平均

20,861.71

(YOY) 3.51% ▲



溫室氣體排放密集度

密集度

0.98 (YOY) 12.64% ▲

全市場平均

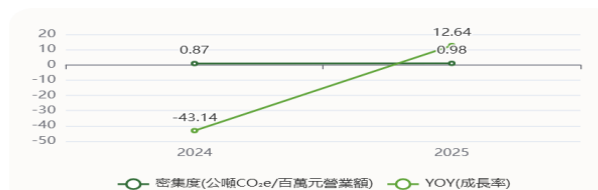
47.18

(YOY) -2.29% ▼

產業平均

43.19

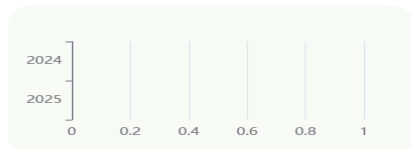
(YOY) -2.13% ▼



廢棄物量

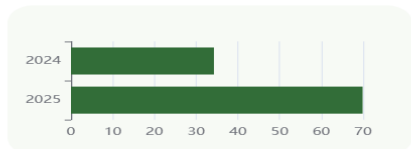
有害廢棄物

0 (YOY) NA -



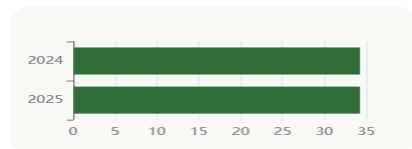
非有害廢棄物

69.89 (YOY) 104% ▲



廢棄物總量

69.89 (YOY) 104% ▲



單位：公噸(t)

再生能源使用率

使用率

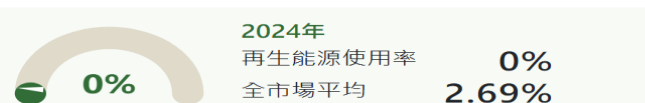
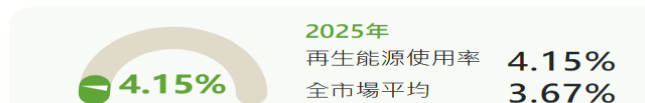
4.15% (YOY) NA -

全市場平均使用率

3.67% (YOY) 36.44% ▲

產業平均使用率

0.43% (YOY) -59.24% ▼



密集度

溫室氣體排放密集度

0.98

用水密度

7.96

廢棄物密集度

0.039

ESG 資訊-環境保護(Environmental)

女性主管占比

占比
4.56

(YOY) -15.56% ▼

全市場平均占比
27.87

(YOY) 1.49% ▲

產業平均占比
25.05

(YOY) 0.25% ▲



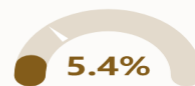
2025年

女性主管占比

4.56%

全市場平均

27.87%



2024年

女性主管占比

5.4%

全市場平均

27.46%

員工薪資年度趨勢

員工薪資平均數

1,070

去年同期

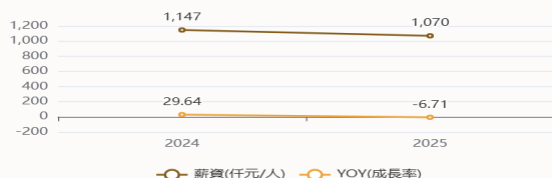
1,147

(YOY) -6.71% ▼

同產業薪資

1,041.96

(YOY) 1.09% ▲



非擔任主管職務之全時員工薪資

平均數

852

(YOY) -4.27% ▼

中位數

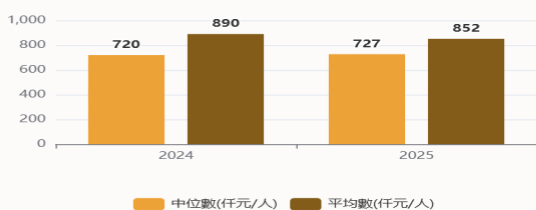
727

(YOY) 0.97% ▲

差異

0.15

(YOY) -23.19% ▼



平均員工福利費用

平均費用

1,226

(YOY) -6.2% ▼

全市場平均

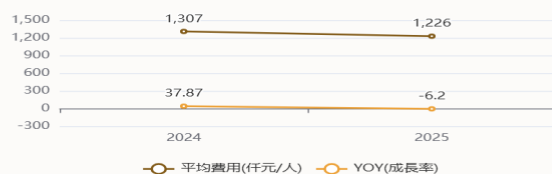
1,285.83

(YOY) 2.45% ▲

產業平均

1,235.78

(YOY) 1.82% ▲



職業災害人數

人數

0

(比率) 0% -

全市場平均人數

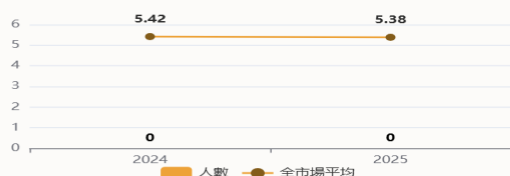
5.38

(YOY) -0.71% ▼

產業平均人數

0.72

(YOY) 84.87% ▲



火災死傷人數與件數

人數

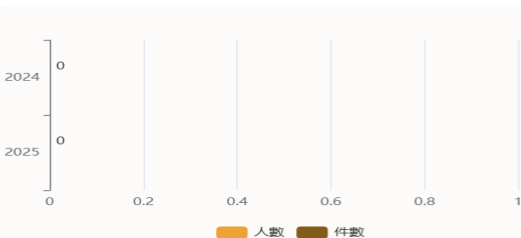
NA

(YOY) NA -

件數

NA

(YOY) NA -



ESG 資訊-公司治理(Governance)

獨立董事vs.董事席次占比

董事數
8

(YOY) 0% -

獨立董事數
4

(YOY) 0% -

非獨立董事數
4

(YOY) 0% -



2025年
董事席次占比
50%
全市場平均 41.34%



2024
董事席次占比
50%
全市場平均 40.61%

女性董事席次

人數

3

(YOY) 50% ▲

全市場平均

1.75

(YOY) 12.24% ▲

產業平均

1.7

(YOY) 15.14% ▲



董事之董事會出席率

出席率

100%

(YOY) 3.22% ▲

全市場平均

95.24%

(YOY) 0.06% ▲

產業平均

94.9%

(YOY) 0.86% ▲



薪酬委員會席次vs.獨立董事席次

薪酬委員會席次
4

(YOY) 0% -

獨立董事數
4

(YOY) 0% -

非獨立董事數
0

(YOY) NA -



2025年
董事席次占比
100%
全市場平均 98.67%



2024
董事席次占比
100%
全市場平均 94.99%

薪酬委員會、審計委員會出席率

薪酬委員會出席率 100%

(YOY) 9.09% ▲

審計委員會出席率 100%

(YOY) 5.89% ▲



董事進修符合進修要點比率

進修率

100%

(YOY) 0% -

全市場平均進修率 94.16%

(YOY) 1.48% ▲

產業平均進修率 93.38%

(YOY) 1.03% ▲



法說會次數

次數

11

(YOY) 37.5% ▲

全市場平均次數 2.41

(YOY) 6.77% ▲

產業平均次數 2.19

(YOY) 48.25% ▲



投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

本報告係本公司於特定日期就現有資訊所提出，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，本公司將不做預告或更新；而且本報告並非依特定投資目的或特定對象之財務狀況所完成，因此，本報告之目的並非針對客戶於買賣證券、選擇權、期貨或其他證券相關商品提供詢價或推介服務，亦非進行交易之要約。本公司出具之短、中、長期策略性報告所做出之投資分析與建議，亦可能會隨市場波動隨時調整，而與個股研究報告之意見未必一致。投資人應自行考量本身之需求、投資風險及承受度，並就投資結果自行負責，本公司不做任何獲利保證，亦不就投資盈虧負擔任何法律責任。非經本公司同意，任何人不得將本報告加以引用或轉載。

中國信託金融控股(股)公司旗下子公司暨關係企業（以下稱“中信金集團”）從事廣泛金融業務，包括但不限於銀行、信託、證券經紀、證券承銷、保險、證券投資信託、全權委託投資、自有資金投資等。中信金集團對於本報告所涵蓋之標的公司可能有投資或其他的業務往來關係。中信金集團及其所屬員工，可能會投資本報告所涵蓋之標的公司，或以該等公司為標的的衍生性金融商品，而其交易的方向與本報告中所提及的交易方向可能不一致。中信金集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性金融商品之標的。中信金集團轄下的銷售人員、交易員及其他業務人員可能會為他們客戶或自營部門提供口頭或書面的市場看法或交易策略，然該等看法與策略可能與本報告的意見不盡一致。中信金集團之自營、資產管理及其他投資業務所做之投資決策也可能與本報告所做的建議或看法不一致。

中國信託證券投資顧問股份有限公司

台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988

營業執照字號：114 金管投顧新字第 014 號

2026/08/07

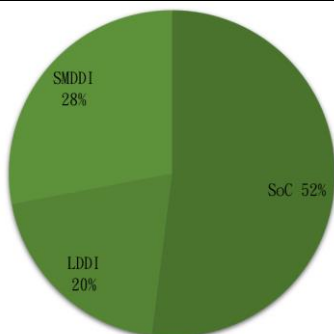
天下 CSR 評選企業
臺灣 ESG 永續指數成分股

潛在漲幅	7.55%
前日收盤價	543 元
目標價	584 元
前次目標價	550 元
前次評等	增加持股

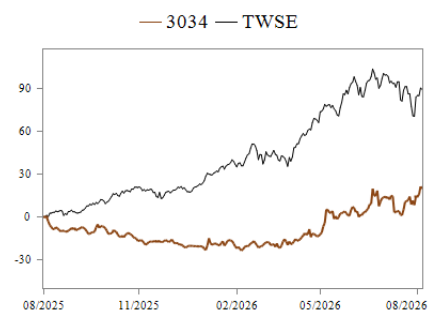
公司基本資訊

目前股本(百萬元)	6,085
市值(億元)	3,304
目前每股淨值(元)	113.33
外資持股比(%)	41.91
董監持股比(%)	1.78

營業比重(2Q26)



個股與大盤走勢(%)



許哲豪

jeff.syu@ctbcasis.com

IC 設計驅動 IC

聯詠 (3034 TT)

調降評等 (DG)

中立(Neutral)

進入手機備貨旺季，營運持續成長

- 2Q26 營收及毛利率超越財測指引，優於市場預期
- 3Q26 財務指引營收及毛利率優於預期
- ASIC 業務及手機 OLED DDIC 營收貢獻未來可期

2Q26 營收及毛利率超越財測指引，優於市場預期：公司於 2026 年 8 月 7 日舉行法說會，2Q26 營收 286.6 億元(QoQ+23.8%，YoY+9.6%)，毛利率 42.42%(QoQ+3.36ppts，YoY+6.12ppts)，營業利益率為 22.56%(QoQ+5.16ppts，YoY+4.12ppts)，稅後淨利 63.3 億元(QoQ+68%，YoY+69.2%)，單季 EPS 為 10.40 元。2Q26 營收、毛利率及營業利益率表現皆超越財測指引上緣，主要受益於較低的庫存成本貢獻、因原物料及 OSAT 封測成本上漲，調漲產品售價，以及有利的產品組合，毛利較佳之 SoC 產品線營收較前季 44% 上升至 52%，三大產品線業務皆呈現持續成長。

3Q26 財務指引營收及毛利率優於預期：公司 3Q26 財務指引營收 300 億至 312 億(以新台幣兌美元匯率 32 元計算)、毛利率 38.5%至 41.5%、營業利益率 19%至 22%。3Q26 指引毛利率雖因低價庫存及預期產品組合影響不如 2Q26，但仍優於市場以及我們所預估。展望 2H26 消費性電子產品的需求開始出現減緩，因系統廠已完成提前拉貨，但 3Q26 手機客戶備貨需求轉強以及 Edge AI 影像視覺晶片出貨持續成長，預期營收仍成長，此外在 3Q26 原物料及封測成本仍持續上漲，公司產品售價持續做出相應調整，維持毛利率韌性。

ASIC 業務及手機 OLED DDIC 營收貢獻未來可期：公司表示驅動 IC 產品線 ASIC 專案持續與客戶做不同應用的開發，包括手機、穿戴裝置、電競、車用，以及 IT 產品，而在 SoC 方面，持續佈局 Edge AI 或是 AI Agents 等機器視覺應用產品，應用包含智能家居、有 AI 功能的 NVR、智慧眼鏡、無人機以及安防監控系統等。手機 OLED DDIC 方面，公司已切入國際大客戶，現出貨進展順利，此外，在手機應用外的產品開發也持續進行。公司對 ASIC 相關業務及手機 OLED DDIC 營收貢獻持樂觀看法，為未來重要成長動能之一。

我們預估 2026、2027 年 EPS 分別為 35.85、36.53 元，我們基於 2027 預估 EPS x 16 倍本益比，目標價為 584 元，評價合理，調降評等至中立持股之投資評等建議。**風險因子：**消費性市場需求不如預期、Edge AI 成長力道放緩。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	109,957	110,429	102,788	100,663	113,034	119,109
營業毛利淨額	50,941	46,212	41,472	37,908	46,394	48,739
營業利益	32,729	26,662	21,806	18,237	23,628	25,042
稅後純益	27,970	23,318	20,342	16,348	21,815	22,232
公告基本 EPS(元)	45.96	38.32	33.43	26.87	--	--
調整後 EPS(元)	45.96	38.32	33.43	26.87	35.85	36.53
營業收入 YoY(%)	-18.77%	0.43%	-6.92%	-2.07%	12.29%	5.37%
稅後純益 YoY(%)	-28.04%	-16.63%	-12.76%	-19.64%	33.45%	1.91%
本益比	5.39	11.59	13.63	13.33	15.15	14.86
本淨比	2.30	4.02	4.08	3.22	4.37	4.17
股息(元)	37.00	32.00	28.00	23.00	30.47	31.05
殖利率(%)	8.59%	5.30%	5.24%	4.24%	5.61%	5.72%
ROE(%)	41.13%	35.12%	30.11%	24.10%	30.45%	28.72%

2026/08/07

圖表一、季度財報與預估差異

損益表 (單位：百萬元)	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	28,660	28,260	1.4%	27,980	2.4%	31,188	29,707	5.0%	28,828	8.2%
營業毛利	12,157	11,347	7.1%	11,138	9.1%	12,881	11,749	9.6%	11,330	13.7%
營業利益	6,466	5,545	16.6%	5,226	23.7%	6,730	5,576	20.7%	5,478	22.8%
稅前純益	7,782	5,969	30.4%	5,645	37.8%	7,198	6,022	19.5%	5,875	22.5%
稅後淨利	6,328	5,014	26.2%	4,640	36.4%	6,003	5,058	18.7%	4,907	22.3%
EPS(元)	10.40	8.24	26.2%	7.64	36.1%	9.87	8.31	18.8%	8.14	21.3%
財務比率(%/百分點)										
毛利率	42.4%	40.2%	2.3 ppts	39.8%	2.6 ppts	41.3%	39.5%	1.8 ppts	39.3%	2.0 ppts
營益率	22.6%	19.6%	2.9 ppts	18.7%	3.9 ppts	21.6%	18.8%	2.8 ppts	19.0%	2.6 ppts
稅後淨利率	22.1%	17.7%	4.3 ppts	16.6%	5.5 ppts	19.2%	17.0%	2.2 ppts	17.0%	2.2 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

圖表二、年度財報與預估差異

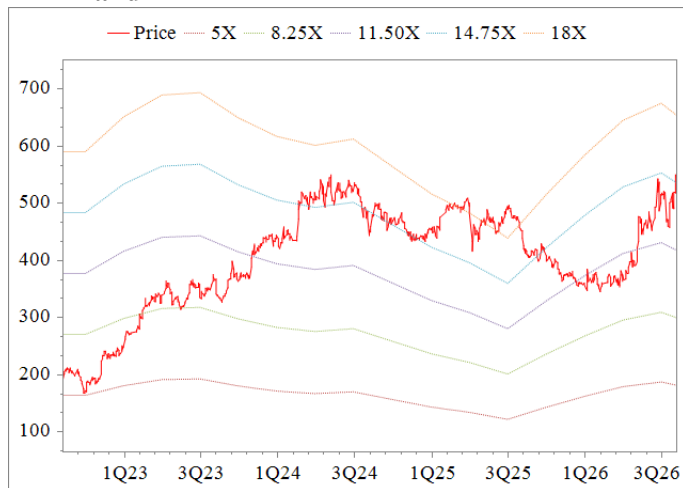
損益表 (單位：百萬元)	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	113,034	109,908	2.8%	107,356	5.3%	119,109	119,130	0.0%	116,832	1.9%
營業毛利	46,394	43,426	6.8%	42,287	9.7%	48,739	47,175	3.3%	46,240	5.4%
營業利益	23,628	20,493	15.3%	19,996	18.2%	25,042	22,396	11.8%	22,386	11.9%
稅前純益	26,224	22,156	18.4%	21,402	22.5%	26,737	24,183	10.6%	23,834	12.2%
稅後淨利	21,815	18,691	16.7%	17,816	22.4%	22,232	20,193	10.1%	19,869	11.9%
EPS(元)	35.85	30.72	16.7%	29.03	23.5%	36.53	33.18	10.1%	32.22	13.4%
財務比率(%/百分點)										
毛利率	41.0%	39.5%	1.5 ppts	39.4%	1.7 ppts	40.9%	39.6%	1.3 ppts	39.6%	1.3 ppts
營益率	20.9%	18.6%	2.3 ppts	18.6%	2.3 ppts	21.0%	18.8%	2.2 ppts	19.2%	1.9 ppts
稅後淨利率	19.3%	17.0%	2.3 ppts	16.6%	2.7 ppts	18.7%	17.0%	1.7 ppts	17.0%	1.7 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

2026/08/07

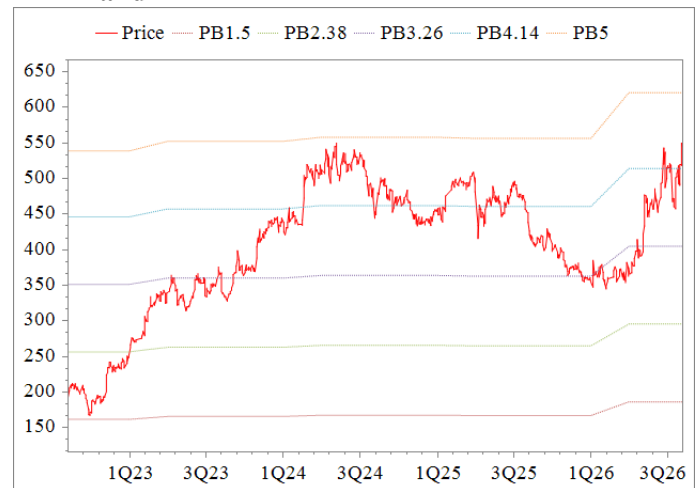
(百萬元)	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	23,145	28,660	31,188	30,040	27,556	29,427	31,372	30,754
營業成本	14,105	16,503	18,307	17,724	16,721	17,244	18,321	18,083
營業毛利	9,040	12,157	12,881	12,316	10,835	12,183	13,051	12,671
營業費用	5,012	5,691	6,150	5,912	5,503	5,850	6,240	6,105
營業利益	4,028	6,466	6,730	6,405	5,332	6,333	6,811	6,566
營業外收支淨額	362	1,316	468	451	413	412	439	431
稅前純益	4,389	7,782	7,198	6,855	5,745	6,745	7,250	6,997
所得稅	622	1,454	1,195	1,138	968	1,136	1,222	1,179
稅後純益	3,767	6,328	6,003	5,717	4,777	5,608	6,028	5,818
調整後 EPS(元)	6.19	10.40	9.87	9.40	7.85	9.22	9.91	9.56
毛利率(%)	39.06%	42.42%	41.30%	41.00%	39.32%	41.40%	41.60%	41.20%
營業利益率(%)	17.40%	22.56%	21.58%	21.32%	19.35%	21.52%	21.71%	21.35%
稅後純益率(%)	16.28%	22.08%	19.25%	19.03%	17.34%	19.06%	19.22%	18.92%
營業收入								
QoQ(%)	1.44%	23.83%	8.82%	-3.68%	-8.27%	6.79%	6.61%	-1.97%
YoY(%)	-14.66%	9.59%	26.92%	31.66%	19.06%	2.68%	0.59%	2.38%
營業利益								
QoQ(%)	4.30%	60.54%	4.09%	-4.84%	-16.75%	18.77%	7.55%	-3.60%
YoY(%)	-29.29%	34.06%	74.50%	65.86%	32.39%	-2.06%	1.20%	2.52%
稅後純益								
QoQ(%)	2.10%	67.98%	-5.13%	-4.77%	-16.44%	17.39%	7.49%	-3.50%
YoY(%)	-28.43%	69.23%	64.26%	54.95%	26.82%	-11.37%	0.42%	1.76%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/08/07

資產負債表

(百萬元)	2022	2023	2024	2025	2Q26
資產總計	100,546	104,443	102,401	97,366	119,088
流動資產	79,884	81,048	79,041	73,540	89,516
現金及約當現金	49,171	53,889	48,771	42,419	53,990
應收帳款與票據	15,765	16,935	20,274	21,099	20,396
存貨	12,029	8,551	8,701	8,641	13,310
採權益法之投資	--	--	--	--	--
不動產、廠房設備	7,052	6,876	7,023	7,210	7,233
負債總計	34,976	37,226	34,477	29,627	50,127
流動負債	24,432	25,739	24,364	19,851	40,237
應付帳款及票據	6,684	9,568	10,635	9,352	13,243
非流動負債	10,544	11,487	10,113	9,775	9,889
權益總計	65,570	67,217	67,923	67,739	68,961
普通股股本	6,085	6,085	6,085	6,085	6,085
保留盈餘	56,268	57,072	57,990	57,298	53,731
母公司業主權益	65,570	67,217	67,923	67,739	68,961
負債及權益總計	100,546	104,443	102,401	97,366	119,088

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	110,429	102,788	100,663	113,034	119,109
營業成本	64,217	61,315	62,755	66,640	70,370
營業毛利淨額	46,212	41,472	37,908	46,394	48,739
營業費用	19,550	19,666	19,671	22,765	23,698
營業利益	26,662	21,806	18,237	23,628	25,042
EBITDA	28,337	24,144	19,851	24,675	23,822
業外收入及支出	1,569	2,320	1,296	2,596	1,695
稅前純益	28,231	24,126	19,534	26,224	26,737
所得稅	4,914	3,784	3,186	4,409	4,505
稅後純益	23,318	20,342	16,348	21,815	22,232
公告基本 EPS(元)	38.32	33.43	26.87	--	--
調整後 EPS(元)	38.32	33.43	26.87	35.85	36.53

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	2Q26
營業活動現金	22,691	29,981	16,652	13,629	4,948
稅前純益	34,511	28,231	24,126	19,534	7,782
折舊及攤銷	1,233	1,340	1,314	1,336	361
營運資金變動	784	7,092	-5,433	-2,047	-2,529
其他營運現金	-13,837	-6,681	-3,354	-5,193	-665
投資活動現金	-2,867	-1,702	-849	-1,232	139
資本支出淨額	-1,022	-897	-1,229	-1,211	-186
長期投資變動	-258	-201	-223	-154	-65
其他投資現金	-1,586	-604	603	134	390
籌資活動現金	-30,807	-23,552	-20,956	-18,741	-22
長借/公司債變動	0	0	0	0	0
現金增資	0	0	0	0	0
發放現金股利	-31,338	-22,515	-19,472	-17,038	0
其他籌資現金	531	-1,037	-1,484	-1,703	-22
淨現金流量	-10,958	4,719	-5,119	-6,352	5,070
期初現金	60,129	49,171	53,889	48,771	48,920
期末現金	49,171	53,889	48,771	42,419	53,990

資料來源：中信、CMoney

比率分析

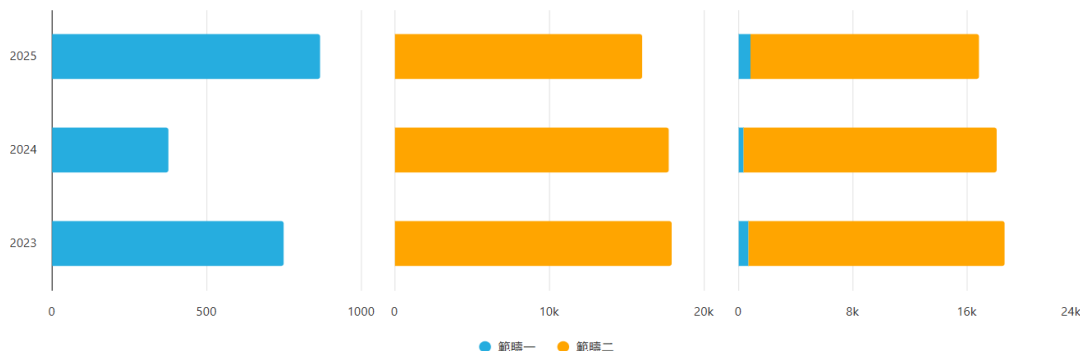
(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	0.43%	-6.92%	-2.07%	12.29%	5.37%
營業毛利淨額	-9.28%	-10.26%	-8.59%	22.39%	5.06%
營業利益	-18.54%	-18.21%	-16.37%	29.56%	5.98%
稅後純益	-16.63%	-12.76%	-19.64%	33.45%	1.91%
獲利能力分析(%)					
毛利率	41.85%	40.35%	37.66%	41.04%	40.92%
EBITDA(%)	25.66%	23.49%	19.72%	21.83%	20.00%
營益率	24.14%	21.21%	18.12%	20.90%	21.02%
稅後純益率	21.12%	19.79%	16.24%	19.30%	18.66%
ROE(%)	35.12%	30.11%	24.10%	30.45%	28.72%

2026/08/07

ESG 資訊-環境保護(Environment)

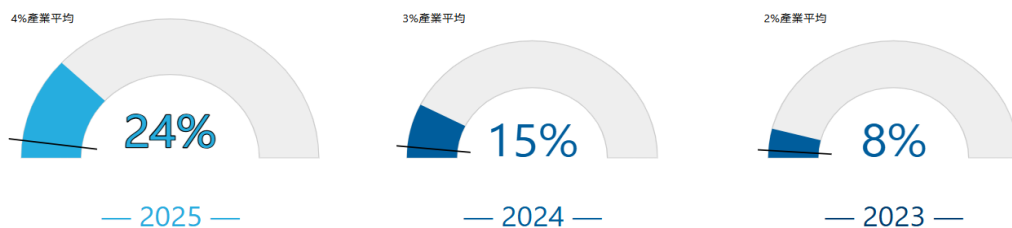
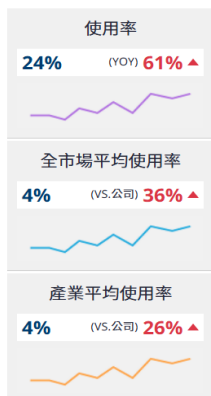
溫室氣體(範疇一/二)排放量

2025

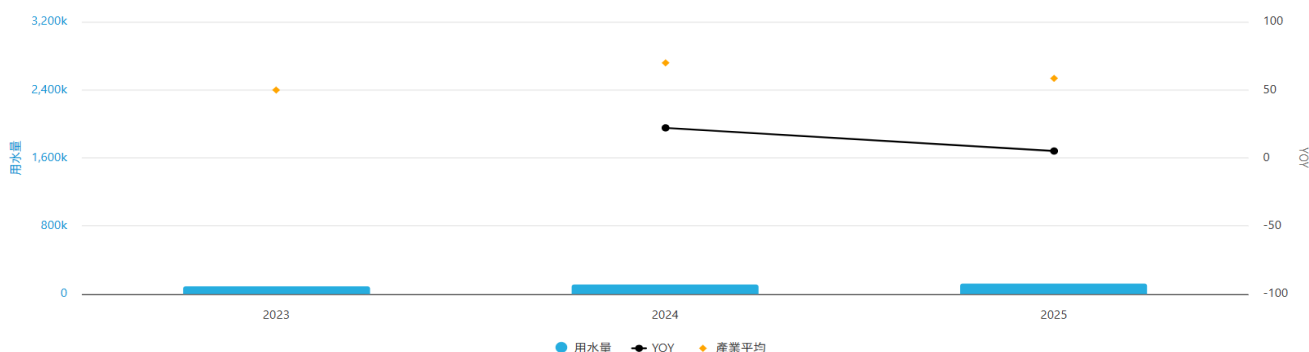


再生能源使用率

2025



用水量

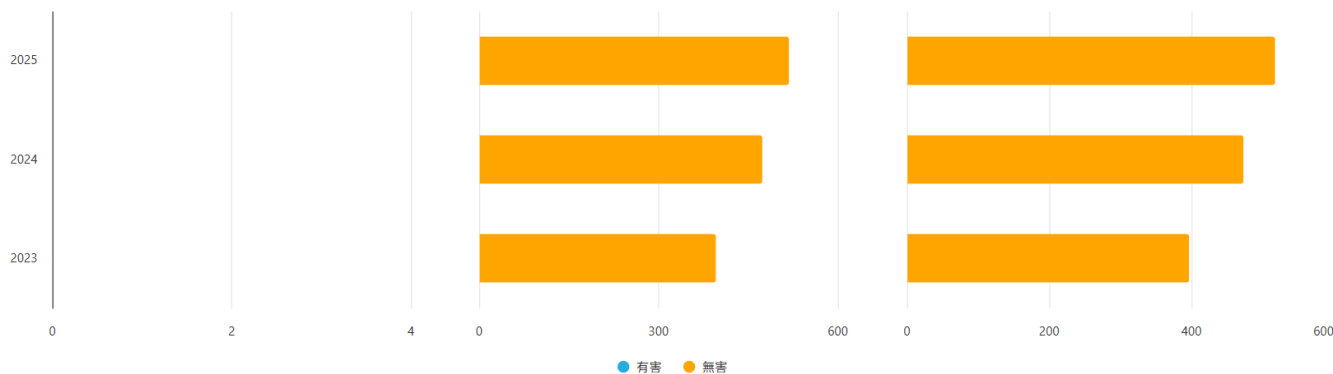


2025



2026/08/07

廢棄物量



2025



密集度

2025

溫室氣體排放密集度

17.733

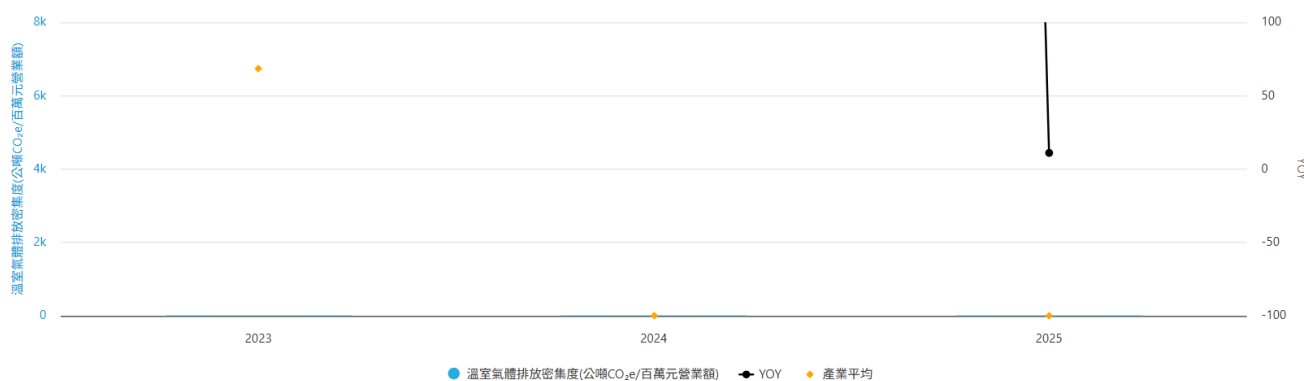
用水密集度

1.145

廢棄物密集度

0.005

溫室氣體排放密集度(公噸CO₂e/百萬元營業額)



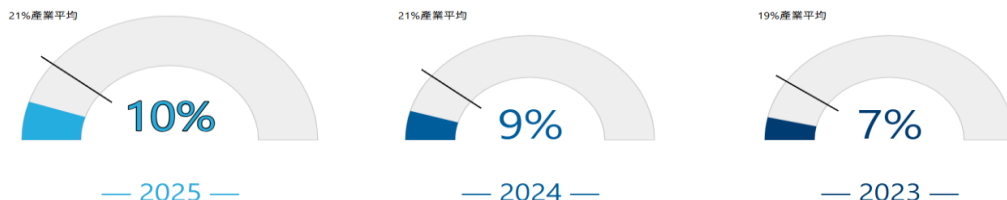
2025



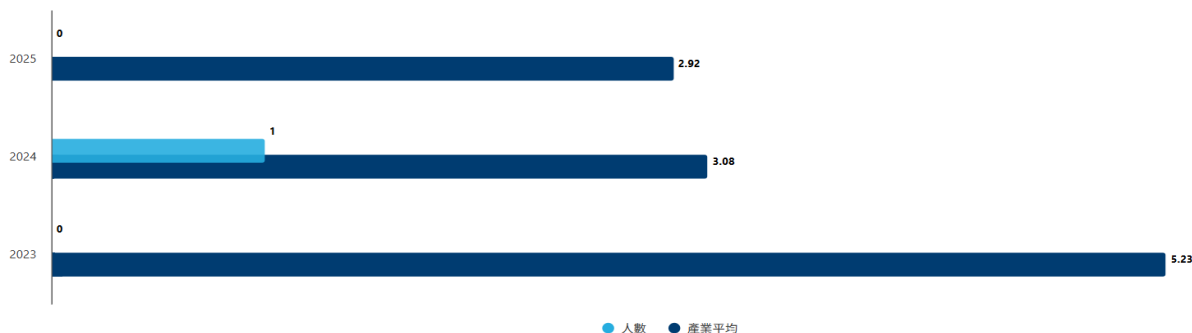
ESG 資訊-社會責任(Social)

管理職女性主管占比

2025



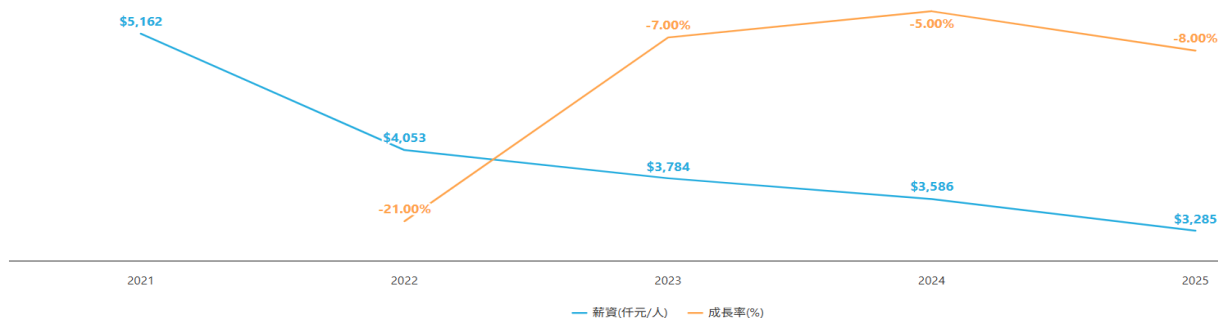
職業災害人數



2025



員工薪資年度趨勢

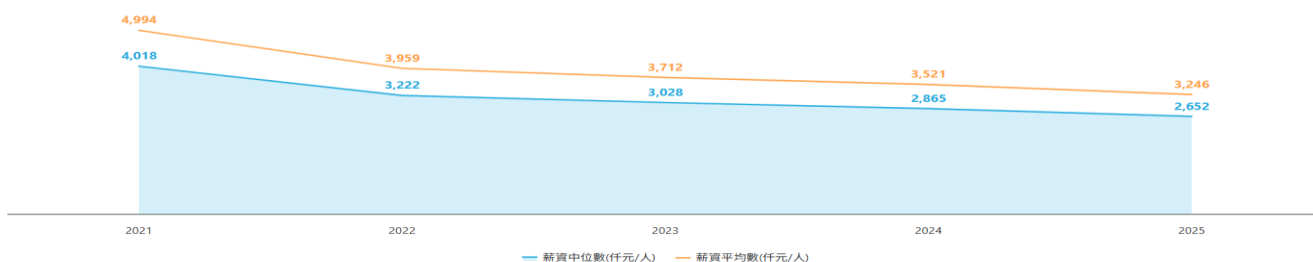


2025



2026/08/07

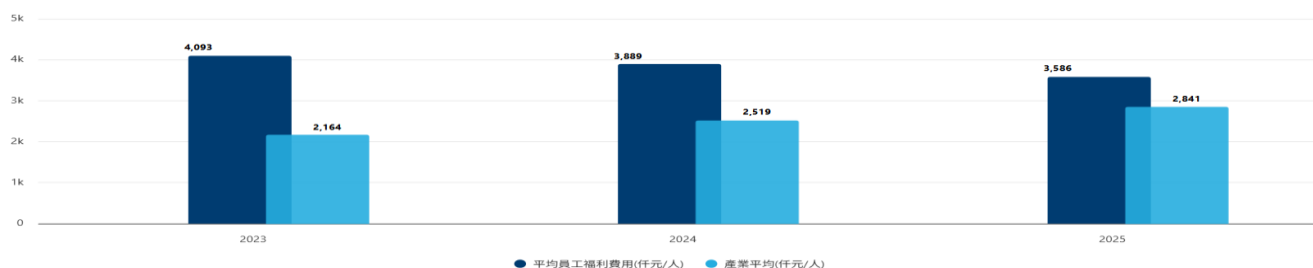
非擔任主管職務之全時員工薪資



2025



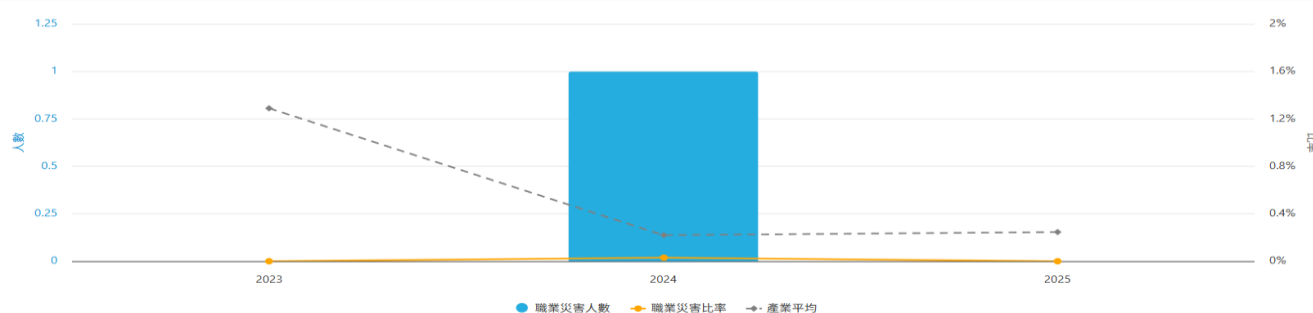
平均員工福利費用



2025



職業災害人數與比率



火災件數與死傷人數



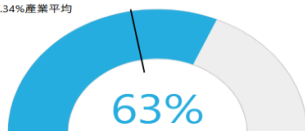
ESG 資訊-公司治理 (Governance)

獨立董事vs.董事席次占比

2025

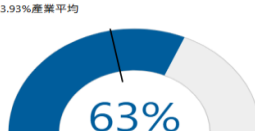


44.34%產業平均



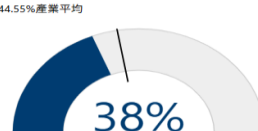
— 2025 —

43.93%產業平均



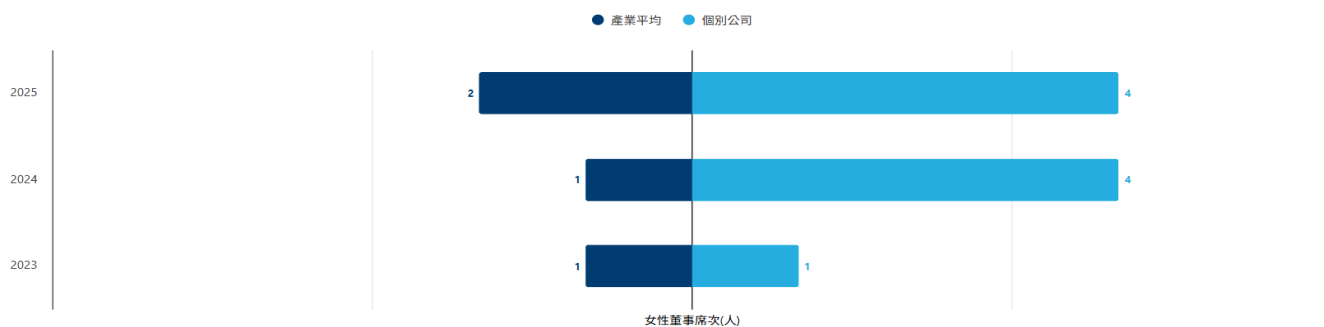
— 2024 —

44.55%產業平均



— 2023 —

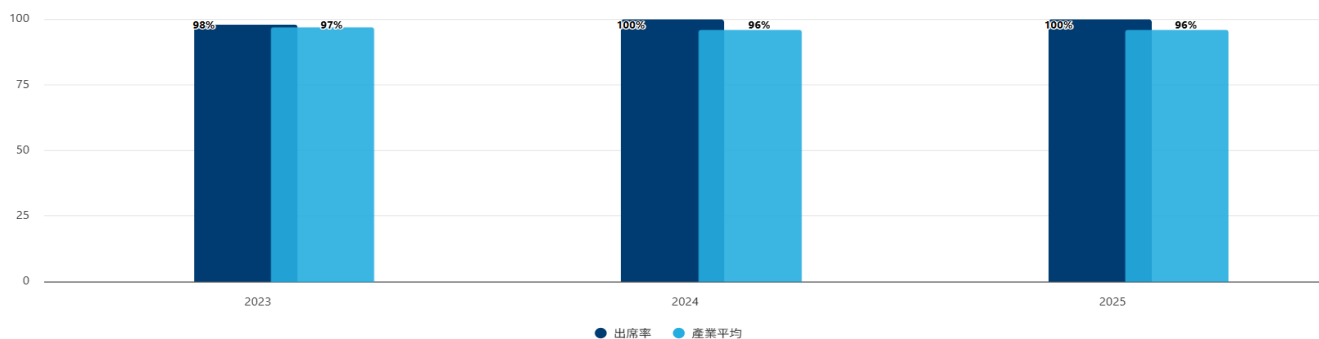
女性董事席次



2025



董事之董事會出席率



2025



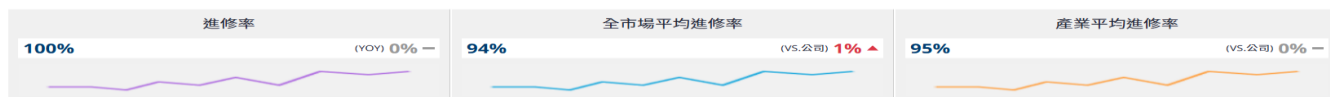
2026/08/07

董事進修符合進修要點比率

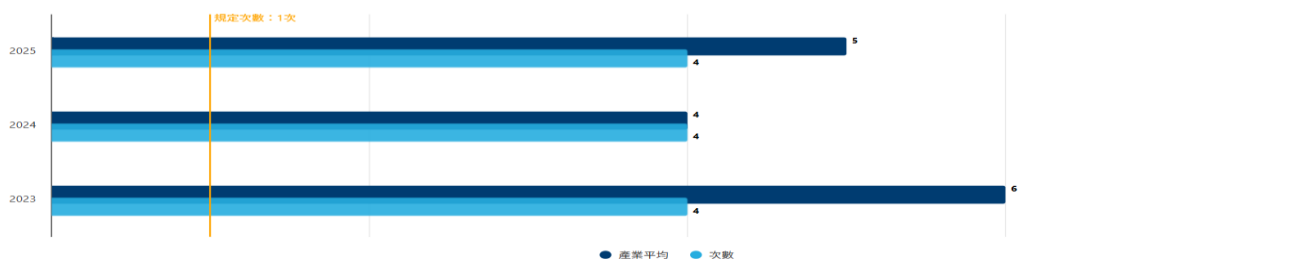


內圈:個別公司 外圈:產業平均

2025



法說會次數



2025



薪酬委員會出席率

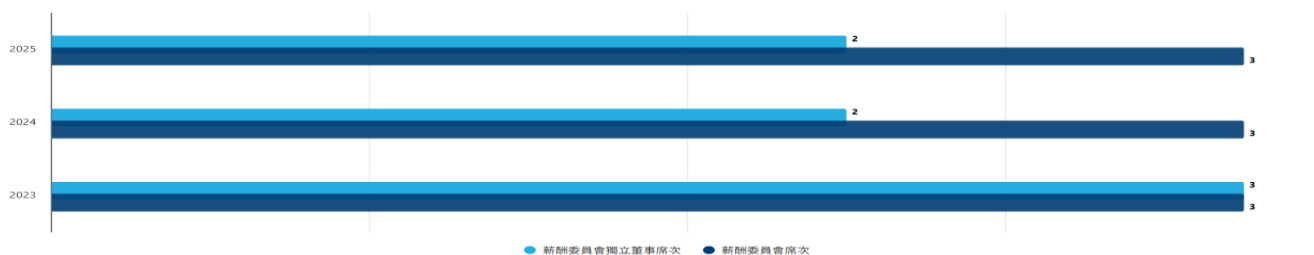


內圈:個別公司出席率 外圈:產業平均

2025



薪酬委員會席次



資料來源：證交所

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

本報告係本公司於特定日期就現有資訊所提出，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，本公司將不做預告或更新；而且本報告並非依特定投資目的或特定對象之財務狀況所完成，因此，本報告之目的並非針對客戶於買賣證券、選擇權、期貨或其他證券相關商品提供詢價或推介服務，亦非進行交易之要約。本公司出具之短、中、長期策略性報告所做出之投資分析與建議，亦可能會隨市場波動隨時調整，而與個股研究報告之意見未必一致。投資人應自行考量本身之需求、投資風險及承受度，並就投資結果自行負責，本公司不做任何獲利保證，亦不就投資盈虧負擔任何法律責任。非經本公司同意，任何人不得將本報告加以引用或轉載。

中國信託金融控股(股)公司旗下子公司暨關係企業（以下稱“中信金集團”）從事廣泛金融業務，包括但不限於銀行、信託、證券經紀、證券承銷、保險、證券投資信託、全權委託投資、自有資金投資等。中信金集團對於本報告所涵蓋之標的公司可能有投資或其他的業務往來關係。中信金集團及其所屬員工，可能會投資本報告所涵蓋之標的公司，或以該等公司為標的的衍生性金融商品，而其交易的方向與本報告中所提及的交易方向可能不一致。中信金集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性金融商品之標的。中信金集團轄下的銷售人員、交易員及其他業務人員可能會為他們客戶或自營部門提供口頭或書面的市場看法或交易策略，然該等看法與策略可能與本報告的意見不盡一致。中信金集團之自營、資產管理及其他投資業務所做之投資決策也可能與本報告所做的建議或看法不一致。

中國信託證券投資顧問股份有限公司

台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988

營業執照字號：114 金管投顧新字第 014 號

2026/08/07

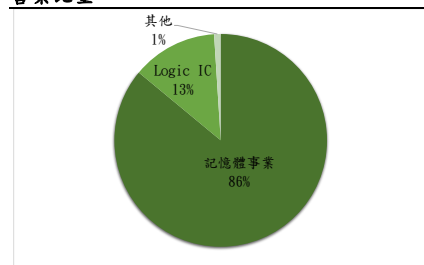
臺灣 ESG 永續指數成分股

潛在漲幅	19.3%
前日收盤價	171.00 元
目標價	204.00 元
前次目標價	116.00 元
前次評等	增加持股

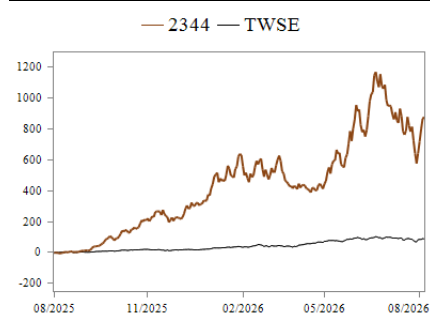
公司基本資訊

目前股本(百萬元)	45,000
市值(億元)	7,695
目前每股淨值(元)	36.67
外資持股比(%)	17.51
董監持股比(%)	29.59

營業比重



個股與大盤走勢(%)



徐千智
Chienchih.hsu@ctbcis.com

記憶體

維持評等

華邦電 (2344 TT)

增加持股(Overweight)

高雄廠 Module B 第一階段將於 2029 年底開始量產

- 2Q26 記憶體事業毛利率 70.3%
- 公司持續擴充利基型 DRAM 及 SLC NAND 產能
- 2026 年資本支出調整為 395 億元，高雄廠 24K 產能計畫不變

2Q26 稅後 EPS 為 5.40 元：華邦電 08/06 舉辦法說會，受惠記憶體業務成長帶動，2Q26 合併營收 598.43 億元(QoQ+56.4%)，合併毛利率增為 66.3%，營利率由前季 32.8%跳升至 48.4%，稅前淨利為 300.18 億元(QoQ+136.6%)，稅後 EPS 為 5.40 元，優於市場預期的 4.79 元。記憶體業務 2Q26 營收 517.0 億元(QoQ+86.4%)，產能利用率維持接近滿載，其中 CMS(客製化記憶體)營收 315.4 億元(QoQ+75.7%)，Flash 營收 201.6 億元(QoQ+68.5%)，毛利率由前季 56.6%增為 70.3%，營業淨利率為由 42.%增為 56.9%。整體而言，財報略優於預期。

公司認為 2027 年記憶體供需更將吃緊：在市場及營運展望方面，公司表示 NOR Flash 供不應求持續，推升價格上升至 2026 年以後。SLC NAND 供給緊縮，配合客戶強勁設計需求，價格漲勢延續至 2H26。全球 DRAM 供給緊俏，大廠持續縮減 DDR4 位元出貨量，3Q26 合約價仍可進一步上漲，AI 需求強化 2H26~2027 年市場正向展望。AI 基礎建設成為記憶體新的成長引擎，公司有信心獲利逐季成長，LTA 覆蓋率提升，將可強化公司長期供應韌性及訂單能見度。此外，預期 CUBE 及 Si-Cap 成為 2027 年後之新一波成長動能。

2026 年資本支出調整為 395 億元(YoY+618%)：2026 年以現金基礎之資本支出由 405 億元調整為 395 億元(其中生產設備占 95%)。高雄廠 Module A 之 DRAM 月產能將由目前 15K 逐步到 2026 年底的 24K，位元成長率超過 100%。高雄廠 Module B 潔淨室面積大一倍，預計最大可提供 50~60K 月產能，未來以生產 16/14/12nm 製程 DRAM 為主，第一階段將於 2027/01 月動工，2029/01 月開始裝機，最快 2029 年底量產，並可望有 LTA 涵蓋產能。第二階段計畫導入 EUV，14nm DRAM 將會有 EUV 及無 EUV 版本。

考量 2026 及 2027 年獲利仍將隨記憶體報價上漲及位元產出增加而成長，故投資建議維持為增加持股，目標價為 204.0 元(2027 年 PERx4.5 倍)。**風險因子：**利基型記憶體市場供不應求狀況反轉。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	94,530	75,006	81,610	89,406	261,628	459,722
營業毛利淨額	43,051	22,396	24,001	31,196	173,499	299,368
營業利益	16,535	-1,630	507	5,534	133,554	255,141
稅後純益	12,927	-1,147	601	3,962	107,693	203,763
公告基本 EPS(元)	3.25	-0.29	0.14	0.88	--	--
調整後 EPS(元)	3.25	-0.27	0.13	0.88	23.93	45.28
營業收入 YoY(%)	-5.06%	-20.65%	8.80%	9.55%	192.63%	75.72%
稅後純益 YoY(%)	-4.91%	--	--	559.22%	2,618.19%	89.21%
本益比	5.78	-104.45	105.16	93.37	7.15	3.78
本淨比	0.79	1.37	0.72	3.43	3.82	2.54
股息(元)	1.00	0.00	0.00	0.50	6.00	11.32
殖利率(%)	3.59%	0.00%	0.00%	0.52%	3.51%	6.62%
ROE(%)	14.64%	-1.23%	0.65%	3.97%	69.57%	80.67%

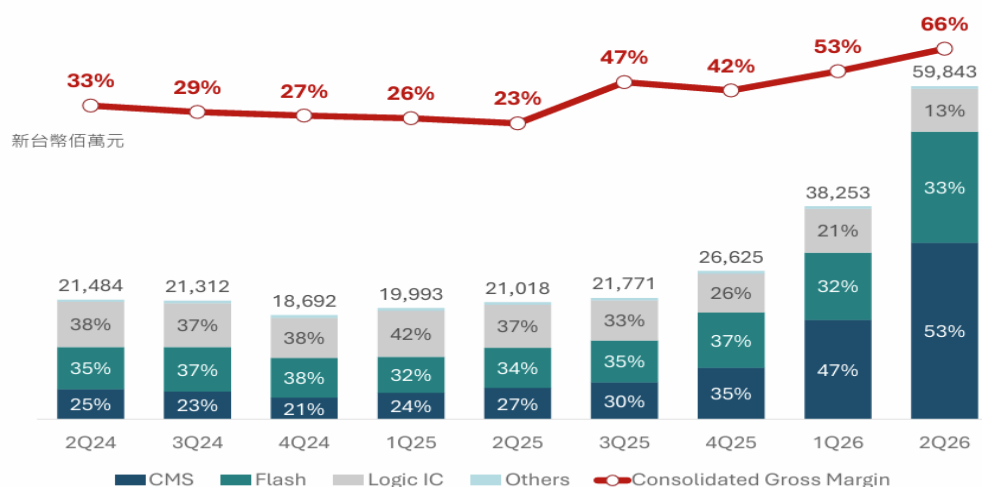
2026/08/07

CMS 及 Flash 在 2Q26 營收皆為季增表現：CMS 業務在 2Q26 受惠於需求強勁及產品組合優化，季營收占比增為 53%(見圖表一)，營收季增 75.7%，續創近兩年單季新高，位元出貨量季減 10%，主要是調整客戶出貨，ASP 季增約 100%。產品線製程方面，20nm DRAM 營收持續成長，在 2Q26 占 CMS 營收比重由 68%增為 71%，且目前仍有部分庫存可銷售至年底，16nm 目前約占高雄廠 15K 中的 2K 月產能，預計 2027 年擴產後，將占 24K 中的 16K，使位元成長率超過 100%。未來台中廠只會保留少部分約 7K 的 DRAM 產能。此外，在 Si-Cap 方面，公司製程為堆疊式矽電容，相較於傳統 MLCC 具有更輕薄及高精準度優勢，可以與先進封裝搭配，產品性價比高，先前投資 40 億元之產能目前已全數售罄。

Flash 業務在 2Q26 營收占比增為 33%，營收季增 68.5%，主要是大容量 NOR Flash 及 SLC NAND 產品線出貨持續提升，整體位元出貨量季增中十位數百分比，ASP 季增低四十位數百分比。產品線方面，主流 NOR Flash 製程之 58nm 占比降至 50%，用於穿戴式裝置之 45nm NOR Flash 出貨穩定，在 2Q26 占 Flash 營收占比降至 3%。NAND(46nm、32nm 及 24nm 製程)占比由 32%提升至 41%，公司維持 2026 年位元成長率將超過 20%，2027 年超過 40%看法不變。由於大廠陸續退出 2D NAND 市場，使供給減少，公司將會透過積極擴充 F24 製程機台因應，預期一年內 SLC NAND 的位元成長率將超過 80%，最快在 2027 年公司將成為全球最大 SLC NAND 供應商，公司不生產 eMMC 且認為 eMMC 有 20%需求轉至使用 SLC NAND。NOR Flash 營運方面，公司表示身為產業龍頭，價格策略以持穩為主，並不會因為缺貨而大幅漲價。

2Q26 記憶體應用方面，PC 增為 15%(增加 2ppts)，公司表示過往以搭配 HDD 為主，但隨陸續送樣給 eSSD 客戶，預期未來應用於 eSSD 之 DRAM 占比將持續提升，預期將占 CMS 營收由 0%增為 10%、消費性電子降至 28%(減少 2ppts)、車用及工業用降至 28%(減少 2ppts)，公司仍看好未來在車用及工控 IOT 應用市場需求、通訊增為 29%(增加 2ppts)，主要是增加在低軌衛星相關之 Router 供應鏈。

圖表一、合併之產品別營收及毛利率走勢



資料來源：公司，中信投顧整理

2026/08/07

圖表二、季度預估差異

損益表 (單位：百萬元)	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	59,843	56,025	6.8%	57,269	4.5%	77,614	70,009	10.9%	73,561	5.5%
營業毛利	39,645	37,153	6.7%	37,294	6.3%	53,211	47,043	13.1%	51,361	3.6%
營業利益	28,979	28,741	0.8%	27,823	4.2%	42,601	38,233	11.4%	40,485	5.2%
稅前純益	30,018	28,781	4.3%	28,290	6.1%	42,587	38,219	11.4%	41,035	3.8%
稅後淨利	24,317	22,845	6.4%	21,033	15.6%	33,900	30,405	11.5%	28,665	18.3%
EPS(元)	5.40	5.08	6.4%	4.79	12.8%	7.53	6.76	11.5%	6.87	9.7%
財務比率(%/百分點)										
毛利率	66.2%	66.3%	-0.1 pts	65.1%	1.1 pts	68.6%	67.2%	1.4 pts	69.8%	-1.3 pts
營益率	48.4%	51.3%	-2.9 pts	48.6%	-0.2 pts	54.9%	54.6%	0.3 pts	55.0%	-0.1 pts
稅後淨利率	40.6%	40.8%	-0.1 pts	36.7%	3.9 pts	43.7%	43.4%	0.2 pts	39.0%	4.7 pts

資料來源：Cmoney、Bloomberg，中信投顧整理

圖表三、預估財報調整表

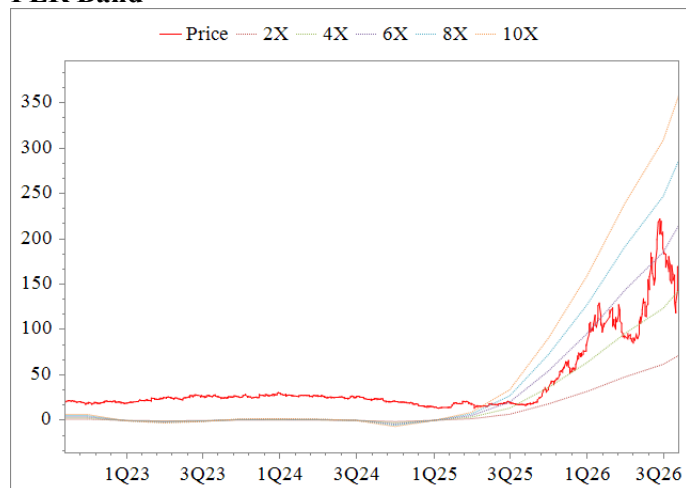
損益表 (單位：百萬元)	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	261,628	241,760	8.2%	254,862	2.7%	459,722	364,960	26.0%	404,078	13.8%
營業毛利	173,499	155,752	11.4%	170,131	2.0%	299,368	226,430	32.2%	280,745	6.6%
營業利益	133,554	121,962	9.5%	127,851	4.5%	255,141	189,683	34.5%	227,443	12.2%
稅前純益	134,696	122,105	10.3%	128,092	5.2%	255,491	190,033	34.4%	227,976	12.1%
稅後淨利	107,693	97,137	10.9%	99,281	8.5%	203,763	151,396	34.6%	168,973	20.6%
EPS(元)	23.93	21.59	10.9%	21.61	10.8%	45.28	33.64	34.6%	38.23	18.4%
財務比率(%/百分點)										
毛利率	66.3%	64.4%	1.9 pts	66.8%	-0.4 pts	65.1%	62.0%	3.1 pts	69.5%	-4.4 pts
營益率	51.0%	50.4%	0.6 pts	50.2%	0.9 pts	55.5%	52.0%	3.5 pts	56.3%	-0.8 pts
稅後淨利率	41.2%	40.2%	1.0 pts	39.0%	2.2 pts	44.3%	41.5%	2.8 pts	41.8%	2.5 pts

資料來源：Cmoney、Bloomberg，中信投顧整理

2026/08/07

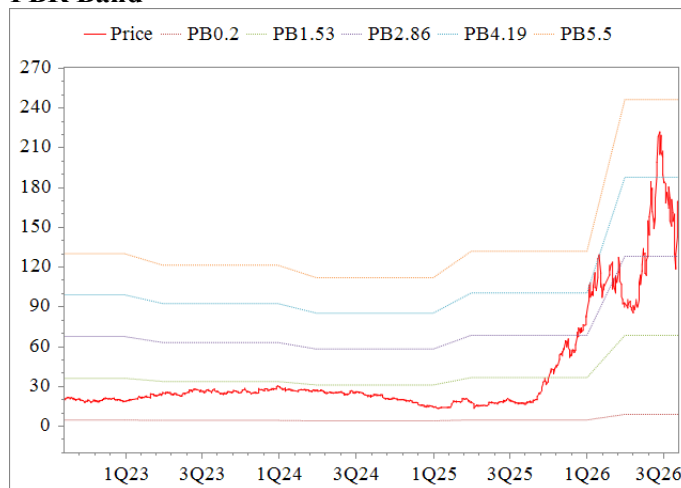
(百萬元)	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	38,253	59,843	77,614	85,918	92,793	105,880	123,071	137,979
營業成本	17,838	20,198	24,403	25,691	30,419	36,600	43,019	50,316
營業毛利	20,415	39,645	53,211	60,227	62,374	69,280	80,052	87,662
營業費用	7,865	10,666	10,610	10,804	10,581	10,972	11,210	11,464
營業利益	12,550	28,979	42,601	49,423	51,793	58,308	68,842	76,198
營業外收支淨額	138	1,039	-14	-21	99	88	166	-3
稅前純益	12,688	30,018	42,587	49,402	51,892	58,396	69,008	76,195
所得稅	2,571	5,820	8,687	10,040	10,498	11,859	13,972	15,399
稅後純益	10,114	24,317	33,900	39,362	41,394	46,537	55,036	60,796
調整後 EPS(元)	2.25	5.40	7.53	8.75	9.20	10.34	12.23	13.51
毛利率(%)	53.37%	66.25%	68.56%	70.10%	67.22%	65.43%	65.05%	63.53%
營業利益率(%)	32.81%	48.43%	54.89%	57.52%	55.82%	55.07%	55.94%	55.22%
稅後純益率(%)	26.44%	40.63%	43.68%	45.81%	44.61%	43.95%	44.72%	44.06%
營業收入								
QoQ(%)	43.67%	56.44%	29.70%	10.70%	8.00%	14.10%	16.24%	12.11%
YoY(%)	91.34%	184.72%	256.51%	222.70%	142.58%	76.93%	58.57%	60.59%
營業利益								
QoQ(%)	206.72%	130.90%	47.01%	16.01%	4.80%	12.58%	18.07%	10.69%
YoY(%)	--	--	1,050.46%	1,107.83%	312.68%	101.21%	61.60%	54.18%
稅後純益								
QoQ(%)	195.54%	140.42%	39.41%	16.11%	5.16%	12.42%	18.26%	10.47%
YoY(%)	--	--	1,051.82%	1,050.13%	309.26%	91.38%	62.35%	54.46%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/08/07

資產負債表

(百萬元)	2022	2023	2024	2025	2Q26
資產總計	184,165	190,788	177,784	192,192	293,034
流動資產	68,538	66,505	59,515	73,191	147,165
現金及約當現金	20,403	16,963	14,100	15,734	43,015
應收帳款與票據	9,873	9,784	10,038	16,071	37,439
存貨	21,448	23,870	24,201	25,758	25,787
採權益法之投資	9,971	10,952	7,390	16,032	33,250
不動產、廠房設備	93,807	102,148	100,252	93,800	103,647
負債總計	81,431	90,328	78,625	78,062	119,492
流動負債	27,777	36,033	41,762	46,615	92,104
應付帳款及票據	5,203	5,983	5,507	6,907	7,991
非流動負債	53,655	54,295	36,863	31,447	27,387
權益總計	102,734	100,460	99,159	114,130	173,543
普通股股本	39,800	41,800	45,000	45,000	45,000
保留盈餘	32,215	27,476	27,985	31,693	64,211
母公司業主權益	94,163	92,297	91,651	107,936	165,010
負債及權益總計	184,165	190,788	177,784	192,192	293,034

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	75,006	81,610	89,406	261,628	459,722
營業成本	52,610	57,609	58,210	88,130	160,354
營業毛利淨額	22,396	24,001	31,196	173,499	299,368
營業費用	24,026	23,494	25,662	39,944	44,227
營業利益	-1,630	507	5,534	133,554	255,141
EBITDA	11,817	14,671	18,324	179,569	398,397
業外收入及支出	933	604	-924	1,142	350
稅前純益	-698	1,112	4,610	134,696	255,491
所得稅	-732	402	1,433	27,118	51,728
稅後純益	-1,147	601	3,962	107,693	203,763
公告基本 EPS(元)	-0.29	0.14	0.88	--	--
調整後 EPS(元)	-0.27	0.13	0.88	23.93	45.28

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	2Q26
營業活動現金	15,754	3,601	11,126	11,183	23,306
稅前純益	18,046	-698	1,112	4,610	30,018
折舊及攤銷	9,549	11,856	12,687	12,683	3,206
營運資金變動	-4,435	-1,426	-823	-6,427	-14,929
其他營運現金	-7,406	-6,131	-1,850	317	5,010
投資活動現金	-44,482	-13,032	-16,658	-7,658	17,534
資本支出淨額	-41,795	-12,924	-16,122	-6,492	-5,171
長期投資變動	-2,168	157	-106	-971	-238
其他投資現金	-520	-265	-429	-195	22,944
籌資活動現金	17,879	6,350	2,527	-1,561	-4,315
長借/公司債變動	23,150	7,539	-3,980	-1,758	170
現金增資	0	4,390	6,703	0	0
發放現金股利	-3,980	-3,980	0	0	0
其他籌資現金	-1,291	-1,599	-196	196	-4,485
淨現金流量	-10,511	-3,440	-2,862	1,633	36,306
期初現金	30,914	20,403	16,963	14,100	25,521
期末現金	20,403	16,963	14,100	15,734	61,826

資料來源：中信、CMoney

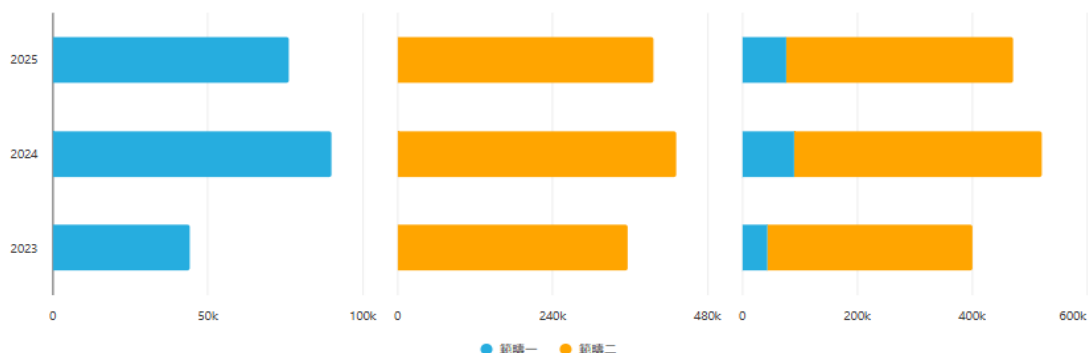
比率分析

(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-20.65%	8.80%	9.55%	192.63%	75.72%
營業毛利淨額	-47.98%	7.17%	29.98%	456.15%	72.55%
營業利益	--	--	990.57%	2313.14%	91.04%
稅後純益	-99.77%	1959.92%	347.77%	2618.19%	89.21%
獲利能力分析(%)					
毛利率	29.86%	29.41%	34.89%	66.31%	65.12%
EBITDA(%)	15.75%	17.98%	20.50%	68.64%	86.66%
營益率	-2.17%	0.62%	6.19%	51.05%	55.50%
稅後純益率	0.05%	0.87%	3.55%	41.16%	44.32%
ROE(%)	-1.23%	0.65%	3.97%	69.57%	80.67%

ESG 資訊-環境保護(Environmental)

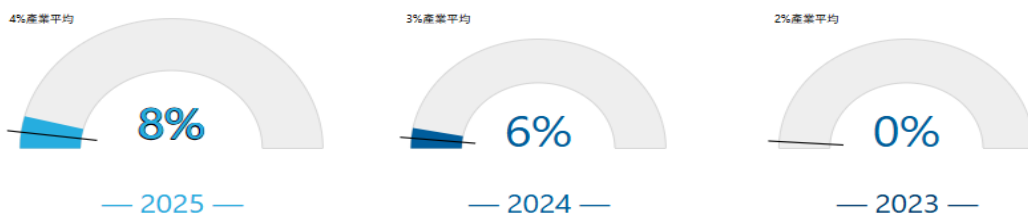
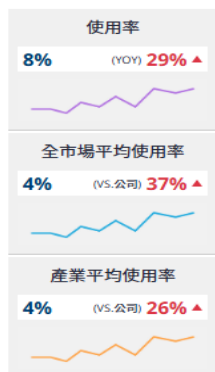
溫室氣體(範疇一/二)排放量

2025

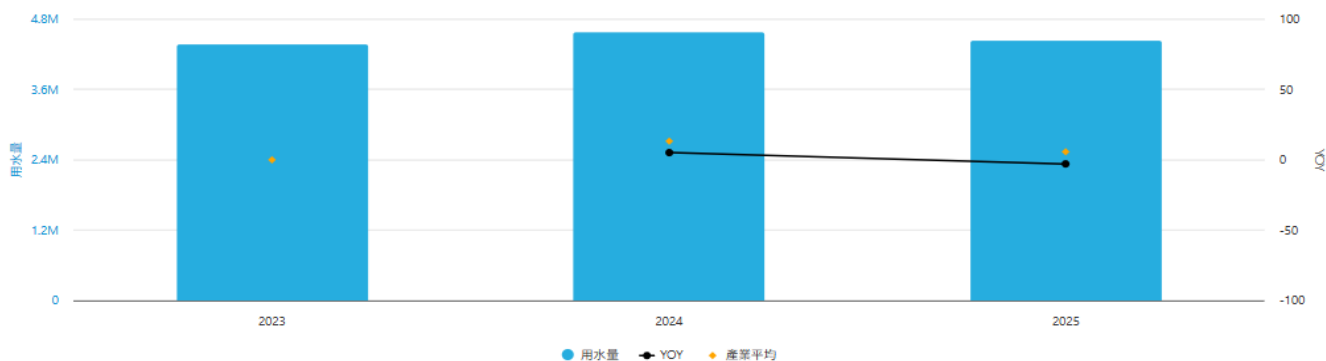


再生能源使用率

2025



用水量

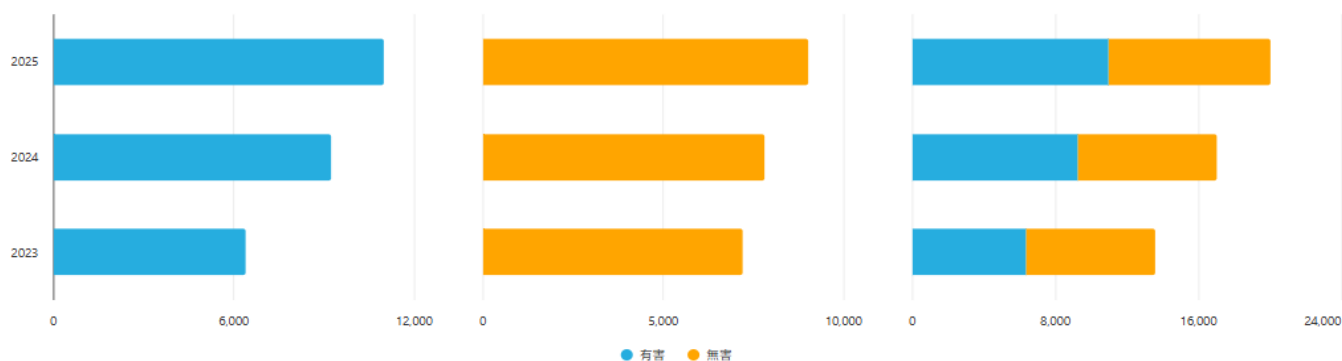


2025



2026/08/07

廢棄物量



2025



密集度

溫室氣體排放密集度

5.281

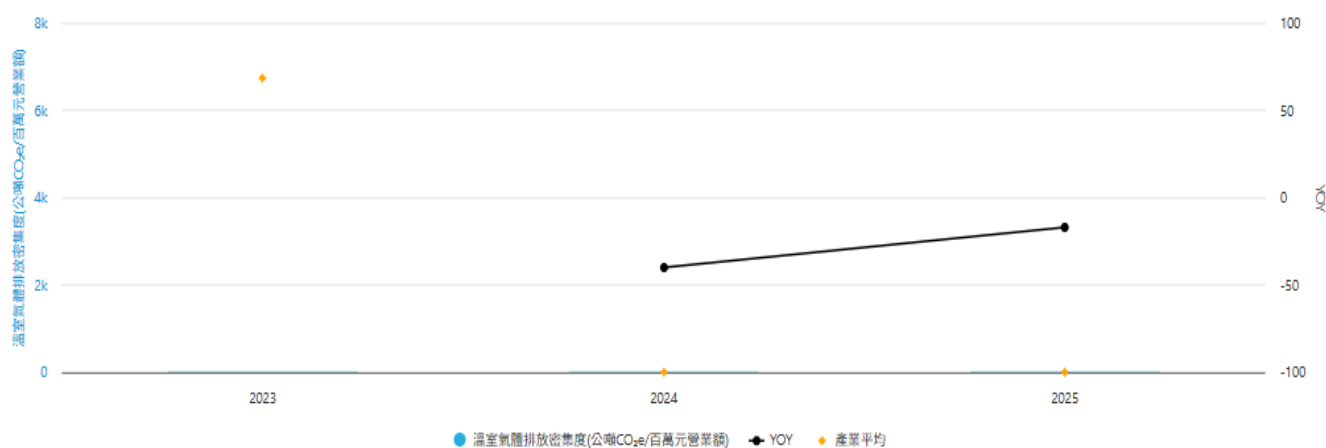
2025
用水密集度

143

廢棄物密集度

0.565

溫室氣體排放密集度(公噸CO₂e/百萬元營業額)



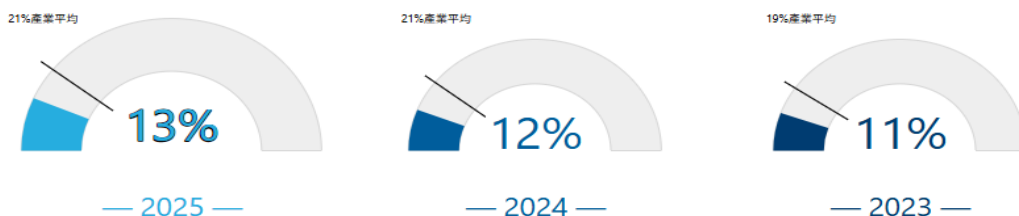
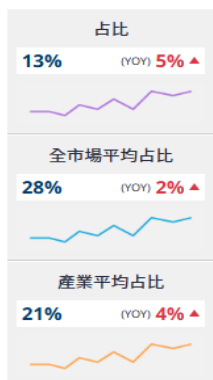
2025



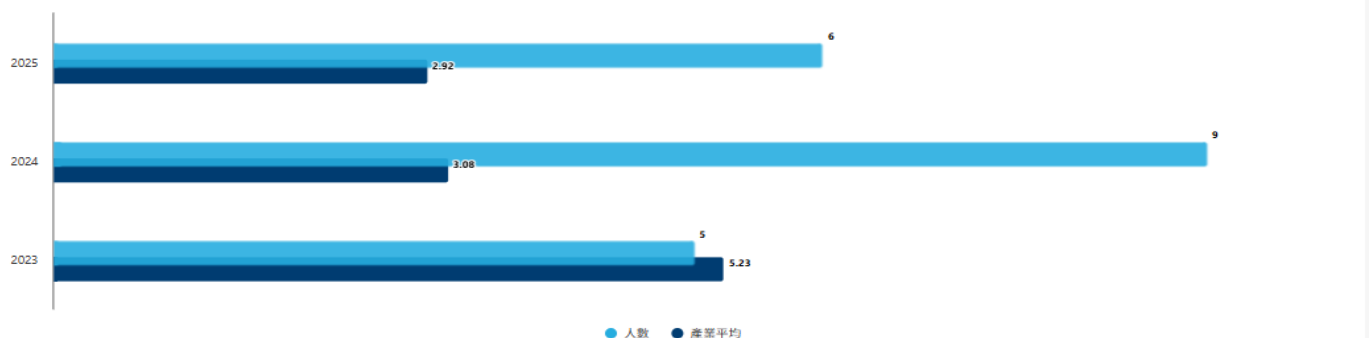
ESG 資訊-社會責任(Social)

管理職女性主管占比

2025



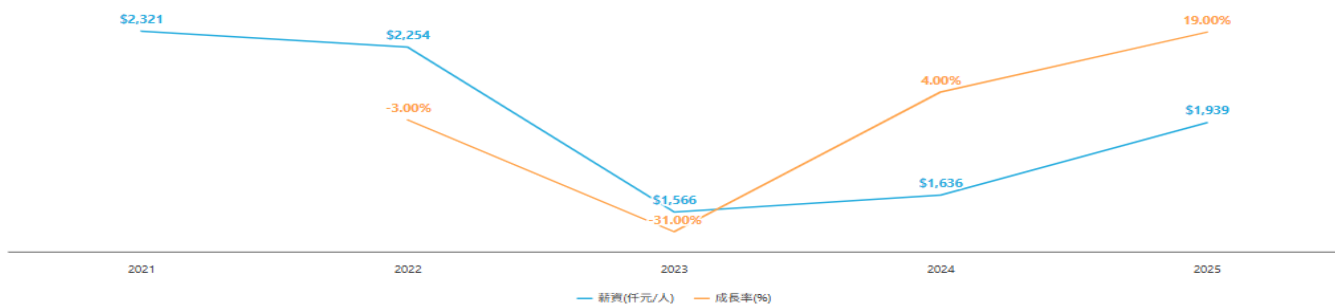
職業災害人數



2025



員工薪資年度趨勢

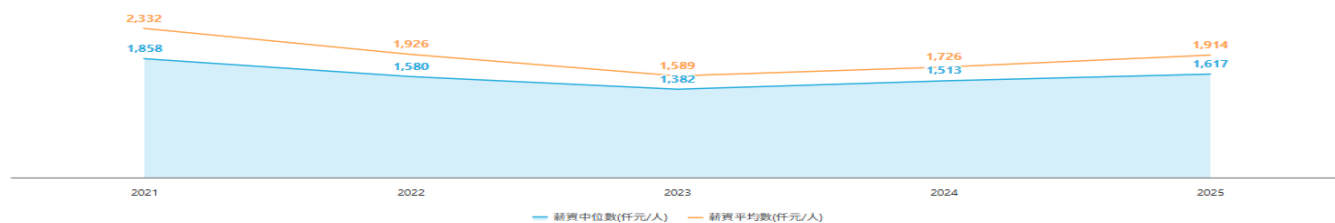


2025



2026/08/07

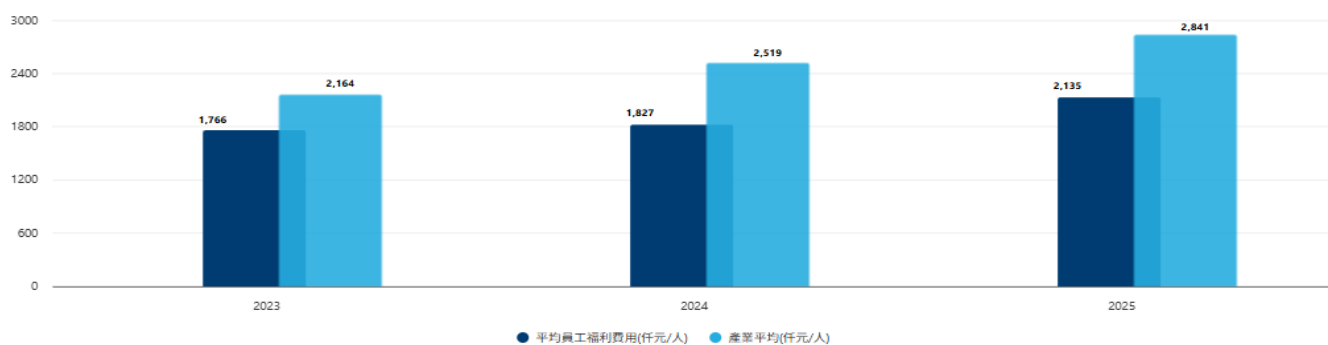
非擔任主管職務之全時員工薪資



2025



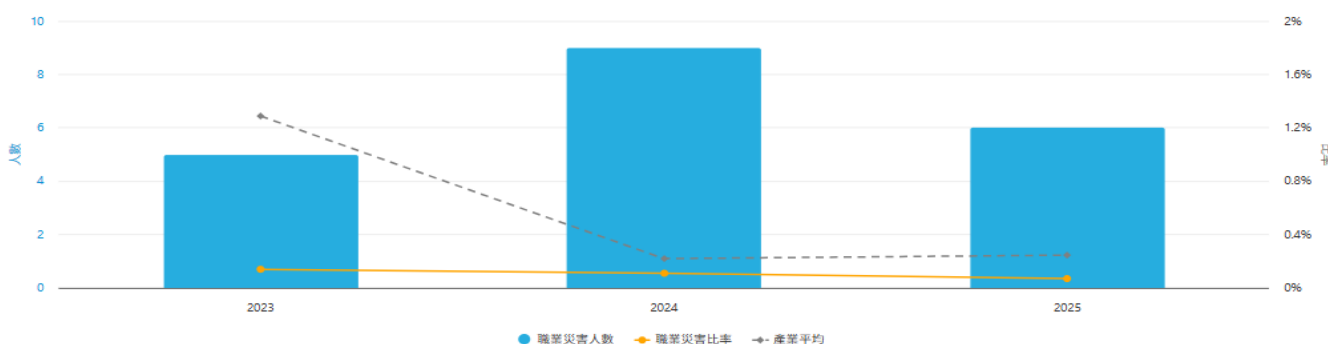
平均員工福利費用



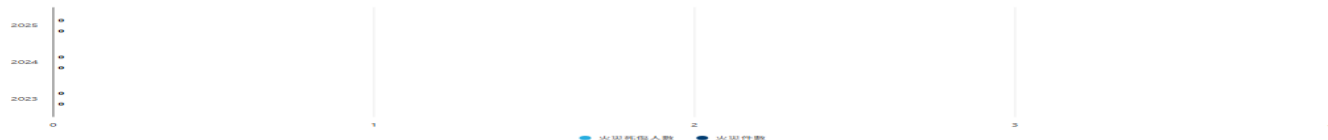
2025



職業災害人數與比率



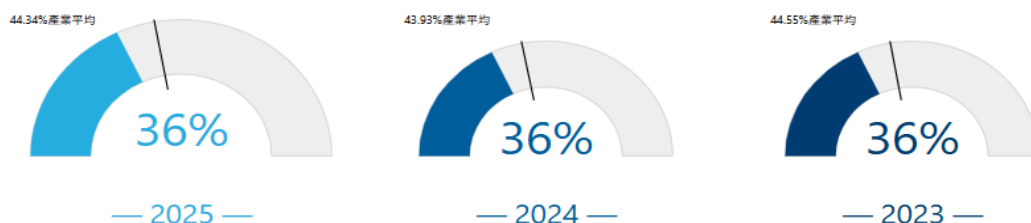
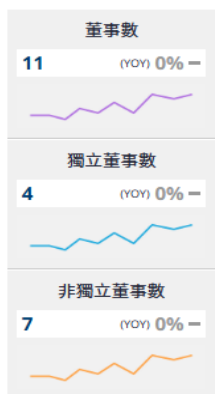
火災件數與死傷人數



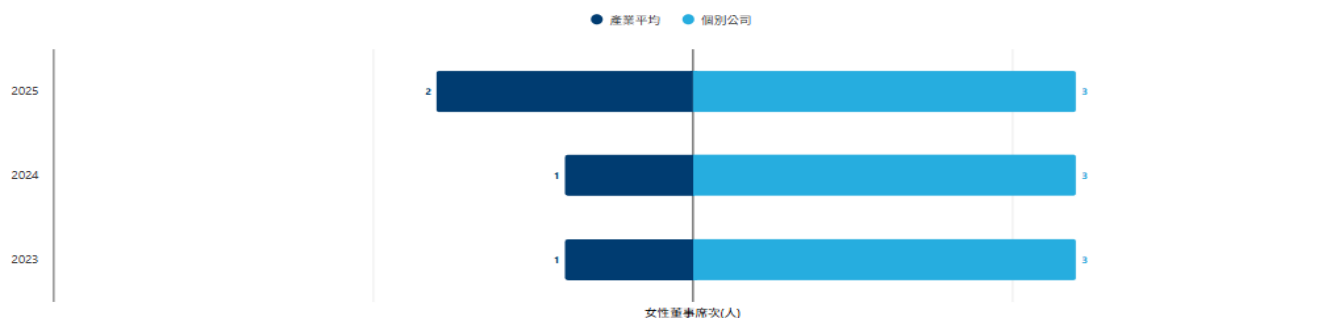
ESG 資訊-公司治理(Governance)

獨立董事vs.董事席次占比

2025



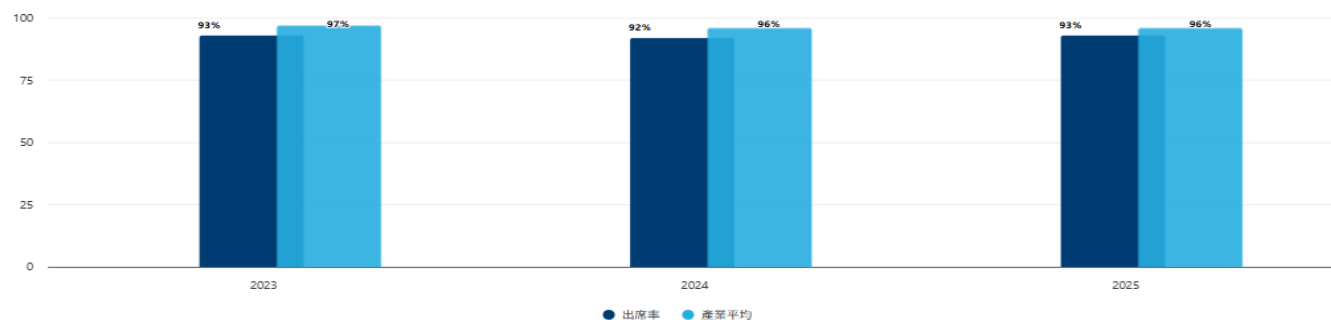
女性董事席次



2025



董事之董事會出席率



2025



2026/08/07

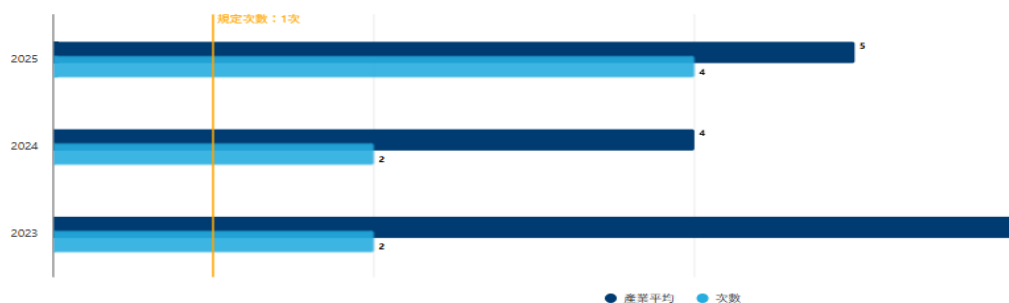
董事進修符合進修要點比率



2025



法說會次數



2025



薪酬委員會出席率



2025



薪酬委員會席次



資料來源：證交所

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

本報告係本公司於特定日期就現有資訊所提出，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，本公司將不做預告或更新；而且本報告並非依特定投資目的或特定對象之財務狀況所完成，因此，本報告之目的並非針對客戶於買賣證券、選擇權、期貨或其他證券相關商品提供詢價或推介服務，亦非進行交易之要約。本公司出具之短、中、長期策略性報告所做出之投資分析與建議，亦可能會隨市場波動隨時調整，而與個股研究報告之意見未必一致。投資人應自行考量本身之需求、投資風險及承受度，並就投資結果自行負責，本公司不做任何獲利保證，亦不就投資盈虧負擔任何法律責任。非經本公司同意，任何人不得將本報告加以引用或轉載。

中國信託金融控股(股)公司旗下子公司暨關係企業（以下稱“中信金集團”）從事廣泛金融業務，包括但不限於銀行、信託、證券經紀、證券承銷、保險、證券投資信託、全權委託投資、自有資金投資等。中信金集團對於本報告所涵蓋之標的公司可能有投資或其他的業務往來關係。中信金集團及其所屬員工，可能會投資本報告所涵蓋之標的公司，或以該等公司為標的的衍生性金融商品，而其交易的方向與本報告中所提及的交易方向可能不一致。中信金集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性金融商品之標的。中信金集團轄下的銷售人員、交易員及其他業務人員可能會為他們客戶或自營部門提供口頭或書面的市場看法或交易策略，然該等看法與策略可能與本報告的意見不盡一致。中信金集團之自營、資產管理及其他投資業務所做之投資決策也可能與本報告所做的建議或看法不一致。

中國信託證券投資顧問股份有限公司

台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988

營業執照字號：114 金管投顧新字第 014 號

2458 義隆(ELAN)

報告日期：2026/08/06

研究員：羅金鳳 (Sunny Lo)

壹、投資建議

投資評等：買進

目標價位：209 元

20 X 2027 EPS

參考價位：160.5 元

15.33 X 2027 EPS

2026/08/05 收盤

一、記憶體、CPU 缺貨漲價的影響為 2H26 觀察重點

因 AI 需求強勁帶動各上下游零組件呈現供給短缺，DRAM、CPU、MLCC、Foundry 在 2Q26 持續漲價，對消費性電子產品需求產生不同程度的負面影響，但義隆電憑藉優異的技術及快速導入 AI 相關的功能，降低營運受影響的情況，2Q26 整體營收 32.05 億元，QoQ-0.62%，YoY+5.71%，毛利率僅些微受原物料上漲的影響，為 47.39%，且在業外貢獻約 2.94 億元下，稅後淨利 8.79 億元，QoQ+24.68%，YoY+148.49%，稅後 EPS 2.89 元，合計 1H26 稅後 EPS 5.21 元。

2H26 義隆電 AI 相關的產品仍繼續成長，但原物料及半導體供應鏈漲價的情況持續，CPU 及記憶體的缺貨漲價將使 PC/NB 需求面臨挑戰，2H26 消費性電子產品的旺季需求可能受到影響，加上之前所備的低價原物料已快消耗完畢，使 2H26 的營運表現相對辛苦，不過義隆電已於 7/1 針對不同客戶及不同產品進行 5~10% 的漲價，將減緩不利的影響，因此，我們預估義隆電 3Q26 營收 31.94 億元，QoQ-0.34%，YoY-3.68%，稅後 EPS 2.01 元。

二、HAPTIC、ADAS、無人機營收增，且朝 CPO 前進

義隆電持續進產品多元化，2026 年包括 NB 及 Non-NB 的產品將有明顯進展，其中應用於 NB 的 HAPTIC 於 2022 年即開始出貨，但過去 3~4 年為耕耘期，出貨量的成長相對較慢，由於 2026 年起 Windows 的作業軟體(OS)開始內嵌 HAPTIC 的功能，同時美系客戶將其全系列的 NB 導入 HAPTIC 功能，義隆電也將成本由 20 美元降至 10 美元，有助 HAPTIC 加速導入。

無人機及 ADAS 是義隆電近年在 NB 之外積極耕耘的項目，其中無人機方面，由於義隆電的雲台及避障功能模組可比競爭對手有低功耗(可省去散熱板)，模組體積也較輕薄短小的優點，成為客戶 Cost down 最佳選擇，且義隆電 Mini-LED 的 Local dimming 面板在極寒的氣候、戴手套的情況下也可操作靈敏，且具防水、觸控功能，因此，在國內已與數家無人機標案公司合作，模組化的高 ASP 將帶動義隆電 2H26 來自無人機的營收貢獻將開始放大，且後續 ASP 高達 500 美元的 Camera + AI Box 也已通過認證，開始出貨，具避障功能的無人機也將於 2026 底完成。

在 ADAS 方面，義隆電的 IC 可抓取人臉進行辨識，也可做盲點偵測系統，目前已應用於電動巴士及物流車，下一步將導入計程車，義隆電 2025 年整體出貨量 300 台，預估 2026 年將跳增至 500~1,000 台，在自動變換車道的功能導入後，2027 年的成長性將更明顯。

此外，義隆電在 CPO 方面也不缺席，投資美商 PETA，持股約 15%，主要聚焦 PIC 及 EIC 的合作，由 PETA 負責供應 PIC，目前 1.6T 已送樣認證，預估稍晚 3.2T 也將送樣；EIC 則是義隆與 PETA 一起合作設計相關的 TIA、及 Driver IC，預估 2027 年送樣認證，2028 年開始貢獻營收。

三. 預估 2026/2027 年年稅後 EPS 9.24/10.47 元

2026 年在 AI PC 滲透率上升、商用機種出貨比重上升、HAPTIC 貢獻大幅成長、無人機出貨以高單價的模組化為主，帶動義隆電 2026 年營運大幅優於 NB 產業的表現，因此，我們預估義隆電 2026 年營收 127.73 億元，YoY+3.62%，毛利率 47.23%，稅後淨利 28.09 億元，YoY+15.02%，稅後 EPS 9.24 元。2027 年 PC/NB 需求可望恢復平穩，加上 HAPTIC、ADAS、無人機的貢獻放大，因此，我們預估義隆電 2027 年營收 142.44 億元，YoY+11.51%，毛利率 47.21%，稅後淨利 31.82 億元，YoY+13.3%，稅後 EPS 10.47 元。

四. 投資建議為買進，目標價 209 元

雖然目前因全球經濟環境不確定性高，但義隆電持續進行技術升級及產品組合的優化，獲利表現仍能較全球 NB 產業的狀況佳，邊緣 AI 的發展加速將帶動 2026 年 AI PC 的滲透率優於 2025 年，有利義隆電的 Haptic 及 Fingerprint 出貨量成長，加上義隆電晶片設計的附加價值將比過往明顯提升，反映在 ASP 上將比傳統機種高出 10% 以上，有利營運在大環境不佳的情況下保持韌性，加上成功脫胎換骨，打入軍用無人機及進軍矽光子領域，有利未來營運表現，因此，投資建議維持買進，目標價 209 元(20x2027 稅後 EPS)。

貳、公司營運概況

一.公司簡介

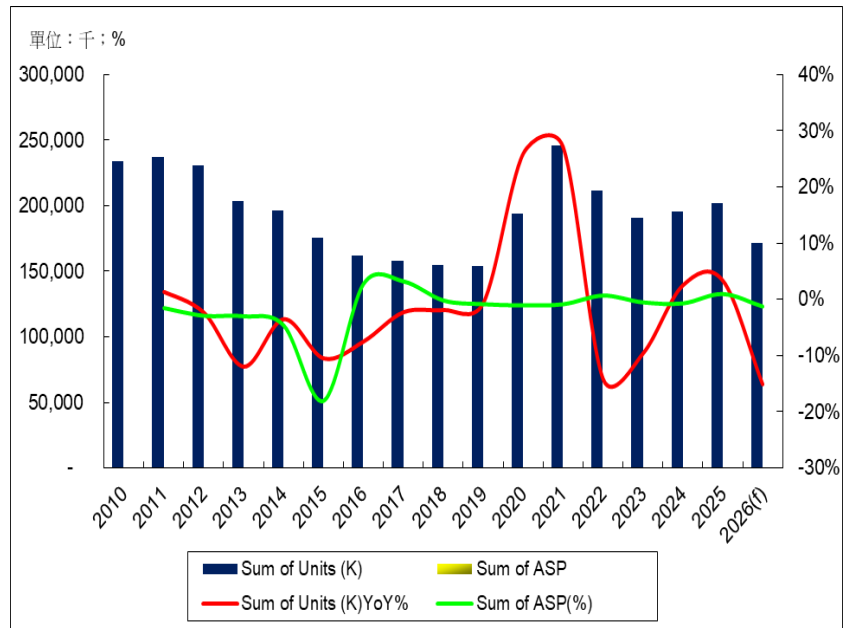
義隆電(2458)成立 1994 年，為全球知名的人機介面晶片領導廠商之一，專精於觸控螢幕晶片(Touchscreen Controller)、帶筆功能的觸控螢幕晶片(Touchscreen Controller with Pen)、觸控板模組

(Touchpad Module)、指向裝置(Pointing Stick)及生物辨識晶片(含指紋與人臉辨識)的研發及整體解決方案，主要應用在智慧手機、平板、筆記型電腦以及各式消費性電子產品，其中，在全球筆電應用之晶片市場（觸控螢幕晶片、觸控板模組及指向裝置在全球筆電市場的市占率位居第一）居於領導地位。由於電子科技進步快速，資訊安全問題為近年業界關注的重點，義隆未來將朝資訊安全領域發展，提供防假指紋及智慧卡的晶片。

二.營運概況及展望

1、預估 2026 年全球 NB 出貨 YoY-5.26%

在新冠疫情過後，及通膨的影響，品牌廠持續進行庫存去化，使全球 NB 需求在 2022 年及 2023 年急速下降，在進行約 6~8 個季度的庫存去化後，需求開始回穩，雖然要回到疫情期間的年增雙位數不易，但需求大致走穩，使 2024 年全球出貨量回升到 1.95 億台，YoY+2.42%，2025 年在 Windows 10 EOL 及疫情期間購買的 NB 逐漸進入換機潮的帶動下，全球 NB 出貨量持續呈現小幅成長，預估為 2.02 億台，YoY+3.13%，預估 2026 年在 AI 訓練需求強勁了 3 年後，推論的需求將開始接棒成長，有利 AI PC 的導入，帶動全球 NB 成長，不過因為 AI 強勁的需求，且進入推理的代理人 AI 後，對這記憶體需求大幅成長，帶動 2Q25 後記憶體需求大幅成長，呈現明顯供不應求，帶動記憶體報價爆漲，在記憶體價格漲勢未歇的情況下，將影響終端的消費性電子產品，因此，預估 2026 年全球 NB 出貨量將下滑至 1.71 億台，YoY-15.18%。

圖一、全球 NB 出貨量預估


資料來源：Gartner&宏遠投顧彙整預估

2、增加產品附加價值提升營運成長

儘管 NB 市場成長已達高原期，未來再大幅成長可能性相對較低，義隆電除了持續往資訊安全領域發展，在現有的指紋解鎖 IC 產品增加防假指紋及加密功能，提升產品競爭力外，未來將增加更多 IC 的 Total Solution，有利 IC 銷售單價倍數提升，讓整體營運成長優於 NB 市場的成長性。

叁、業績及獲利預估

1、預估 3Q26 稅後 EPS 2.01 元

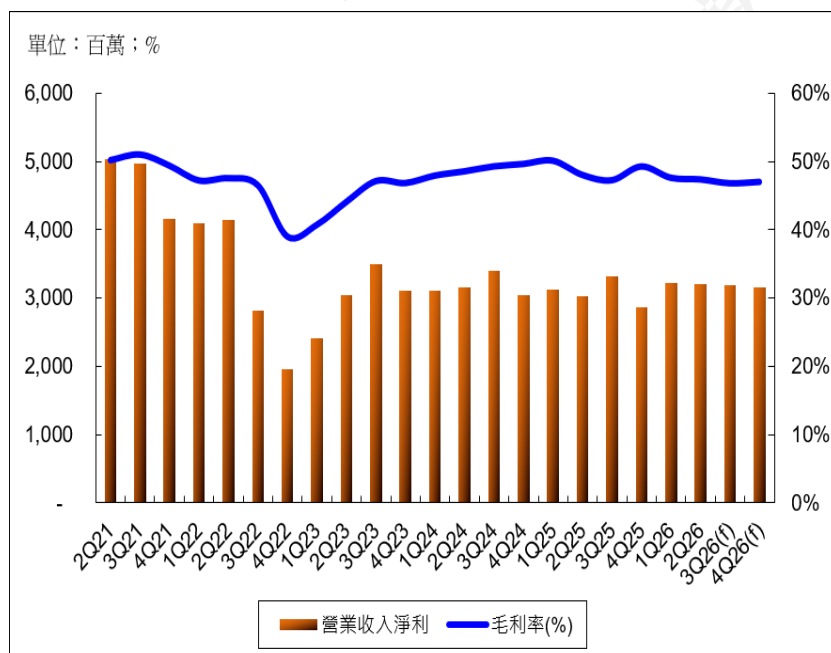
2H26 義隆電 AI 相關的產品仍繼續成長，但原物料及半導體供應鏈漲價的情況持續，CPU 及記憶體의 缺貨漲價將使 PC/NB 需求面臨挑戰，2H26 消費性電子產品的旺季需求可能受到影響，加上之前所備的低價原物料已快消耗完畢，使 2H26 的營運表現相對辛苦，不過義隆電已於 7/1 針對不同客戶及不同產品進行 5~10+% 的漲價，將減緩不利的影響，因此，我們預估義隆電 3Q26 營收 31.94 億元，QoQ-0.34%，YoY-3.68%，稅後 EPS 2.01 元。

2、預估 2026/2027 年稅後 EPS 9.24/10.47 元

2026 年在 AI PC 滲透率上升、商用機種出貨比重上升、HAPTIC 貢獻大幅成長、無人機出貨以高單價的模組化為主，帶動義隆電 2026 年營運大幅優於 NB 產業的表現，因此，我們預估義隆電 2026 年營收 127.73 億元，YoY+3.62%，毛利率 47.23%，稅後淨利 28.09

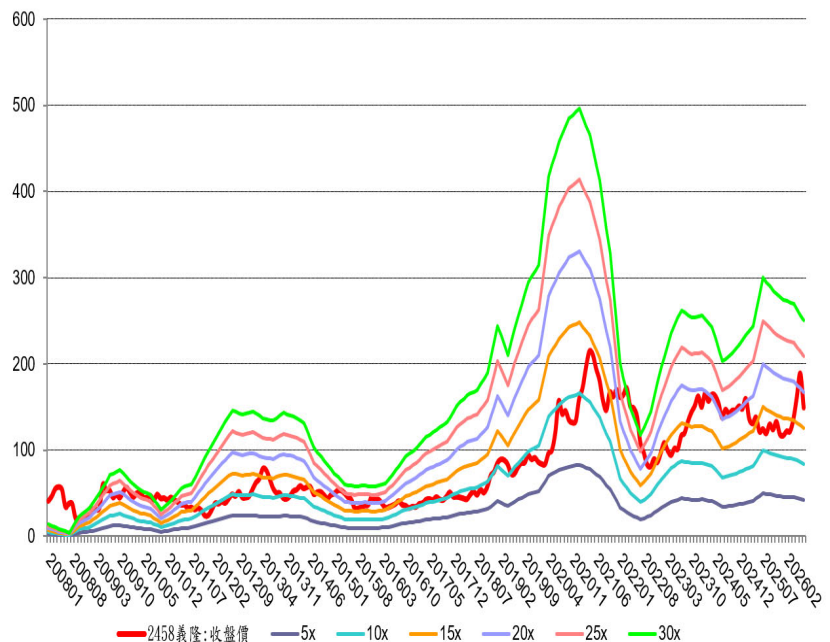
億元，YoY+15.02%，稅後 EPS 9.24 元。2027 年 PC/NB 需求可望恢復平穩，加上 HAPTIC、ADAS、無人機的貢獻放大，因此，我們預估義隆電 2027 年營收 142.44 億元，YoY+11.51%，毛利率 47.21%，稅後淨利 31.82 億元，YoY+13.3%，稅後 EPS 10.47 元。

圖二、義隆電營收、毛利率趨勢圖



資料來源：Cmoney&宏遠投顧彙整預估

圖三、PE Band



資料來源：Cmoney、宏遠投顧整理

肆、財務簡表

單位：佰萬元

	2024(A)	1Q25(A)	2Q25(A)	3Q25(A)	4Q25(A)	2025(A)	1Q26(A)	2Q26(F)	3Q26(F)	4Q26(F)	2026(F)	2027(F)
營業收入	12,696	3,119	3,032	3,316	2,860	12,326	3,225	3,205	3,194	3,150	12,773	14,244
營業毛利	6,204	1,564	1,457	1,566	1,410	5,996	1,537	1,519	1,496	1,481	6,032	6,724
營業費用	3,138	778	712	774	748	3,014	758	822	794	781	3,154	3,148
營業利益	3,066	785	744	792	661	2,982	779	697	702	701	2,878	3,576
營業外淨收入(支出)	207	-66	-324	151	106	-132	61	294	46	35	436	239
稅前純益	3,273	719	420	943	768	2,850	840	991	747	736	3,314	3,815
稅後純益	2,736	548	354	804	736	2,442	705	879	611	613	2,809	3,182
稅前EPS(元)	10.77	2.37	1.38	3.10	2.53	9.38	2.76	3.26	2.46	2.42	10.91	12.55
稅後EPS(元)	9.00	1.80	1.16	2.65	2.42	8.04	2.32	2.89	2.01	2.02	9.24	10.47
股本	3,039	3,039	3,039	3,039	3,039	3,039	3,039	3,039	3,039	3,039	3,039	3,039
稅後股東權益報酬率%	24.31	5.65	3.59	8.34	7.47	26.27	7.09	8.71	6.18	6.08	29.48	32.60
每股淨值	33.92	35.73	36.89	39.54	41.96	41.96	44.28	47.17	49.19	51.20	62.31	72.79
毛利率%	48.87	50.13	48.05	47.23	49.29	48.64	47.65	47.39	46.83	47.03	47.23	47.21
營利率%	24.15	25.18	24.55	23.88	23.12	24.19	24.15	21.75	21.97	22.25	22.53	25.10
稅前純益與前期比較%	32.35	-1.21	-41.53	124.36	-18.62	-12.92	9.42	18.00	-24.60	-1.49	16.30	15.11
稅前純益率%	25.78	23.05	13.87	28.44	26.84	23.12	26.05	30.92	23.40	23.37	25.95	26.79
稅後純益率%	21.55	17.58	11.67	24.26	25.72	19.81	21.86	27.43	19.14	19.47	21.99	22.34

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

永續發展報告

2458 義隆 永續發展概況

CMoney ESG Rating

評鑑年季：2026Q3

CMoney ESG Rating		交易所公司治理評鑑	產業排名
8		6%至20%	5/206
E	8		
S	7		
G	8		

※評等1-10分，10分最高

永續報告書連結

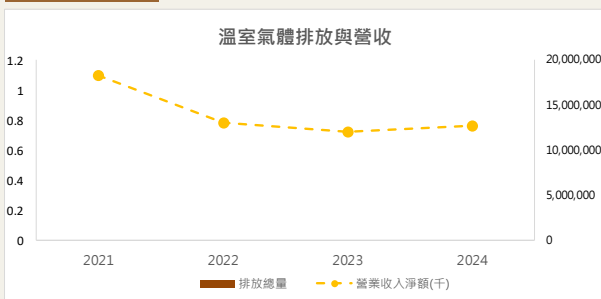
nplus.twse.com.tw/api/api/MopsSustainReport/data/FileStream?id=55a3c685-87a2-4ee7-8b20-2

報告書保證確信 驗證單位：第三方保證認證單位：新加坡商英國標準協會集團私人有限公司臺灣



環境保護 Environment

溫室氣體



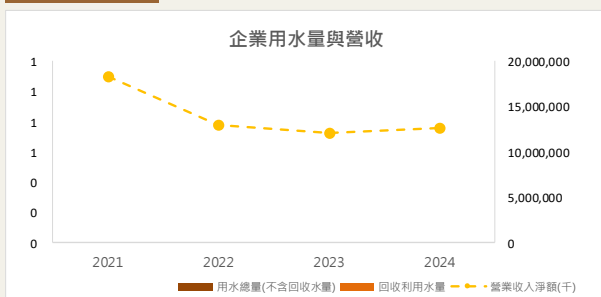
摘要 公司未揭露溫室氣體盤查數據

溫室氣體盤查數據			
年度	排放總量(公噸)	範疇一	範疇二
2024	未揭露	-	-
2023	未揭露	-	-
2022	未揭露	-	-
2021	未揭露	-	-

*排放總量(公噸)：範疇一+範疇二溫室氣體排放數據
*範疇一：組織擁有或控制的營運據點的溫室氣體排放
*範疇二：組織所購買或取得之電力、用之於供熱、製冷或蒸汽而產生的溫室氣體排放

資料來源：CMoney、企業揭露資訊

水資源



摘要 公司未揭露溫室氣體盤查數據

企業用水量盤查數據			
年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2024	未揭露	-	-
2023	未揭露	-	-
2022	未揭露	-	-
2021	未揭露	-	-

*用水總量：依取水來源統計之總使用水量
*回收水量：將已用水和廢水透過循環處理成可再利用的水資源(包含製成回收水)
*排水量：排放的污水總量

資料來源：CMoney、企業揭露資訊

社會責任 Social Responsibility

員工人數



摘要 2025年員工人數增加62人，營收減少2.91%
·人均福利費用減少0.08%

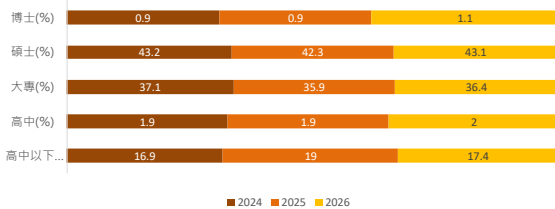
員工人數統計			
年度	員工人數(人)	員工人數增減(人)	福利費用(千)
2025	1,367	62	2,661,579
2024	1,305	4	2,752,372
2023	1,301	-26	2,493,852
2022	1,327	-35	2,499,331
2021	1,362	50	2,924,084

資料來源：CMoney、企業揭露資訊

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

社會責任 Social Responsibility

員工學歷分佈



摘要 2026年員工學歷分佈，碩士以上學歷佔44.2(%)

員工學歷分佈

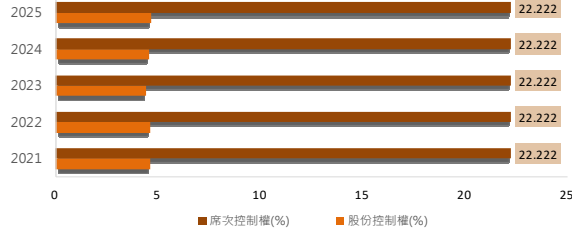
學歷/年次	2024	2025	2026
博士(%)	0.9	0.9	1.1
碩士(%)	43.2	42.3	43.1
大專(%)	37.1	35.9	36.4
高中(%)	1.9	1.9	2.0
高中以下(%)	16.9	19.0	17.4

資料來源：CMoney、企業揭露資訊

公司治理 Corporate Governance

股權控制

股權控制情形



摘要 2025，最終控制者(董事長、副董事長、總經理、副總經理)掌握董監席次控制權增加0%，股份控制權增加0.1%

最終控制者股權控制情形

年度	席次控制權(%)	股份控制權(%)	股權集中度
2025	22.22	4.66	0.0011
2024	22.22	4.56	0.0011
2023	22.22	4.42	0.0011
2022	22.22	4.42	0.0011
2021	22.22	4.61	0.0011

資料來源：CMoney、企業揭露資訊

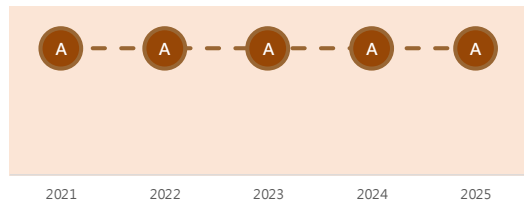
公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及 平等對待股東	強化董事會結構 與運作	資訊 透明度	落實 企業社會責任
2025	6%至20%	A	0.16	0.25	0.1	0.49
2024	6%至20%	A	0.19	0.29	0.17	0.35
2023	6%至20%	A	0.22	0.31	0.19	0.28
2022	6%至20%	A	0.2	0.33	0.23	0.24
2021	6%至20%	A	0.2	0.33	0.26	0.21

資料來源：CMoney、交易所

[註]等級轉換：前5%：「A+」；6%至20%：「A」；21%至35%：「B+」；36%至50%：「B」；51%至65%：「C+」；66%至80%：「C」；81%至100%：「D」

交易所公司治理評鑑



企業功能委員會

功能委員會			
審計委員會(非強制設置)	★	審計委員會(強制設置)	★
提名委員會		資訊安全委員會	
公司治理委員會		永續發展委員會	★
薪資報酬委員會	★	誠信經營委員會	
風險管理委員會		策略委員會	

企業裁罰資訊

裁罰資訊

今年以來沒有裁罰資訊

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載



研究報告

義隆(2458.TT)

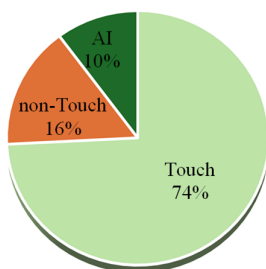
產業：電子-半導體

2H26 僅賴無人機支撐營運，動能受限

中立・維持評等

目標價 (NT\$)	175.00
收盤價 (NT\$)	160.50
上漲空間	9.03%

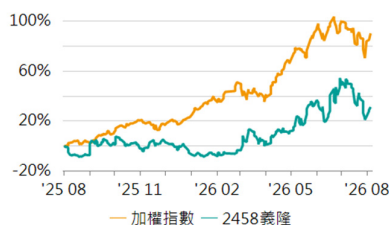
產品營收比重



交易資訊

市值 (NT\$百萬元)	48,773
流通在外股數(百萬股)	304
董監持股 (%)	5.97
外資持股 (%)	23.42
投信持股 (%)	18.38
52 週高價	196.50
52 週低價	115.50
3M 平均成交量(百萬股)	5.38
融資使用率 (%)	4.52

個股與大盤走勢比較圖



資料來源：CMoney・玉山投顧

蔡志昇

daniel1009-71660@esunsec.com.tw

投資評價與建議

2H26 NB客戶拉貨力道轉弱將壓抑整體營運動能，公司已通過1H26配發4.4元，預估2026年配發7.4元，殖利率約4.6%，具下檔保護及優良長投標的。

重點評論分析

3Q26 NB拉貨趨緩，營運將持續季減：客戶面臨缺料問題，拉貨將趨緩，營運將較1H26辛苦，預估營收29.1億元，QoQ-9.3%，雖7/1全面漲價，漲幅約5~10%，然仍持續面臨供應鏈成本壓力，預估毛利率47%，EPS 1.88元。

僅賴非NB產品支撐營運，2H26動能有限：展望2H26，NB客戶面臨更大的CPU與記憶體缺料問題，而義隆營收約90%以上與NB相關，因此營運也將受影響，主要動能來自非NB產品的無人機：公司與中研院合作，利用自身演算法優勢，推出Mini LED local dimming(區域調光)與ISP產品，1H26出貨以ISP為主，ASP約5~6美元，7月已開始出貨AI Box，ASP約300~500美元，已通過雷虎測試並開始出貨，2H26 ASP將明顯提升，將成為2026年最成長動能，更有望推升2026年AI產品線挑戰雙位數營收占比。整體而言，2H26營運僅仰賴非NB產品支撐，然NB拉貨力道趨緩仍將壓抑整體營運動能，展望2027年，隨著缺料問題逐步改善，NB有望逐步回復拉貨動能，搭配基期較低的無人機產品持續成長，營運成長性將優於2026年。

投資風險

NB需求進一步下滑或非NB貢獻不如預期。

主要財務數據及預估值

(單位:百萬元)	2022	2023	2024	2025	2026	2027
營業收入	13,030	12,059	12,696	12,326	12,214	13,299
營業毛利	5,987	5,432	6,204	5,996	5,762	6,308
毛利率(%)	45.95	45.04	48.87	48.65	47.17	47.43
營業利益	2,784	2,434	3,066	2,982	2,680	3,130
營益率(%)	21.37	20.19	24.15	24.19	21.95	23.53
稅前盈餘	2,703	2,473	3,273	2,850	3,109	3,275
稅後EPS(元)	7.56	7.53	9.57	8.53	9.24	9.52
每股股利(元)	6.14	5.10	7.83	7.07	7.39	7.61
營收成長率(%)	-28.90	-7.46	5.29	-2.91	-0.91	8.88
盈餘成長率(%)	-55.40	-8.52	32.35	-12.92	9.07	5.35

季度主要財務數據及預估值										
(單位:百萬元)	1Q26	2Q26	3Q26	4Q26	2026	1Q27	2Q27	3Q27	4Q27	2027
營業收入	3,225	3,205	2,906	2,879	12,214	2,999	3,210	3,537	3,554	13,299
營業毛利	1,537	1,519	1,362	1,344	5,762	1,408	1,512	1,685	1,703	6,308
毛利率(%)	47.63	47.40	46.87	46.69	47.17	46.96	47.11	47.63	47.92	47.43
營業利益	779	697	610	595	2,680	639	727	876	888	3,130
營益率(%)	24.15	21.75	20.99	20.66	21.95	21.31	22.64	24.77	24.99	23.53
稅前盈餘	840	991	648	630	3,109	674	764	914	923	3,275
稅後EPS(元)	2.46	3.07	1.88	1.83	9.24	1.96	2.22	2.66	2.68	9.52
營收成長率(%)	3.39	5.71	-12.37	0.67	-0.91	-7.01	0.16	21.71	23.46	8.88
盈餘成長率(%)	16.83	135.74	-31.30	-17.95	9.07	-19.75	-22.93	41.07	46.59	5.35

營運概況

2Q26費用較高導致本業獲利低於預期，因業外金融評價利益使得獲利優於預期：NB拉貨力道趨緩，僅AI受惠無人機產品出貨成長，2Q26營收32億元，QoQ-0.6%，因供應鏈成本提升，毛利率47.4%，費用因提列較高員工酬勞而提升至8.2億元，高於往常約7~8億元，業外約85%來自金融評價利益(多數來自投資旭暉(6698))，EPS 3.07元，優於預期。

3Q26 NB拉貨趨緩，營運將持續季減：客戶面臨CPU、記憶體缺料問題，拉貨將趨緩，營運將較1H26辛苦，且先前連四季業外金額變動較大，故不提供財測，預估營收29.1億元，QoQ-9.3%，雖7/1全面漲價，漲幅約5~10%，然仍持續面臨供應鏈成本壓力，預估毛利率47%，EPS 1.88元。

NB面臨缺料問題，僅賴非NB產品支撐營運，2H26整體動能有限：展望2H26，NB客戶面臨更大的CPU與記憶體缺料問題，而義隆營收約90%以上與NB相關，因此營運也將受影響，公司看法也由前次法說的不悲觀轉為營運較1H26辛苦，主要動能來自非NB產品，1)彩色電子書：為電子書產業注入新希望，公司目前已打入第二與第三大電子書客戶，也積極爭取第一大客戶，2026年出貨有望年增；2)無人機：公司與中研院合作，利用自身演算法優勢，推出Mini LED local dimming(區域調光)與ISP產品，1H26出貨以ISP為主，ASP約5~6美元，7月已開始出貨AI Box，ASP約300~500美元，已通過雷虎測試並開始出貨，目前僅作前端光學模組，2026年底將推出避障功能，四鏡頭方案約500美元，十二鏡頭方案將達1,000美元，2H26 ASP將明顯提升，將成為2026年最成長動能，更有望推升2026年AI產品線挑戰雙位數營收占比，且公司具備MIT優勢，將積極爭取國防訂單，未來具成長潛力。整體而言，2H26營運僅仰賴非NB產品支撐，然NB拉貨力道趨緩仍將壓抑整體營運動能，展望2027年，隨著缺料問題逐步改善，NB有望逐步回復拉貨動能，搭配基期較低的無人機產品持續成長，營運成長性將優於2026年。

2H26營運動能受限，維持中立評等，惟1H25配發現金股利4.4元，為良好長投標的：2H26 NB客戶拉貨力道轉弱將壓抑整體營運動能，公司已通過1H26配發4.4元，預估2026年配發7.4元，殖利率約4.6%，具下檔保護及優良長投標的。

圖 1：營收趨勢 (單位：百萬元，%)

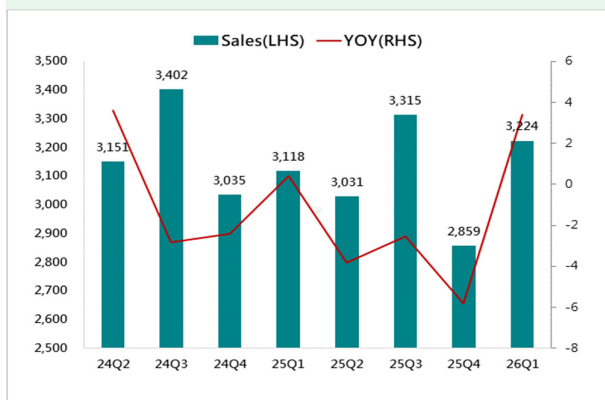


圖 2：毛利率、營益率、淨利率 (單位：百萬元，%)

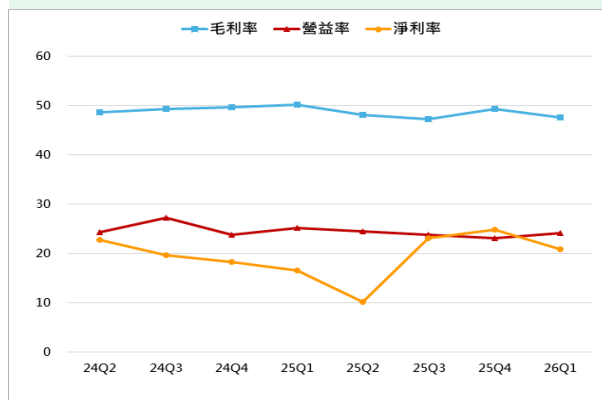


圖 3：經營能力 (單位：天)

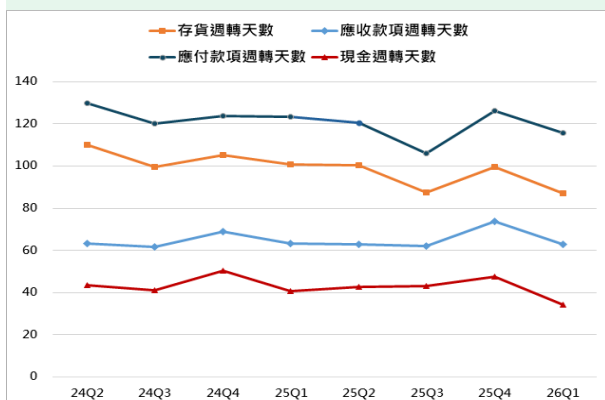


圖 4：自由現金流量 (單位：百萬元)

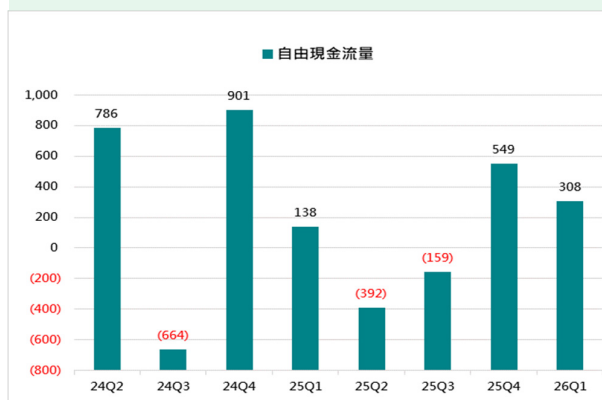


圖 5：本益比區間

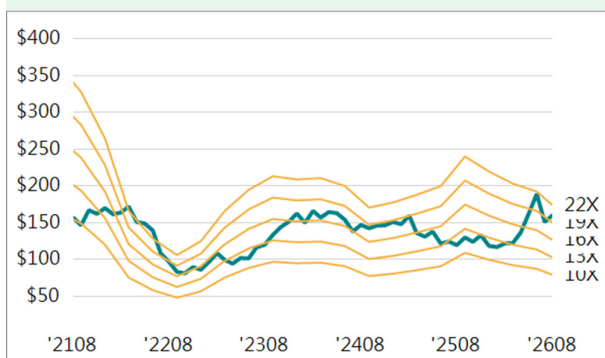
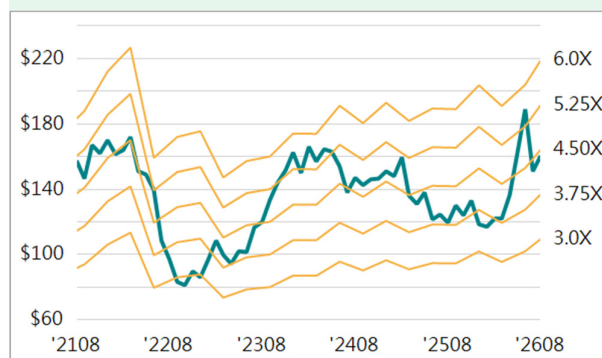


圖 6：股價淨值比



資料來源：CMoney · 玉山投顧

年損益表	(單位：百萬元・%)			
	2024	2025	2026(F)	2027(F)
營業收入	12,696	12,326	12,214	13,299
營業成本	6,491	6,329	6,453	6,991
營業毛利	6,204	5,996	5,762	6,308
營業費用	3,138	3,014	3,081	3,178
營業利益	3,066	2,982	2,680	3,130
營業外收支淨額	207	-132	428	145
稅前淨利	3,273	2,850	3,109	3,275
稅後淨利	2,736	2,442	2,573	2,620
普通股股本	3,039	3,039	5,154	5,154
每股盈餘(元)	9.57	8.53	9.24	9.52
年成長率				
營收	5.29	-2.91	-0.91	8.88
營業利益	25.94	-2.73	-10.12	16.77
稅前淨利	32.35	-12.92	9.07	5.35
母公司稅後淨利	27.64	-10.74	5.37	1.82

資產負債表	(單位：百萬元)			
	2022	2023	2024	2025
流動資產	8,722	8,623	8,662	8,009
現金及約當現金	2,663	2,614	3,272	2,400
存貨	3,730	2,111	1,746	1,582
應收帳款及票據	719	1,116	1,228	1,235
其他流動資產	1,610	2,782	2,416	2,792
長期投資	2,035	2,338	2,165	1,877
固定資產	990	1,517	2,787	4,397
其他資產	1,577	1,541	1,403	1,288
資產總額	13,324	14,019	15,017	15,571
流動負債	2,618	3,324	3,587	3,158
應付帳款及票據	721	1,184	1,021	981
短期借款	80	40	130	200
什項負債	1,817	2,100	2,436	1,977
非流動負債	1,083	1,468	1,428	1,958
負債總額	3,702	4,792	5,016	5,116
普通股股本	3,038	3,038	3,038	3,038
資本公積	838	936	1,139	1,182
保留盈餘	6,107	5,836	6,475	6,995
股東權益總額	9,622	9,227	10,000	10,455

現金流量表	(單位：百萬元)			
	2022	2023	2024	2025
稅前淨利	2,702	2,472	3,272	2,850
折舊及攤提費用	326	362	314	300
本期營運資金變動	-2,012	1,945	-34	-146
其他項目	-263	-573	-243	-352
營運活動之現金流量	753	4,207	3,309	2,650
資本支出	-169	-700	-1,370	-1,709
本期長期投資變動	0	0	0	-60
其他項目	1,421	-1,571	574	-483
投資活動之現金流量	1,251	-2,272	-796	-2,252
短期借款及票券變動	50	-40	90	70
舉措/償還長期借款	-24	468	0	500
發行/償還公司債	0	0	0	0
現金增資	0	0	0	0
發行現金股利	-3,930	-2,329	-2,038	-1,834
其他項目	306	-83	91	-5
融資活動之現金流量	-3,598	-1,984	-1,857	-1,269
匯率影響數	2	0	2	0
本期現金流量	-1,590	-49	658	-872
期末現金及約當現金	2,663	2,614	3,272	2,400

重要財務比率	(單位：%)			
	2024	2025	2026(F)	2027(F)
毛利率	48.87	48.65	47.17	47.43
營業利益率	24.15	24.19	21.95	23.53
稅前淨利率	25.78	23.12	25.45	24.62
稅後淨利率	21.55	19.81	21.07	19.70
現金股利殖利率	4.99	5.24	--	--

玉山證券投資顧問股份有限公司（以下簡稱「玉山投顧」）為玉山金融事業群之成員。

研究報告可自本公司網站(www.esunconsulting.com.tw)取閱。

投資評等說明

買進：未來六個月內潛在漲幅 25%以上。

增加持股：未來六個月內潛在漲幅 10~25%(含)。

中立：未來六個月內漲跌幅-10~10%(含)。

降低持股：未來六個月內潛在跌幅 10%以上。

未評等：無。

研究人員聲明

研究人員聲明無任何其個人報酬來自於本研究報告的建議或觀點。

免責聲明

玉山投顧已針對報告內容力求正確，並為研究人員就其專業能力提供之善意分析，財務預估及投資評等係就報告發行當時，所收集之資訊進行合理之判斷，日後若有資訊更新，玉山投顧將不針對此報告出具更新通知。本報告僅供投資人參考，玉山投顧不負任何投資盈虧之法律責任，如引用本文，須經本公司同意。

智慧財產權聲明

本資料各項內容之各項權利及智慧財產權（包括但不限於著作權、專利權、商標權等）均屬玉山投顧所有。除非獲得玉山投顧事前書面同意外，均不得擅自以任何形式複製、重製、修改、發行、上傳、張貼、傳送、散佈、公開傳播、販售或其他非法使用本資料。除非有明確表示，本資料之提供並無明示或暗示授權 貴方任何著作權、專利權、商標權、商業機密或任何其他智慧財產權。



中立(調降評等)

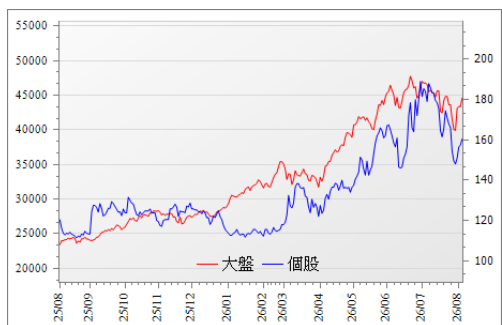
出刊緣由：財報公佈

與前次比較：	上次	本次
評等	買進	中立
目標價	158	172
EPS	9.83 (26EPS)	10.14 (27EPS)
收盤價	127.00	160.50
大盤指數	32828.88	44611.60

前次評等日期: 2026/03/04

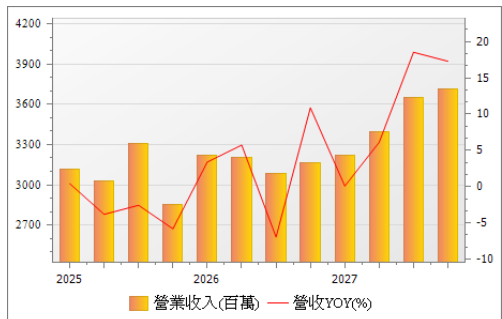
市值(億)	487.8
股本(億)	30.390000
三個月平均成交金額(億)	9.17
淨負債/股東權益	70.55
董監持股比率	5.97
外資持股比率	23.42
投信持股比率	18.38

個股與大盤走勢



	近一個月	近三個月	近半年	近一年
加權指數報酬率	-4.6	9.4	40.3	88.5
個股股價報酬率	-12.8	14.2	41.2	31.8

營收走勢圖



研究員/吳大任 TERRY.WU@uni-psg.com

電子 - 半導體

義隆 (2458.TT)

受到 CPU 缺貨影響大，靜待更好買點

研究部對義隆電的投資建議調降至中立，係因(1)2026 本業獲利受到成本侵蝕，不如預期，(2)受到 CPU 缺貨影響，對 3Q26 營收及獲利有所下修，(3)下修下半年的營運動能至低於上半年，(4)下修 26 年獲利預估，(5)期待無人機貢獻有更進一步的提升，綜合以上，下修義隆電 26 年 EPS 預估為 9.36 元(原估 9.83 元，+16.5%YOY)，及預估 27 年 EPS 為 10.14 元，+8.3%YOY)。研究部先前給予的目標價 158 元到價後，因為 NB 市場除了先前的記憶體影響外，目前更受到 CPU 缺貨的影響，短線上義隆電的營運動能受到連帶影響大，故將投資建議調降至中立，目標價 172 元。

重點摘要：

1. 2Q26 各項財務數字皆落在財測下緣：

義隆電 2Q26 營收為落在財測區間下緣的 32.05 億元(財測為 32-34 億元)，衰退 0.6%QOQ，成長 5.7%YOY，營收下滑研究員推估為客戶提前備貨逐步告一段落所致。毛利率下滑至 47.4%(財測區間為 46.5%-49.5%之間)，主要還是受到各元件及晶圓代工與封測漲價，遞延反映給客戶導致毛利率下滑。而 OPM 為 21.76%(財測為 21.4-25.9%)之間，整體本業不如預期。而業外因為持有 6698 旭輝應材的評價利益，加上轉投資益鼎投資的利益大幅貢獻約 2.5 億元以上，使稅後淨利為大幅優於市場預期的 8.79 億元，成長 24.7%QOQ，成長 149%YOY，EPS 2.89 元。2Q26 產品組合為：AI 12%，觸控 70%，非觸控 18%，其中 TOUCH PAD 38%，TOUCH SCREEN 21%，指紋 11%，POINT STICK 15%，MCU+SENSOR 3%。

2. 3Q26 未給展望，但受到 CPU 缺貨影響嚴重：

義隆電因為最近四季合併(個別)財務報表營業外收支淨額合計數占稅前損益合計數之絕對值大於 10%，在法說會中不能提及預測性資訊，但在法說會有提到 CPU 缺貨狀況比預期嚴重，加上記憶體持續高漲影響消費者購買需求，另外客戶提前備貨也告一段落，故預告下半年動能將低於上半年。故下修義隆電 3Q26 營收預估為 30.85 億元(原估 35.3 億元)，衰退 3.7%QOQ，衰退 6.9%YOY，稅後淨利同步下修預估為 6.23 億元(原估 7.84 億元)，衰退 29.1%QOQ，衰退 22.5%YOY，EPS 2.05 元(原估 2.58 元)。



3. 期待無人機貢獻性加大：

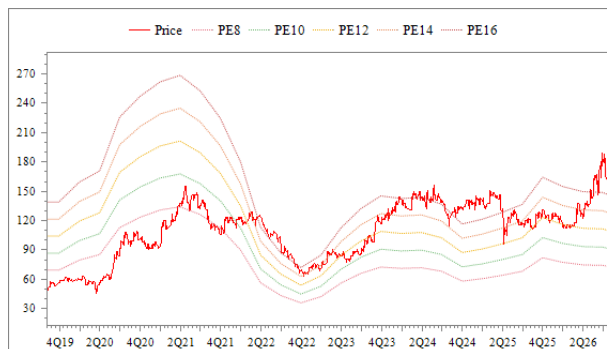
1H26 營收占比約低個位數，主要出 Mini LED local dimming 及 ISP 晶片，單價約在個位數至十位數美金，。不過下半年開始出相關的 AI BOX，目前已經出貨至國內無人機廠商，整合鏡頭模組及視覺導航等功能，單價從數十美金到數百美金不等，整體營收有望達到中高個位數。展望 27 年，在高單價的 AI BOX 及整合相關模組開始順利出貨下，推估營收占比有望達到雙位數。

4. 下修26年預估，27年將緩步成長：

2Q26受到客戶已經提前拉貨影響，加上相關零組件及封裝成本提升，使得2Q26義隆電本業獲利不如預期，所幸業外獲利大幅挹注，使得2Q26 EPS大幅優於預期。然而，3Q26 PC相關供應鏈受到CPU缺貨及DRAM漲價壓抑買氣，故有所下修。綜合以上，下修26年營收預估為126.8億元(原估137億元)，成長2.9%YOY，稅後淨利同步下修預估為28.46億元(原估29.87億元)，成長16.5%YOY，EPS 9.36元(原估9.83元)。展望27年，目前研究部以27年NB整體出貨量低個位數增長，加上義隆電無人機相關產品推進至整合型產品，單價大幅提升下，預估27年營收為140億元，成長10.4%YOY，稅後淨利預估為30.8億元，成長8.3%YOY，EPS 10.14元。

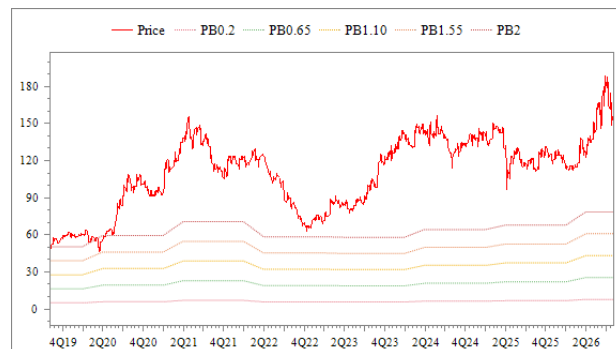


12 month Forward PE bands



PE

12 month Forward PB bands



PB

簡明損益表

百萬元	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025 (E)	2026 (E)	2027F
營業收入	3,225	3,205	3,085	3,170	3,227	3,401	3,657	3,718	12,326	12,685	14,003
營業毛利	1,536	1,519	1,433	1,474	1,502	1,576	1,696	1,724	5,996	5,962	6,498
營業費用	758	822	725	748	749	776	823	844	3,013	3,053	3,192
營業利益	779	697	708	726	753	800	873	879	2,982	2,910	3,305
業外收支	61	294	53	54	62	122	62	72	-132	462	318
稅前純益	840	991	761	780	815	922	935	951	2,850	3,372	3,623
稅後純益	705	879	623	638	687	819	783	793	2,442	2,845	3,082
EPS	2.32	2.89	2.05	2.10	2.26	2.70	2.58	2.61	8.53	9.36	10.14
重要比率											
毛利率	47.6	47.4	46.5	46.5	46.5	46.3	46.4	46.4	48.7	47.0	46.4
費用率	23.5	25.6	23.5	23.6	23.2	22.8	22.5	22.7	24.5	24.1	22.8
營益率	24.1	21.7	22.9	22.9	23.3	23.5	23.9	23.6	24.2	22.9	23.6
淨利率	21.9	27.4	20.2	20.1	21.3	24.1	21.4	21.3	19.8	22.4	22.0
QoQ											
營業收入	12.8	-0.6	-3.7	2.8	1.8	5.4	7.5	1.7			
營業毛利	9.0	-1.0	-5.7	2.9	1.9	4.9	7.6	1.7			
營業利益	17.8	-10.4	1.6	2.5	3.7	6.2	9.1	0.7			
稅前純益	9.4	18.1	-23.2	2.5	4.5	13.1	1.4	1.7			
稅後淨利	-4.2	24.7	-29.1	2.4	7.7	19.2	-4.4	1.3			
YoY											
營業收入	3.4	5.7	-6.9	10.9	0.1	6.1	18.5	17.3	-2.9	2.9	10.4
營業毛利	-1.8	4.3	-8.6	4.6	-2.1	3.8	18.4	17.0	-3.4	-0.6	9.0
營業利益	-0.8	-6.3	-10.5	9.8	-3.2	14.8	23.3	21.1	-2.7	-2.4	13.6
稅前純益	16.8	136.0	-19.3	1.7	-2.9	-7.0	22.9	21.9	-12.9	18.3	7.4
稅後淨利	28.6	149.0	-22.5	-13.2	-2.6	-6.8	25.7	24.3	-10.7	16.5	8.3

資料來源：公司資料及統一投顧預估



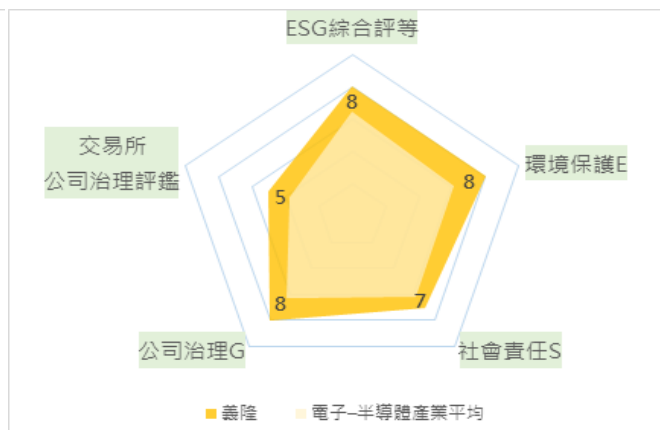
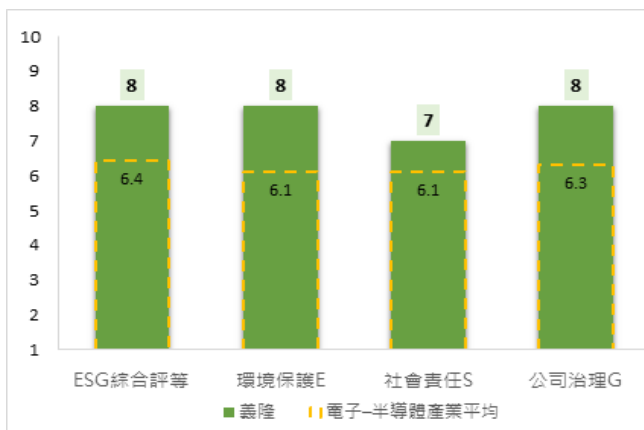
ESG 永續發展專區

CMoney Taiwan ESG Rating



CMoney ESG Rating	E 環境保護 Rating	S 社會責任 Rating	G 公司治理 Rating
8 / 10	8 / 10	7 / 10	8 / 10

交易所產業分類排名	交易所公司治理評鑑	永續報告書連結
5 / 206	6%至 20%	https://esggenplus.twse.com.tw/api/api/MopsSustainReport/data/FileStream?id=55a3c685-87a2-4ee7-8b20-265f684cb9db



資料來源：交易所、CMoney 及統一投顧整理

溫室氣體盤查數據

年度	排放總量(公噸)	範疇一(公噸)	範疇二(公噸)
2020	793,668	177,914	615,754
2019	732,111	153,110	579,001
2018	642,790	89,618	553,172

員工人數與福利

年度	員工人數(人)	員工人數增減(人)	福利費用(千)
2025	1,367	62	2,661,579
2024	1,305	4	2,752,372
2023	1,301	-26	2,493,852

交易所公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及 平等對待股東	強化董事會結構 與運作	資訊透明度	落實 企業社會責任
2026	6%至 20%	A	0.16	0.25	0.10	0.49
2025	6%至 20%	A	0.19	0.29	0.17	0.35
2024	6%至 20%	A	0.22	0.31	0.19	0.28

資料來源：交易所、CMoney 及統一投顧整理

企業用水量盤查數據

年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2020	未揭露	--	--
2019	未揭露	--	--
2018	未揭露	--	--

股權控制情形

年度	席次控制權(%)	股份控制權(%)	股權集中度
2025	5	22	0
2024	5	22	0
2023	4	22	0



附錄一：評等之標準

評等	定義
強力買進	預估未來 6 個月內的絕對報酬超過 25%以上
買進	預估未來 6 個月內的絕對報酬 10%以上
中立	預估未來 6 個月內的絕對報酬介於 10%~10%
降低持股	預估未來 6 個月內的絕對報酬介於 (-10%) 以下
未評等	沒有足夠的基本資料判斷該公司評等

附錄二：免責宣言

© 2010 統一投資顧問股份有限公司版權所有。本公司提供之報告內容係根據本公司認可之資料來源，並基於特定日期所做之判斷，但不保證其完整性或正確性，報告中所有的意見及預估，如有變更恕不另行通知。

本研究報告所載之投資資訊，僅提供客戶做為一般投資參考，並非針對特定對象提供專屬之投資建議。文中所載資訊或任何意見，不構成任何買賣有價證券或其他投資標的之要約、宣傳或引誘等事項。對於本投資報告所討論或建議之任何證券、投資標的，或文中所討論或建議之投資策略，投資人應就其是否適合本身財務狀況與投資條件，進一步諮詢財務顧問的意見。本投資報告之內容取材自據信為可靠之資料來源，但概不以明示或默示的方式，對資料之準確性、完整性或正確性作出任何陳述或保證。本投資報告載述意見進行更改與撤回並不另行通知。本投資報告並非（且不應解釋為）在任何司法管轄區內，任何非依法從事證券經紀或交易之人士或公司，為於該管轄區內從事證券經紀或交易之遊說。本投資報告內容屬統一投顧之著作權，嚴禁抄襲與仿造。



服務據點

台北

統一綜合證券股份有限公司

電話：886-2-2747-8266

地址：台北市松山東興路 8 號 1 樓

台北

統一證券投資顧問股份有限公司

電話：886-2-2748-8399

地址：台北市松山東興路 8 號 3 樓

06 Aug 2026 09:47:06 ET | 14 pages

Advantech (2395.TW)

Strong Demand and Record Order in July, Yet Rich Valuation Caps Upside

CITI'S TAKE

Advantech hosted its 2Q26 briefing on Aug 5th. The mgmt. indicated demand momentum remains healthy with July bookings hitting a record figure and group BB ratio improving to 1.6x from 1.4x in 2Q26. 3Q26 sales are estimated to grow both q/q and y/y, driven by solid strength from semi, cloud infra, and factory automation demand. However, shortages of key components remain a near-term constraint, while higher component costs are being passed through partly. We increase our 2026-28E EPS 27-34% and lift our TP to NT\$670 (35x NTM P/E). Maintain Neutral as the rich valuation appears to have priced in much of the improving demand outlook.

Regional and segment recovery remained broad-based — 2Q26 results beat on broad-based growth and strong operating leverage. Of the 33% y/y 2Q26 sales growth in USD term, the mgmt. attributed to 20ppt to volume growth and 13ppt to price increases. In 1H26, NA grew 30% y/y (in USD terms), driven by semi equipment, robotics, and cloud infra. EU increased 29% y/y, supported by medical, and factory automation, while China rose 51% y/y on stronger channel sales, semi and robotics projects.

Strong July bookings indicate a solid 2H outlook — The group's 2Q26 BB ratio remained strong at 1.4x, including 1.9x in NA, 1.3x in EU and 1.2x in China. July bookings reached a record US\$570mn, lifting the monthly BB ratio to 1.6x and suggesting that demand momentum remains solid entering 3Q driven by the ongoing strength in edge AI computing in various end applications. The mgmt. expects 3Q26E sales to be up q/q and y/y, with GPM and OPM broadly stable q/q.

Component shortages remain the key execution risk — Per mgmt., PCB and CCL supply remains particularly tight, while DDR4 and SSD availability has improved but it not yet normalized. CPUs and PMICs also remain constrained, with extended lead times. Advantech expects 3Q material availability to remain manageable through early procurement, although PCB procurement would remain challenging in the coming quarter. A second round of price increases is underway, particularly for commodity-related products but the pass-through will be gradual; hence, meaningful GPM recovery may require component inflation to ease. (continued)

Earnings Summary

Year to 31 Dec	Net Profit (NT\$M)	Diluted EPS (NT\$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	9,005	10.46	-19.2	60.5	10.6	18.0	1.3
2025A	10,593	12.26	17.2	51.6	10.0	19.9	1.4
2026E	16,374	18.87	54.0	33.5	9.7	29.4	2.2
2027E	17,626	20.30	7.6	31.2	8.7	29.5	2.3
2028E	19,515	22.48	10.7	28.2	7.8	29.2	na

Source: Powered by dataCentral

Neutral

Price (05 Aug 26 13:30)	NT\$633.00
Target price	NT\$670.00↑ from NT\$405.00
Expected share price return	5.8%
Expected dividend yield	2.2%
Expected total return	8.0%
Market Cap	NT\$549,605M US\$17,028M

Price Performance

(RIC: 2395.TW, BB: 2395 TT)



Angela Hsu^{AC}

+886-2-8726-9083
angela.hc.hsu@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

2395.TW: Fiscal year end 31-Dec						Price: NT\$633.00; TP: NT\$670.00; Market Cap: NT\$549,605m; Recomm: Neutral					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	59,786	70,882	97,828	106,409	116,736	PE (x)	60.5	51.6	33.5	31.2	28.2
Cost of sales	-35,410	-42,685	-60,406	-64,636	-70,709	PB (x)	10.6	10.0	9.7	8.7	7.8
Gross profit	24,376	28,198	37,422	41,773	46,027	EV/EBITDA (x)	51.5	40.8	26.4	24.1	21.6
Gross Margin (%)	40.8	39.8	38.3	39.3	39.4	FCF yield (%)	1.3	1.4	2.7	2.9	3.4
EBITDA (Adj)	9,984	12,559	19,429	21,178	23,328	Dividend yield (%)	1.3	1.4	2.2	2.3	na
EBITDA Margin (Adj) (%)	16.7	17.7	19.9	19.9	20.0	Payout ratio (%)	80	73	73	73	0
Depreciation	-934	-992	-1,072	-1,083	-1,083	ROE (%)	18.0	19.9	29.4	29.5	29.2
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	9,050	11,567	18,357	20,095	22,245	EBITDA	9,984	12,559	19,429	21,178	23,328
EBIT Margin (Adj) (%)	15.1	16.3	18.8	18.9	19.1	Working capital	-1,136	-406	-874	-1,605	-980
Net interest	294	252	312	314	453	Other	-162	-1,066	-2,043	-2,527	-2,788
Associates	-176	-102	467	175	175	Operating cashflow	8,686	11,086	16,512	17,046	19,560
Non-Op/Except/Other Adj	1,807	972	642	700	700	Capex	-1,852	-3,200	-1,928	-1,000	-1,000
Pre-tax profit	10,975	12,690	19,779	21,284	23,573	Net acq/disposals	-125	-97	-1,194	-175	-175
Tax	-2,086	-2,189	-3,464	-3,716	-4,116	Other	-829	-1,375	-912	0	0
Extraord./Min.Int./Pref.div.	117	92	60	59	59	Investing cashflow	-2,806	-4,672	-4,034	-1,175	-1,175
Reported net profit	9,005	10,593	16,374	17,626	19,515	Dividends paid	-8,120	-7,252	-7,740	-11,965	-12,880
Net Margin (%)	15.1	14.9	16.7	16.6	16.7	Financing cashflow	-5,983	-7,473	-14,480	-11,072	-11,897
Core NPAT	9,005	10,593	16,374	17,626	19,515	Net change in cash	-102	-1,059	-2,002	4,799	6,488
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	6,834	7,886	14,584	16,046	18,560
Reported EPS (\$)	10.46	12.26	18.87	20.30	22.48						
Core EPS (\$)	10.46	12.26	18.87	20.30	22.48						
DPS (\$)	8.40	8.94	13.77	14.82	0						
CFPS (\$)	10.09	12.83	19.03	19.63	22.53						
FCFPS (\$)	7.94	9.13	16.81	18.48	21.38						
BVPS (\$)	59.55	63.46	65.10	72.57	81.27						
Wtd avg ord shares (m)	861	864	868	868	868						
Wtd avg diluted shares (m)	861	864	868	868	868						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	-7.4	18.6	38.0	8.8	9.7						
EBIT (Adj) (%)	-25.4	27.8	58.7	9.5	10.7						
Core NPAT (%)	-16.9	17.6	54.6	7.6	10.7						
Core EPS (%)	-19.2	17.2	54.0	7.6	10.7						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	19,528	18,470	16,467	21,267	27,754						
Accounts receivables	10,124	10,535	15,329	17,604	19,335						
Inventory	10,554	11,835	15,752	17,923	19,679						
Net fixed & other tangibles	12,244	14,452	15,308	15,225	15,142						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	19,292	20,426	23,229	23,615	24,043						
Total assets	71,742	75,718	86,085	95,635	105,952						
Accounts payable	6,911	7,681	10,778	12,546	13,775						
Short-term debt	0	0	0	0	0						
Long-term debt	156	150	0	0	0						
Provisions & other liab	12,878	12,837	18,614	19,899	21,428						
Total liabilities	19,945	20,668	29,391	32,446	35,203						
Shareholders' equity	51,428	54,947	56,574	63,070	70,630						
Minority interests	369	102	119	119	119						
Total equity	51,797	55,049	56,693	63,189	70,749						
Net debt (Adj)	-19,372	-18,319	-16,467	-21,267	-27,754						
Net debt to equity (Adj) (%)	-37.4	-33.3	-29.0	-33.7	-39.2						

For definitions of the items in this table, please click [here](#).

Click here to type Chapter Heading

[Click here to type text](#)

Click here to type Heading

Implications — We raise our 2026–2028E sales estimates 17–22% and EPS forecasts by 27–34%, reflecting strong 2Q results, record bookings and management’s constructive guidance. Our new TP of NT\$670 is based on 35x 2H26–1H27E P/E, sitting at the higher end of its historical range, reflecting its solid demand outlook, improving OPM and ROE trend. While we remain positive on Advantech’s leadership in industrial computing and edge AI, we remain Neutral given the stock’s strong rally, premium valuation and lingering component-cost pressures.

Figure 1. Earnings Estimates Revisions

(NT\$m)	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	97,828	80,296	22%	106,409	89,498	19%	116,736	99,790	17%
Gross profit	37,422	31,445	19%	41,773	35,540	18%	46,027	39,864	15%
Opex	19,065	17,967	6%	21,678	20,376	6%	23,782	22,720	5%
Operating profit	18,357	13,478	36%	20,095	15,164	33%	22,245	17,144	30%
Pre-tax profit	19,779	14,778	34%	21,284	16,504	29%	23,573	18,594	27%
Net income	16,374	12,188	34%	17,626	13,606	30%	19,515	15,322	27%
EPS (NT\$)	18.87	14.10	34%	20.30	15.74	29%	22.48	17.72	27%
Margins (%)									
Gross margin	38.3	39.2	-0.9	39.3	39.7	-0.5	39.4	39.9	-0.5
Opex ratio	19.5	22.4	-2.9	20.4	22.8	-2.4	20.4	22.8	-2.4
Operating margin	18.8	16.8	2.0	18.9	16.9	1.9	19.1	17.2	1.9
Net margin	16.7	15.2	1.6	16.6	15.2	1.4	16.7	15.4	1.4

© 2026 Citigroup Inc. No redistribution without Citigroup’s written permission.

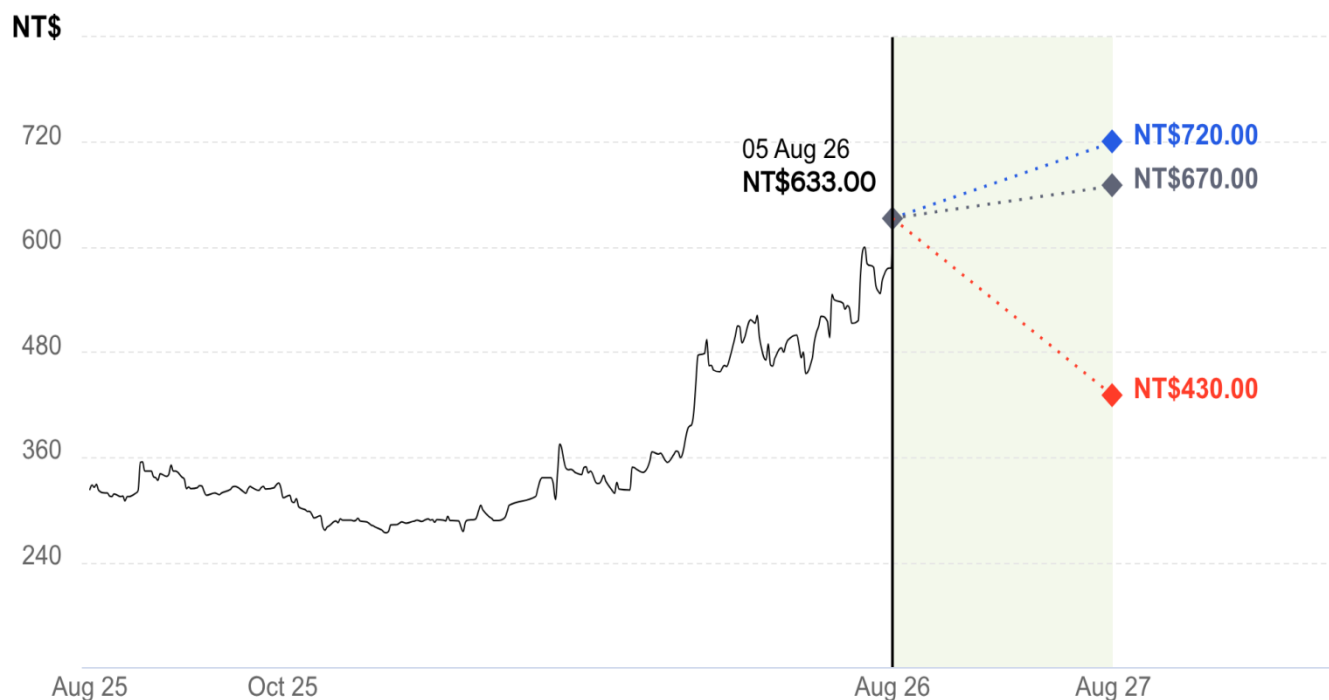
Source: Citi Research, Citi Research Estimates

Bull/Bear: Advantech (2395.TW)

NT\$ **720.00**
▲14% Upside

NT\$ **670.00**
▲5.8% Upside

NT\$ **430.00**
▼32% Downside



Spread 46pp
Current Price and expected returns (upside/downside) as of 05 Aug 2026



BULL Assumptions

- Target multiple of 40x



BASE Assumptions

- Sales to grow by 35-40% y-o-y in 2026E with OPM of 18-19%
- Target multiple of 35x



BEAR Assumptions

- Target multiple of 27x

Advantech

Company description

Advantech, established in 1981, is the largest Industrial PC company globally in terms of sales. Through a series of M&As and alliances, it has established strong domain know-how across various verticals and its diversified customer base, and it provides broad product offerings ranging from single boards, industrial handheld devices, industrial automation equipment, transportation controlling systems, and smart city solutions. North America and China are its largest markets.

Investment strategy

We rate Advantech shares at Neutral. We think the company's relatively stable margins and improving ROE, as well as demand recovery from major markets should help support the share price performance. However, as these catalysts are likely reflected in the price, we think further upside would take a more broad-based demand recovery to justify.

Valuation

Our target price of NT\$670 is based on 35x 2H26-1H27E EPS, at the high-cycle of the stock's valuation range between 20-35x since 2020, reflecting solid BB ratio, improving margin profile and ROE.

Risks

Key upside risks that could cause Advantech's shares to trade above our target price include: 1) better-than-expected macroeconomic outlook; and 2) better-than-expected demand and margin profile. Key downside risks would include: 1) slower-than-expected demand recovery, especially the China market; and 2) further deterioration of demand in US and EU markets.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Advantech (2395.TW)

Ratings and Target Price History Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	02-Aug-23 11:36:08	2	*380.00	382.00
2	01-Nov-23 09:54:14	2	*365.00	331.50
3	06-Mar-24 05:53:58	2	*405.00	390.50
4	30-Apr-24 08:15:04	2	*392.00	380.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	31-Jul-24 07:31:03	2	*370.00	346.50
6	06-Nov-24 14:12:12	2	*340.00	327.00
7	10-Dec-24 04:40:29	2	*350.00	353.50
8	05-Mar-25 07:23:58	2	*390.00	390.00

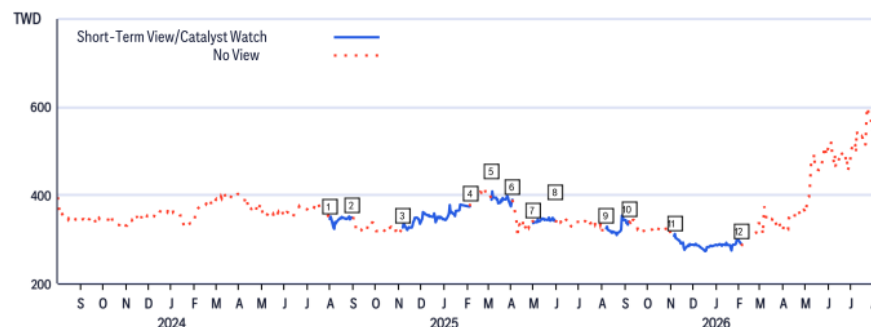
	Date	Rating	Target Price	Closing Price
9	01-May-25 11:38:19	2	*360.00	337.00
10	06-Aug-25 08:41:29	2	*365.00	325.50
11	05-Nov-25 10:30:54	2	*340.00	308.00
12	06-May-26 10:02:05	2	*405.00	409.50

Rating/target price changes above reflect Eastern Time

Advantech (2395.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	31-Jul-24 03:31:03	Add STV	Downside	30 Days	346.50
2	30-Aug-24 14:14:24	Remove STV	Downside	30 Days	349.00
3	06-Nov-24 09:12:12	Add STV	Downside	90 Days	327.00
4	04-Feb-25 19:44:16	Remove STV	Downside	90 Days	375.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
5	05-Mar-25 02:23:58	Add STV	Upside	30 Days	390.00
6	04-Apr-25 14:15:46	Remove STV	Upside	30 Days	390.00
7	01-May-25 07:38:19	Add STV	Downside	30 Days	337.00
8	30-May-25 14:27:05	Remove STV	Downside	30 Days	342.00

	Date	Action	Expected Direction	Duration	Closing Price
9	06-Aug-25 04:41:29	Add STV	Upside	30 Days	325.50
10	05-Sep-25 14:02:49	Remove STV	Upside	30 Days	341.00
11	05-Nov-25 05:30:54	Add STV	Downside	90 Days	308.00
12	03-Feb-26 19:57:44	Remove STV	Downside	90 Days	290.00

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Advantech in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Advantech.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Advantech.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may

engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited Angela Hsu

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this

communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvchVhRGZlY2xvc3YyZUh0bWxzL2dkaV9kaXNfc2VhV9UZXJtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The

address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global

Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information (e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026

Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

Advanced Energy Solution (6781.TW)

2Q26 Beat and July Sales Affirm BBU Strength

CITI'S TAKE

AES's 2Q26 results were ahead of expectations, with net income beating our/BBG estimates by 12%/16%, primarily driven by stronger GPM. We believe the 3ppt q/q GPM expansion likely reflected a better product mix helped by more contributions of higher power BBU and improved fixed-cost leverage as shipment volumes increased. The beat suggests upside risk to our/BBG full year earnings estimates. Meanwhile, record July-26 sales, +28% y/y and +2% m/m, provide further evidence of sustained BBU demand momentum. Overall, the results reinforce our positive view on the BBU sector. We also see this as a positive read-across to Dynapack - AES's strong margin expansion suggests meaningful room for Dynapack's profitability to improve as its BBU sales scale, product mix shifts toward higher power products and operating leverage becomes more evident.

2Q26 results beat on stronger margins — Sales rose 21% y/y and 6% q/q to NT\$4.8bn, 2% above our estimate, while net income grew 33% y/y and 20% q/q to NT\$1.1bn, beating our/BBG estimates by 12%/16%. The key positive surprise was GPM, which expanded 3.0ppt q/q to 39.1%. We believe the improvement was likely driven by a better product mix, particularly a higher contribution from higher power rating BBU products, together with stronger fixed-cost leverage as shipment volume increased. The margins beat suggests potential upside risk to our and BBG full year earnings forecasts.

July-26 sales provide further evidence of robust BBU demand — Sales reached another record high of NT\$1.7bn, up 28% y/y and 2% m/m, extending the sequential growth momentum seen since March. The solid monthly performance following a strong 2Q suggests that demand remains healthy.

Implications — AES's strong results and solid July-26 sales reinforce our positive view on the BBU sector, supported by sustained AIDC infrastructure buildout,

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	2,169	25.39	10.2	42.9	6.3	15.7	1.1
2025A	3,263	38.20	50.4	28.5	5.5	20.7	1.7
2026E	3,959	46.35	21.3	23.5	4.5	21.2	2.1
2027E	5,240	61.35	32.4	17.8	3.9	23.6	2.8
2028E	6,671	78.09	27.3	14.0	3.3	25.7	3.5

Source: Powered by dataCentral

increasing BBU content and an ongoing shift toward higher-power products. The solid GPM expansion is also an encouraging read-across for Dynapack, our preferred BBU stock. It suggests meaningful room for Dynapack's profitability to improve as its

Buy

Price (06 Aug 26 13:30)	NT\$1,090.00
Target price	NT\$1,680.00
Expected share price return	54.1%
Expected dividend yield	2.1%
Expected total return	56.2%
Market Cap	NT\$93,106M
	US\$2,885M

Angela Hsu^{AC}

+886-2-8726-9083
angela.hc.hsu@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

BBU revenue scales and higher-power 8kW/12kW products begin contributing more meaningfully.

Figure 1. AES: 2Q26 Results Comp

Consolidated financials	2Q26			1Q26	QoQ	2Q25	YoY	2Q26	
(NT\$ mn)	Actual	Citi est.	Diff (%)	Actual	(%)	Actual	(%)	Consensus	Diff (%)
Revenue	4,808	4,707	2%	4,530	6%	3,972	21%	4,770	1%
Gross profits	1,878	1,713	10%	1,635	15%	1,439	31%	1,457	29%
Operating profits	1,311	1,143	15%	1,095	20%	986	33%	1,135	15%
Pretax earnings	1,386	1,233	12%	1,156	20%	1,048	32%	1,211	14%
Net income	1,094	974	12%	909	20%	825	33%	944	16%
EPS (NT\$)	12.81	11.41	12%	10.64	20%	9.66	33%	11.05	16%
Margins (%)									
Gross margin	39.1%	36.4%	2.7%	36.1%	3.0%	36.2%	2.8%	35.5%	3.5%
Operating margin	27.3%	24.3%	3.0%	24.2%	3.1%	24.8%	2.4%	23.8%	3.5%
Net margin	22.8%	20.7%	2.1%	20.1%	2.7%	20.8%	2.0%	19.8%	3.0%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Citi Research Estimates, Company Reports, Bloomberg

Advanced Energy Solution

Valuation

Our target price of NT\$1,680 is based on 27x 2026E EPS on par with its historical average since listing and supported by a 2025-28E earnings CAGR of 27%. We use 2027E as the year of valuation base as we think 2027E can better reflect its earnings power after the commercialization of HVDC products.

Risks

Key downside risks to our earnings forecasts that could prevent the shares from reaching our target price include: 1) slower-than-expected end demand from e-Bikes post the pandemic and volatility in cloud capex deployment that could impact datacenter BBU sales; 2) component supply constraints/logistics challenges, which could lead to slower-than-expected shipment and top-line momentum; and 3) peer competition, which could impact sales growth and margins negatively, in our view.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Advanced Energy Solution (6781.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	12-Jan-24 03:58:35	1	*805.00	641.00
2	11-Mar-24 07:08:28	1	*870.00	731.00
3	07-May-24 05:19:12	1	*820.00	630.00

	Date	Rating	Target Price	Closing Price
4	30-Aug-24 05:12:48	1	*670.00	515.00
5	15-Nov-24 07:46:33	1	*1,020.00	772.00
6	11-Feb-25 04:53:18	1	*1,220.00	1,065.00

	Date	Rating	Target Price	Closing Price
7	10-Jun-25 00:11:45	1	*1,330.00	1,025.00
8	26-Aug-25 23:59:20	1	*1,660.00	1,295.00
9	07-Jul-26 04:00:10	1	*1,680.00	1,175.00

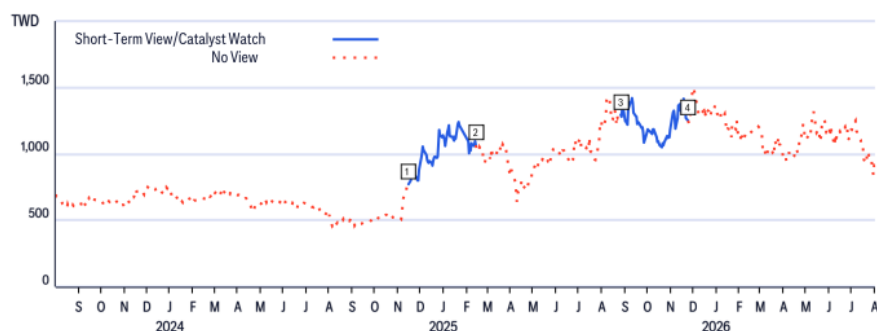
*Indicates Change

Rating/target price changes above reflect Eastern Time

Advanced Energy Solution (6781.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	15-Nov-24 02:46:33	Add STV	Upside	90 Days	772.00
2	13-Feb-25 19:44:16	Remove STV	Upside	90 Days	1,065.00

	Date	Action	Expected Direction	Duration	Closing Price
3	26-Aug-25 19:59:20	Add STV	Upside	90 Days	1,295.00
4	24-Nov-25 19:44:47	Remove STV	Upside	90 Days	1,250.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Advanced Energy Solution in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Advanced Energy Solution.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Advanced Energy Solution.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds

15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited Angela Hsu

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates. Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are

encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from

the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia : This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHVjRGltZ2xvc3VyZUh0bWxzL2dkbV9kaXNfc2ViaV9UZjtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana ,Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this

research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht – BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

Chroma ATE (2360.TW)

July Revenue Exceeded NT\$5.4bn, Bright Outlook Remains Intact

CITI'S TAKE

Chroma ATE began 3Q26 with another record-breaking monthly revenue of NT\$5,434mn (+175% YoY / +32% MoM) for July, already reaching 39% BBG consensus/Citi est. for 3Q26 revenue. The ParentCo revenue also came in at record-high of NT\$4,180mn (+145% YoY / +22% MoM) indicating strong tester demand and battery revenue. While 2Q26 margin miss and market share debate weighed on the share price lately, we believe Chroma's AI testing growth thesis and robust 2027-28 growth outlook remain intact. CPO revenue began in July and could expand several times next year. New products in metrology, FT handler, burn-in system could see more meaningful contribution starting 2027. The expanded revenue scale should lead to better operating leverage going forward. We maintain our positive view and Buy rating for Chroma. Progress in CPO tester and new metrology tools are likely positive share catalysts.

Buy

Price (06 Aug 26 13:30)	NT\$1,975.00
Target price	NT\$2,500.00
Expected share price return	26.6%
Expected dividend yield	1.0%
Expected total return	27.6%
Market Cap	NT\$839,860M
	US\$26,020M

Kevin Chen^{AC}

+852-2501-2125
kevin.y.chen@citi.com

Kyna Wong

kyna.wong@citi.com

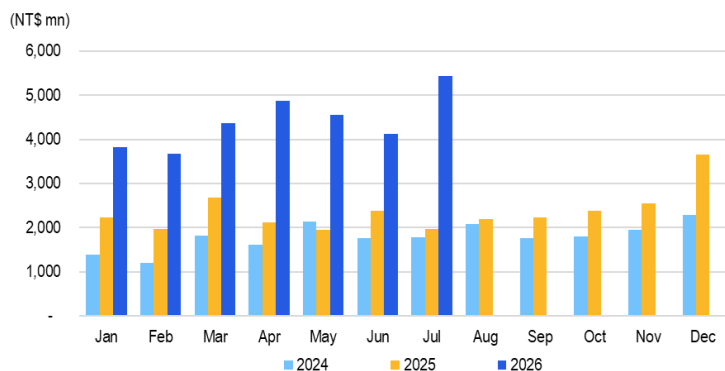
Karen Huang

karen.xw.huang@citi.com

Yiming Li, CFA

yiming.li@citi.com

Figure 1. Chroma ATE – Monthly Revenue Trend

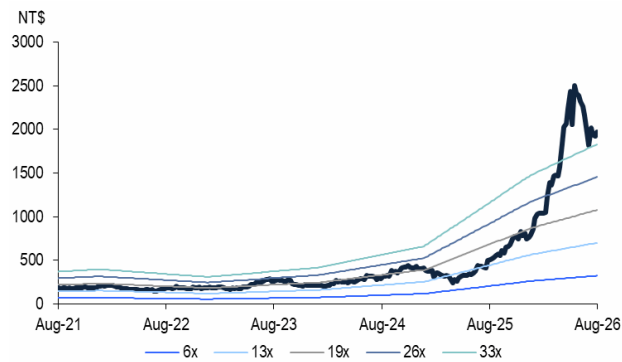


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 2. Chroma ATE – 12M Fwd. P/E Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: dataCentral, Citi Research

Figure 3. Chroma ATE – 12M Fwd. P/E Chart



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: dataCentral, Citi Research

RELATED:

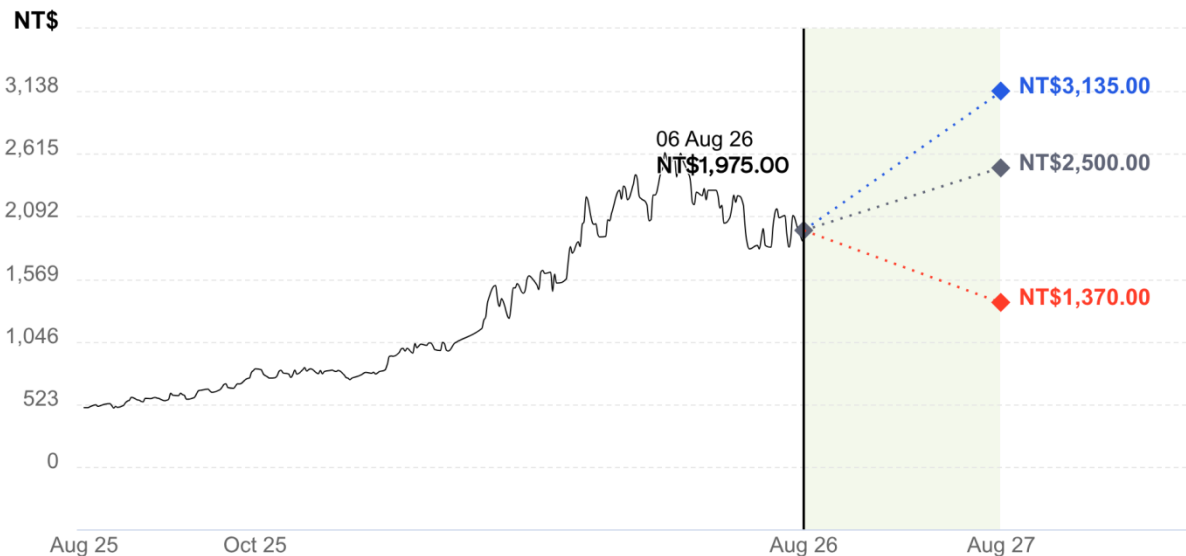
[Chroma ATE \(2360.TW\): 2Q Beat on Non-Op, Positive Outlook Intact](#)
[Greater China Semiconductors: US Marketing Takeaways](#)

Bull/Bear: Chroma ATE

NT\$ **3,135.00**
▲ 59% Upside

NT\$ **2,500.00**
▲ 27% Upside

NT\$ **1,370.00**
▼ 31% Downside



Spread 89pp
Current Price and expected returns (upside/downside) as of 06 Aug 2026

BULL Assumptions

- Revenue growth to NT\$57bn/75bn in 2026E/27E
- Net profit growth to NT\$21.1bn/29.5bn in 2026E/27E
- Valuation re-rating to 45x 2027E P/E

BASE Assumptions

- Revenue growth to NT\$52bn/69bn in 2026E/27E
- Net profit growth to NT\$18.8bn/26.5bn in 2026E/27E
- Valuation re-rating to 40x 2027E P/E

BEAR Assumptions

- Revenue growth to NT\$50bn/65bn in 2026E/27E
- Net profit growth to NT\$17.5bn/24.3bn in 2026E/27E
- Valuation re-rating to 25x 2027E P/E

Chroma ATE

Valuation

Our target price of NT\$2,500 is based on 40x 2027E P/E, at close to 1x PEG. Chroma shares have re-rated above its historical range as its growth outlook is now strongly tied to AI infrastructure build out. We estimate 60%+ of its revenue are now AI-related, with strong growth across product segments including power testers, SLT, metrology, and photonics. Chroma has a commanding market share in most of these segments and well positioned to capitalized on the global AI expansion.

Risks

Downside risks to our target price include: 1) softer AI/CPO growth expectation due to changes in capex outlook or production bottleneck; 2) fewer SLT needed as a result of shortened cycle time as GPU yield rate improves; 3) disappointing metrology shipment due to changes at ramp-up schedule; 4) testing process change leading to loss in market share; 5) FX risks (50-60% of Chroma's sales are in US\$, 10-20% in Rmb).

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

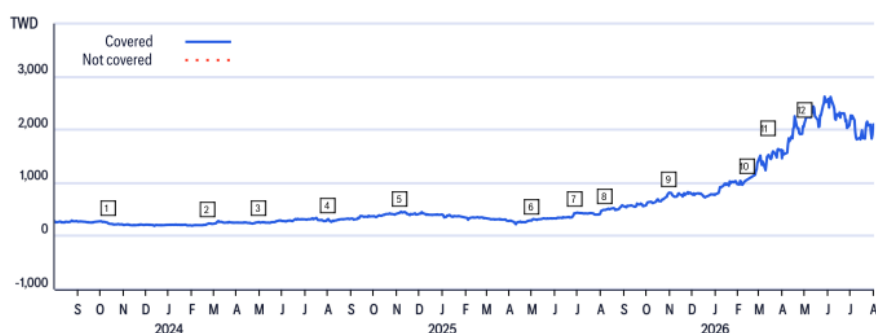
ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Chroma ATE (2360.TW)
Ratings and Target Price History
Fundamental Research

Analyst: Kevin Chen



	Date	Rating	Target Price	Closing Price
1	11-Oct-23 14:29:57	1	*330.00	253.00
2	21-Feb-24 11:50:58	1	*280.00	227.50
3	30-Apr-24 13:48:08	1	*320.00	266.50
4	31-Jul-24 15:19:03	1	*360.00	301.00

*Indicates Change

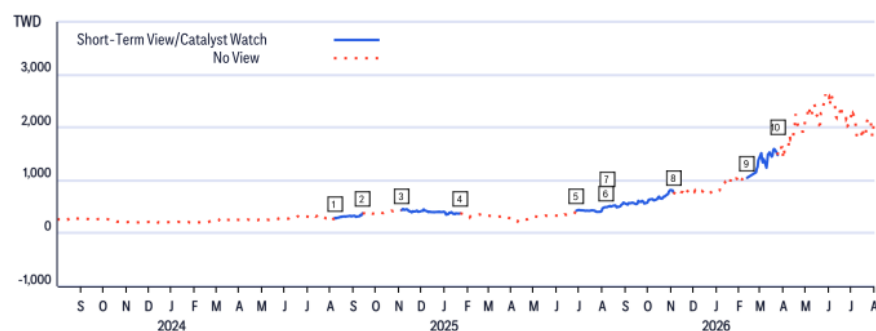
	Date	Rating	Target Price	Closing Price
5	04-Nov-24 17:53:01	1	*500.00	437.00
6	30-Apr-25 14:29:54	1	*425.00	292.50
7	29-Jun-25 19:17:54	1	*500.00	429.50
8	06-Aug-25 09:55:28	1	*550.00	494.50

	Date	Rating	Target Price	Closing Price
9	30-Oct-25 18:40:38	1	*900.00	804.00
10	22-Feb-26 19:26:56	1	*1,200.00	1,050.00
11	11-Mar-26 02:42:34	1	*1,650.00	1,495.00
12	03-May-26 18:43:42	1	*2,500.00	2,120.00

Rating/target price changes above reflect Eastern Time

Chroma ATE (2360.TW)
Short-Term View/Catalyst Watch Research

Analyst: Kevin Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	07-Aug-24 18:28:11	Add CW	Upside	90 Days	292.00
2	13-Sep-24 00:34:47	Remove CW	Upside	90 Days	380.00
3	04-Nov-24 12:53:01	Add STV	Upside	90 Days	437.00
4	02-Feb-25 19:44:53	Remove STV	Upside	90 Days	379.50

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
5	29-Jun-25 15:17:54	Add STV	Upside	90 Days	429.50
6	06-Aug-25 05:55:28	Remove STV	Upside	90 Days	494.50
7	06-Aug-25 05:55:28	Add CW	Upside	90 Days	494.50
8	04-Nov-25 19:35:17	Remove CW	Upside	90 Days	776.00

	Date	Action	Expected Direction	Duration	Closing Price
9	22-Feb-26 14:26:56	Add CW	Upside	30 Days	1,050.00
10	24-Mar-26 21:33:21	Remove CW	Upside	30 Days	1,480.00

Rating/target price changes above reflect Eastern Time

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm").

Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a

buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Asia Limited

Karen Huang; Kevin Chen; Kyna Wong; Yiming Li, CFA

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail

clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinks/cvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHVlRGZlY2xvc3VyZUh0bWxzL2dkaV9kaXNfc2ViaV9UZjJtc29mVXNlLmhm0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemun-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial

Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing

such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

06 Aug 2026 13:13:22 ET | 14 pages

Novatek (3034.TW)

Resilient 1H but early pull-in demand fading now; Neutral

CITI'S TAKE

Despite limited exposure to AI server, Novatek benefited from early pull-in demand and new product launches (eg, SoC), resulting in resilient 1H26 performance. However, looking forward, we think consumer demand could gradually fade away from 3Q26 onward. On the bright side, Novatek's market share gain in its US smartphone customer could help partially offset 2H headwinds. Overall, we still see limited catalysts in 2H for Novatek and stay at a Neutral rating with lifted TP of NT\$555 (15x 2027E EPS).

2Q26 GM beat — 2Q26 sales grew 24% QoQ with strong growth from SoC (>40% QoQ), followed by milder growth in LDDIC (+8% QoQ) and SMDDIC (+5% QoQ). 2Q26 GM of 42.4% surprised to the upside, beating Citi/consensus forecasts by 5.2ppt/2.8ppt, due to price adjustment, more low-cost inventory and favorable product mix. OP also saw better leverage given increasing sales scale. Overall OP levels beat Citi/consensus forecasts by 28%/24%.

3Q26 on high season but early pull-in demand fading now — The company guided 3Q26 sales to grow 7% QoQ at the mid-point, mostly thanks to high season for smartphone. By application, mgmt. sees fading early pull-in demand, resulting in QoQ decline in TV, NB, monitor and LDDIC, while SoC demand would be flat QoQ backed by edge AI/image vision products. 2Q26 GM is guided to decline 2.4ppt QoQ at the midpoint due to rising material and OSAT costs. The company continuously negotiates with clients to reflect inflation.

Conservatism over consumer demand; share gain in its US smartphone customer — Due to the memory shortage and rising costs, mgmt. is conservative with 2H 26 end demand, given early pull-in in 1H. The company still targets introduction of more new products to maintain its sales growth and GM profile, such as edge AI, machine learning, foldable phone, OLED TDDI. For its US smartphone customer, given its superior technology capabilities in 22nm high-voltage process, we forecast the company wins a major share in iPhone adopting OLED DDIC from LG Display vs even share in last generation. Thus, we expect iPhone would help partially offset other consumer weakness. For FinFET process, the product is still under evaluation.

Earnings/TP raise; maintain Neutral — We raise our 2026/27E earnings by 12%/6% to factor in resilient GM profile despite inflation headwinds. We also introduce our 2028E earnings forecast. We lift our TP to NT\$555 (15x 2027E EPS) from NT\$460 (15x 2026E EPS) and maintain our Neutral rating.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	20,342	33.41	-12.7	16.3	4.9	30.1	5.2
2025A	16,348	26.85	-19.6	20.2	4.9	24.1	4.2
2026E	21,042	34.55	28.7	15.7	4.4	29.4	5.3
2027E	22,623	37.15	7.5	14.6	4.1	29.1	5.8
2028E	24,500	40.23	8.3	13.5	3.9	29.6	6.2

Source: Powered by dataCentral

Neutral

Price (06 Aug 26 13:30) NT\$543.00

Target price NT\$555.00↑
from NT\$460.00

Expected share price return 2.2%

Expected dividend yield 5.3%

Expected total return 7.6%

Market Cap NT\$330,422M
US\$10,237M

Price Performance (RIC: 3034.TW, BB: 3034 TT)



Jack Chen^{AC}

+886-2-8726-9091
jack1.chen@citi.com

Laura (Chia Yi) Chen
+886-2-8726-9090
laura.cy.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

3034.TW: Fiscal year end 31-Dec						Price: NT\$543.00; TP: NT\$555.00; Market Cap: NT\$330,422m; Recomm: Neutral					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	102,788	100,663	112,924	119,597	126,996	PE (x)	16.3	20.2	15.7	14.6	13.5
Cost of sales	-61,315	-62,755	-68,232	-72,919	-77,321	PB (x)	4.9	4.9	4.4	4.1	3.9
Gross profit	41,472	37,908	44,692	46,679	49,676	EV/EBITDA (x)	12.5	15.3	12.1	10.8	9.8
Gross Margin (%)	40.3	37.7	39.6	39.0	39.1	FCF yield (%)	4.8	3.3	4.6	6.6	7.0
EBITDA (Adj)	22,035	18,328	23,281	25,865	28,079	Dividend yield (%)	5.2	4.2	5.3	5.8	6.2
EBITDA Margin (Adj) (%)	21.4	18.2	20.6	21.6	22.1	Payout ratio (%)	84	86	84	84	84
Depreciation	-229	-91	-80	-80	-80	ROE (%)	30.1	24.1	29.4	29.1	29.6
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	21,806	18,237	23,201	25,785	27,999	EBITDA	22,035	18,328	23,281	25,865	28,079
EBIT Margin (Adj) (%)	21.2	18.1	20.5	21.6	22.0	Working capital	-3,919	-4,735	-5,605	-478	-1,163
Net interest	1,296	1,019	909	931	955	Other	-1,464	-1,889	-2,160	-3,162	-3,499
Associates	113	83	199	180	180	Operating cashflow	16,652	11,704	15,517	22,226	23,417
Non-Op/Except/Other Adj	911	195	1,130	40	40	Capex	-943	-907	-197	-400	-400
Pre-tax profit	24,126	19,534	25,439	26,937	29,174	Net acq/disposals	0	0	0	0	0
Tax	-3,784	-3,186	-4,397	-4,313	-4,674	Other	182	-280	-767	-330	-330
Extraord./Min.Int./Pref.div.	0	0	0	0	0	Investing cashflow	-761	-1,187	-965	-730	-730
Reported net profit	20,342	16,348	21,042	22,623	24,500	Dividends paid	-19,472	-17,038	-13,996	-17,675	-19,004
Net Margin (%)	19.8	16.2	18.6	18.9	19.3	Financing cashflow	-21,010	-16,869	-13,402	-17,675	-19,004
Core NPAT	20,342	16,348	21,042	22,623	24,500	Net change in cash	-5,119	-6,352	1,151	3,821	3,683
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	15,709	10,797	15,319	21,826	23,017
Reported EPS (\$)	33.41	26.85	34.55	37.15	40.23						
Core EPS (\$)	33.41	26.85	34.55	37.15	40.23						
DPS (\$)	28.00	23.00	29.05	31.23	33.82						
CFPS (\$)	27.35	19.22	25.48	36.49	38.45						
FCFPS (\$)	25.80	17.73	25.15	35.84	37.79						
BVPS (\$)	111.62	111.32	123.59	131.72	140.75						
Wtd avg ord shares (m)	609	609	609	609	609						
Wtd avg diluted shares (m)	609	609	609	609	609						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	-6.9	-2.1	12.2	5.9	6.2						
EBIT (Adj) (%)	-18.2	-16.4	27.2	11.1	8.6						
Core NPAT (%)	-12.8	-19.6	28.7	7.5	8.3						
Core EPS (%)	-12.7	-19.6	28.7	7.5	8.3						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	48,771	42,419	43,570	47,391	51,074						
Accounts receivables	20,274	21,099	23,291	23,663	25,265						
Inventory	8,701	8,641	14,100	14,325	15,296						
Net fixed & other tangibles	19,385	19,208	19,698	20,117	20,537						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	5,271	5,999	7,322	7,584	7,954						
Total assets	102,401	97,366	107,980	113,080	120,126						
Accounts payable	10,635	9,352	14,232	14,247	15,206						
Short-term debt	0	0	0	0	0						
Long-term debt	0	0	0	0	0						
Provisions & other liab	23,843	20,274	18,541	18,678	19,270						
Total liabilities	34,477	29,627	32,773	32,925	34,475						
Shareholders' equity	67,923	67,739	75,207	80,155	85,651						
Minority interests	0	0	0	0	0						
Total equity	67,923	67,739	75,207	80,155	85,651						
Net debt (Adj)	-48,771	-42,419	-43,570	-47,391	-51,074						
Net debt to equity (Adj) (%)	-71.8	-62.6	-57.9	-59.1	-59.6						

For definitions of the items in this table, please click [here](#).

Figure 1. Novatek – 2Q26 Results

(NT\$m)	2Q26 Actual	1Q26 Actual	Q/Q	2Q25 Actual	Y/Y	2Q26 Citi	Diff.	2Q26 Cons.	Diff.
Revenue	28,660	23,145	24%	26,152	10%	25,270	13%	27,980	2%
Gross profit	12,157	9,040	34%	9,494	28%	9,396	29%	11,082	10%
Gross margin	42.4%	39.1%	+3.4 ppt	36.3%	+6.1 ppt	37.2%	+5.2 ppt	39.6%	+2.8 ppt
Op. profit	6,466	4,028	61%	4,823	34%	5,034	28%	5,226	24%
OP margin	22.6%	17.4%	+5.2 ppt	18.4%	+4.1 ppt	19.9%	+2.6 ppt	18.7%	+3.9 ppt
Net income	6,328	3,767	68%	3,739	69%	4,775	33%	4,640	36%
EPS (NT\$)	10.39	6.19	68%	6.14	69%	7.84	32%	7.64	36%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. Novatek – Earnings Revisions

(NT\$m)	3Q26E			4Q26E			2026E			2027E			2028E
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New
Sales	31,043	28,344	10%	30,076	28,344	6%	112,924	105,007	8%	119,597	111,543	7%	126,996
Sequential growth (%)	8%	12%		-3%	0%		12%	4%		6%	6%		6%
Gross profit	11,933	10,879	10%	11,562	10,879	6%	44,692	39,724	13%	46,679	43,436	7%	49,676
Opex	5,464	5,272	4%	5,323	5,017	6%	21,490	18,801	14%	20,894	19,488	7%	21,677
Operating profit	6,469	5,607	15%	6,239	5,862	6%	23,201	20,924	11%	25,785	23,948	8%	27,999
Pre-tax profit	6,701	5,929	13%	6,567	6,272	5%	25,439	22,336	14%	26,937	25,390	6%	29,174
Net income	5,562	4,921	13%	5,385	5,143	5%	21,042	18,747	12%	22,623	21,325	6%	24,500
EPS (NT\$)	9.13	8.08	13%	8.84	8.45	5%	34.55	30.79	12%	37.15	35.02	6%	40.23
Gross margin (%)	38.4%	38.4%	+0.1 ppt	38.4%	38.4%	+0.1 ppt	39.6%	37.8%	+1.7 ppt	39.0%	38.9%	+0.1 ppt	39.1%
Opex ratio (%)	17.6%	18.6%	-1.0 ppt	17.7%	17.7%	-0.0 ppt	19.0%	17.9%	+1.1 ppt	17.5%	17.5%	-0.0 ppt	17.1%
Operating margin (%)	20.8%	19.8%	+1.1 ppt	20.7%	20.7%	+0.1 ppt	20.5%	19.9%	+0.6 ppt	21.6%	21.5%	+0.1 ppt	22.0%
Net margin (%)	17.9%	17.4%	+0.6 ppt	17.9%	18.1%	-0.2 ppt	18.6%	17.9%	+0.8 ppt	18.9%	19.1%	-0.2 ppt	19.3%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates

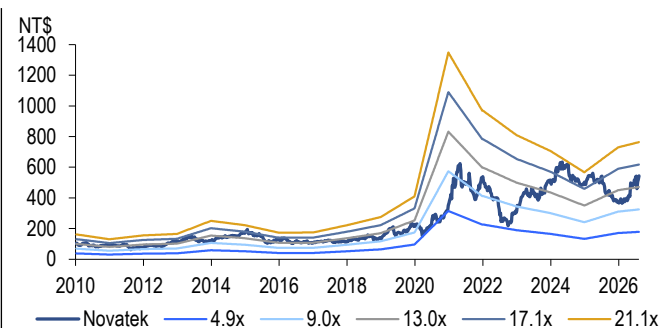
Figure 3. Novatek – Forecast Summary

(NT\$ in Mn. year-end Dec)	1Q	2026	3Q	4Q	10E	2027	3Q	4Q	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E
Revenue	23,145	28,660	31,043	30,076	28,815	29,671	30,556	30,556	54,834	64,372	79,956	135,366	109,957	110,429	102,788	100,663	112,924	119,597	126,996
COGS	-14,105	-16,503	-19,110	-18,513	-17,679	-18,174	-18,533	-18,533	-37,818	-43,758	-51,998	-67,974	-59,015	-64,217	-61,315	-62,755	-68,232	-72,919	-77,321
Gross Profit	9,040	12,157	11,933	11,562	11,135	11,497	12,023	12,023	17,015	20,614	27,958	67,392	50,941	46,212	41,472	37,908	44,692	46,679	49,676
Operating Expense	-5,012	-5,691	-5,464	-5,323	-5,187	-5,074	-5,500	-5,133	-9,400	-10,757	-13,180	-19,618	-18,212	-19,550	-19,666	-19,671	-21,490	-20,894	-21,677
SG&A expenses	-736	-860	-807	-812	-778	-801	-733	-794	-1,659	-1,855	-2,186	-3,018	-2,802	-2,759	-2,859	-2,946	-3,215	-3,107	-3,044
R&D expenses	-4,276	-4,831	-4,656	-4,511	-4,409	-4,273	-4,767	-4,339	-7,741	-8,902	-10,994	-16,601	-15,410	-16,791	-16,807	-16,725	-18,275	-17,787	-18,633
EBIT	4,028	6,466	6,469	6,239	5,949	6,423	6,523	6,890	7,615	9,857	14,778	47,773	32,729	26,662	21,806	18,237	23,201	25,785	27,999
Net Interest Income	226	237	224	222	231	243	230	227	57	78	96	107	509	1,234	1,296	1,019	909	931	955
Net Other Income	136	1,079	8	106	8	98	8	106	233	-121	-324	234	1,274	336	1,024	278	1,329	220	220
Pre-Tax Profit	4,389	7,782	6,701	6,567	6,188	6,764	6,761	7,223	7,906	9,815	14,549	48,115	34,511	28,231	24,126	19,534	25,439	26,937	29,174
Tax	622	1,454	1,139	1,182	1,052	812	1,149	1,300	-1,515	-1,888	-2,732	-9,249	-6,542	-4,914	-3,784	-3,186	-4,397	-4,313	-4,674
Net Profit	3,767	6,328	5,562	5,385	5,136	5,952	5,612	5,923	6,391	7,927	11,817	38,866	27,970	23,318	20,342	16,348	21,042	22,623	24,500
EPS (NT\$)	6.19	10.39	9.13	8.84	8.43	9.77	9.21	9.73	10.50	13.02	19.41	63.81	45.88	38.29	33.41	26.85	34.55	37.15	40.23
Margins (%)																			
Gross Margin	39.1	42.4	38.4	38.4	38.6	38.7	39.3	39.3	31.0	32.0	35.0	49.8	46.3	41.8	40.3	37.7	39.6	39.0	39.1
Operating Margin	17.4	22.6	20.8	20.7	20.6	21.6	21.3	22.5	13.9	15.3	18.5	35.3	29.8	24.1	21.2	18.1	20.5	21.6	22.0
Net Margin	16.3	22.1	17.9	17.9	17.8	20.1	18.4	19.4	11.7	12.3	14.8	28.7	25.4	21.1	19.8	16.2	18.6	18.9	19.3
Sequential Growth (%)																			
Revenue	1.4	23.8	8.3	-3.1	-4.2	3.0	3.0	0.0	16.5	17.4	24.2	69	-19	0	-7	-2	12	6	6
Gross Profit	3.8	34.5	-1.8	-3.1	-3.7	3.2	4.6	0.0	25.5	21.2	35.6	141	-24	-9	-10	-9	18	4	6
EBIT	4.3	60.5	0.0	-3.6	-4.6	8.0	1.6	5.6	32.3	29.4	49.9	223	-31	-19	-18	-16	27	11	9
Net Profit	2.1	68.0	-12.1	-3.2	-4.6	15.9	-5.7	5.5	27.2	24.0	49.1	229	-28	-17	-13	-20	29	8	8
EPS	2.1	68.0	-12.1	-3.2	-4.6	15.9	-5.7	5.5	27.2	24.0	49.1	229	-28	-17	-13	-20	29	8	8

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates, Company Reports

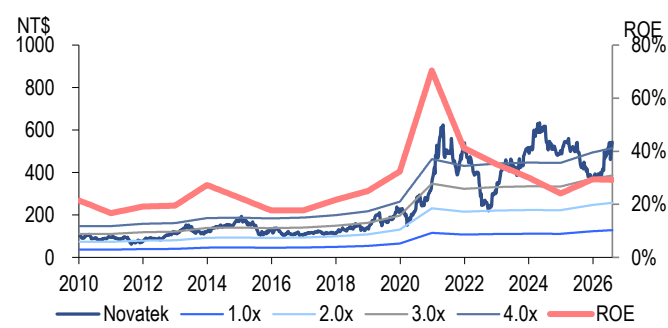
Figure 4. Novatek – 12M Forward P/E Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: dataCentral, Citi Research

Figure 5. Novatek – 12M Forward P/B Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: dataCentral, Citi Research

Bull/Bear: Novatek (3034.TW)

NT\$ 600.00
▲10% Upside

NT\$ 555.00
▲2.2% Upside

NT\$ 400.00
▼26% Downside



Spread 37pp
Current Price and expected returns (upside/downside) as of 06 Aug 2026

BULL Assumptions

- Better than expected OLED driver shipment in 2026/27E
- More share gain in iPhone OLED business

BASE Assumptions

- Weak TDDI demand with mild growth in OLED shipments in 2026/27E
- 39.6%/39.0% GPM and 18.6%/18.9% OPM in 2026/27E

BEAR Assumptions

- Tougher competition from peers in TDDI leading to some share loss
- More impact from the entity list change
- Ease of the supply chain tightness

Novatek

Company description

Novatek Microelectronics Corp., Ltd. designs, manufactures, and markets integrated circuits (ICs). The company's products are used in telecommunication, computer peripherals, consumer electronics, and LCD (liquid crystal display) drivers.

Investment strategy

We rate Novatek shares as Neutral. 2026 headwinds mainly came from rising memory costs and inflation (eg, OSATs), pressuring its GM profile. Although rising costs are negatively impacting end demand, we believe downside is likely limited given lean inventory levels both in Novatek itself and customers. Looking forward, we do expect Novatek to see good progress in 2026 in OLED DDIC for both the Android camp and iPhone camp with potential market share gain. However, considering lack of catalysts in sight in 2H26, we believe its share price would be range bound in the near term. A high dividend yield of c.5% would provide some protection to the shares, in our view.

Valuation

Our target price of NT\$555 is based on a 15x 2027E PE, which is higher than the average level of its 1-year forward consensus PE average of 13x over the past five years, justified by lean inventory levels in the industry, better S/D in the TV market, likely better progress in AMOLED DDIC for Apple business starting in 2026 (higher-than-expected market share) and ASIC upside. Our target price is equivalent to 2026/27E PB of 4.5x/4.2x.

Risks

Key upside risks that could cause the stock to trade above our target price include: 1) less macro uncertainty and recovering consumer demand; 2) fast edge AI ramp and resolution migration; 3) SoC business growth faster than expected; and 4) less increase in gold prices. Key downside risks include: 1) foundry hike pressure along with muted end demand; 2) foundry capacity constraints for certain nodes to limit growth potential; 3) edge AI ramp and resolution migration slowdown; 4) SoC business growth slows; and 5) more increase in gold prices.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than

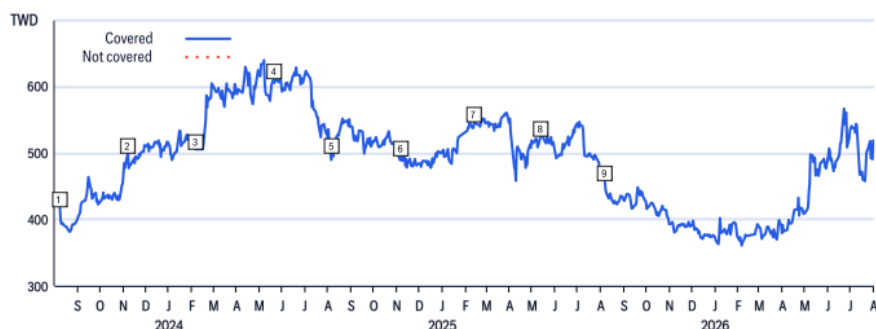
(a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Novatek (3034.TW)

Ratings and Target Price History Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	08-Aug-23 12:46:56	1	*500.00	417.50
2	07-Nov-23 12:39:36	1	*550.00	499.00
3	07-Feb-24 03:23:56	1	*560.00	506.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	20-May-24 09:42:35	1	*671.00	612.00
5	06-Aug-24 09:47:23	1	*640.00	499.50
6	06-Nov-24 12:37:56	1	*590.00	495.50

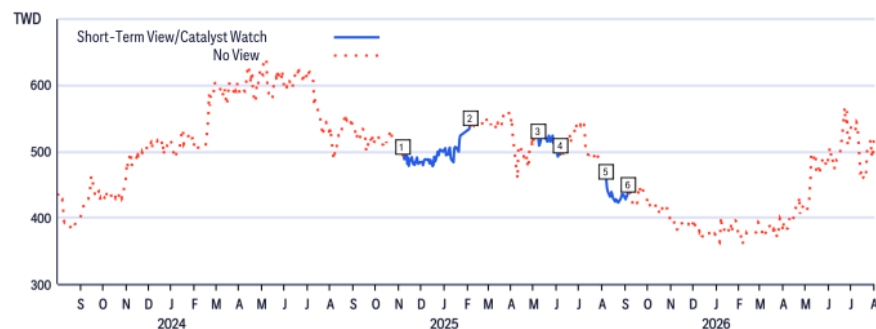
	Date	Rating	Target Price	Closing Price
7	12-Feb-25 06:44:16	1	*620.00	546.00
8	12-May-25 07:37:30	1	*590.00	525.00
9	06-Aug-25 20:28:52	*2	*460.00	458.00

Rating/target price changes above reflect Eastern Time

Novatek (3034.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Nov-24 07:37:56	Add STV	Upside	90 Days	495.50
2	04-Feb-25 19:44:22	Remove STV	Upside	90 Days	539.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	07-May-25 17:06:10	Add CW	Downside	30 Days	519.00
4	06-Jun-25 14:27:57	Remove CW	Downside	30 Days	498.00

	Date	Action	Expected Direction	Duration	Closing Price
5	06-Aug-25 16:28:52	Add STV	Downside	30 Days	458.00
6	05-Sep-25 14:02:34	Remove STV	Downside	30 Days	438.50

Rating/target price changes above reflect Eastern Time

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore

may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited Jack Chen; Laura (Chia Yi) Chen; Nicholas Lai

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published

research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (IFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel:+91-022-61759994, Fax:+91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/render/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHVlRGlzY2xvc3VyZU9kbWxzL2dkbV9kaXNfc2VlaV9UZjtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO>

[3002002000000&serviceld=SDIS03002002000](#). The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemun-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold//Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

06 Aug 2026 09:52:49 ET | 14 pages

NYPCB (8046.TW)

2Q26 GM beat; aggressive capex announced; Buy

CITI'S TAKE

NYPCB posted strong 2Q26 GM beat as other ABF peers. We've detailed our ABF/BT thesis for each of major Taiwanese peers in this [report](#). For NYPCB, we see upside from 1) product mix enhancement, 2) price hikes and 3) UTR improvement in its China plant. Although NYPCB just announced an aggressive capex plan for its capacity expansion, we think this expansion would be a greenfield project which likely wouldn't come online until late-2028. In the near term, we think the company would focus more on debottlenecking its existing plants or likely retrofitting some capacity. Overall, we remain bullish on NYPCB and slightly raise our DCF-based TP to NT\$1,600 (implied 30x 2027E EPS). Reiterate our Buy rating.

2Q26 GM strong beat — 2Q26 sales advanced 21% QoQ, which we believe is led by both ABF (major) and BT price hikes. Thus, 2Q26 GM expanded by 8.9ppt QoQ to 24.7%, beating Citi/consensus forecasts of 22.8%/21.3% by 1.9ppt/3.4ppt. Non-op is quite clean. Due to higher tax rate, overall earnings came 4% higher than Citi/consensus forecasts.

3Q26 stronger sales momentum — Given higher season, production ramp for more AI chips and price hike, we now forecast NYPCB's 2Q26E sales to grow 19% QoQ. We forecast ABF price hike of +17%/+12% QoQ in 3Q/4Q26E. We expect UTR in its China plant to see more meaningful improvement in the coming quarters. We forecast 3Q26E GM to expand to 29.2% (+4.5ppts QoQ), backed by GM improvement in both ABF and BT (likely GM>20%).

Significant capex announced — The company announced capex amount of NT\$46.8bn for capacity expansion with no timeframe specified. We think the investment is for a greenfield expansion with capacity likely to ramp in 2H28 at the earliest, given the long lead time in equipment procurement. To note that, this capex amount is basically equivalent to total capex amount from 2020 to 23. As per the announcement, the company said they might fund the expansion with its own cash, bank loans, or other financing methods.

Earnings slightly raised; reiterate Buy — We raise 2026/27/28E earnings by 3%/1%/1% to factor in 2Q26 results mainly. We slightly raise our TP of NYPCB to NT\$1,600 (30x 2027E EPS) from NT\$1,550 (30x 2027E EPS) and reiterate our Buy rating.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	204	0.32	-96.5	na	15.7	0.4	0.1
2025A	1,947	3.01	855.6	na	15.5	4.3	0.2
2026E	10,920	16.90	460.9	65.4	13.0	21.6	0.9
2027E	34,010	52.63	211.4	21.0	8.7	49.5	2.9
2028E	56,122	86.85	65.0	12.7	6.1	56.0	4.4

Source: Powered by dataCentral

Buy

Price (06 Aug 26 13:30)	NT\$1,105.00
Target price	NT\$1,600.00↑
	from NT\$1,550.00
Expected share price return	44.8%
Expected dividend yield	0.9%
Expected total return	45.7%
Market Cap	NT\$714,013M
	US\$22,121M

Price Performance (RIC: 8046.TW, BB: 8046 TT)



Jack Chen^{AC}

+886-2-8726-9091
jack1.chen@citi.com

Laura (Chia Yi) Chen
+886-2-8726-9090
laura.cy.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

8046.TW: Fiscal year end 31-Dec						Price: NT\$1,105.00; TP: NT\$1,600.00; Market Cap: NT\$714,013m; Recomm: Buy					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	32,283	40,173	58,955	108,538	166,798	PE (x)	na	na	65.4	21.0	12.7
Cost of sales	-31,926	-36,526	-43,838	-63,911	-93,499	PB (x)	15.7	15.5	13.0	8.7	6.1
Gross profit	358	3,647	15,117	44,627	73,299	EV/EBITDA (x)	na	79.5	35.1	14.1	8.8
Gross Margin (%)	1.1	9.1	25.6	41.1	43.9	FCF yield (%)	0.1	0.6	-0.3	-0.2	7.0
EBITDA (Adj)	5,167	8,851	20,119	50,495	79,835	Dividend yield (%)	0.1	0.2	0.9	2.9	4.4
EBITDA Margin (Adj) (%)	16.0	22.0	34.1	46.5	47.9	Payout ratio (%)	317	66	60	60	56
Depreciation	-6,433	-6,869	-7,113	-9,375	-11,822	ROE (%)	0.4	4.3	21.6	49.5	56.0
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	-1,267	1,982	13,006	41,119	68,012	EBITDA	5,167	8,851	20,119	50,495	79,835
EBIT Margin (Adj) (%)	-3.9	4.9	22.1	37.9	40.8	Working capital	-3,425	-2,143	-6,367	-11,711	-10,145
Net interest	238	144	149	90	160	Other	1,470	-36	-2,086	-7,109	-11,890
Associates	23	2	13	11	14	Operating cashflow	3,212	6,672	11,666	31,674	57,800
Non-Op/Except/Other Adj	1,170	217	370	256	256	Capex	-2,379	-2,422	-14,117	-33,000	-8,000
Pre-tax profit	163	2,346	13,537	41,476	68,442	Net acq/disposals	584	61	440	-11	-14
Tax	41	-399	-2,617	-7,466	-12,320	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	Investing cashflow	-1,795	-2,361	-13,677	-33,011	-8,014
Reported net profit	204	1,947	10,920	34,010	56,122	Dividends paid	-3,554	-646	-1,292	-6,552	-20,406
Net Margin (%)	0.6	4.8	18.5	31.3	33.6	Financing cashflow	-5,267	-4,202	-2,681	3,368	-20,486
Core NPAT	204	1,947	10,920	34,010	56,122	Net change in cash	-3,849	109	-4,692	2,032	29,301
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	833	4,250	-2,451	-1,326	49,800
Reported EPS (\$)	0.32	3.01	16.90	52.63	86.85						
Core EPS (\$)	0.32	3.01	16.90	52.63	86.85						
DPS (\$)	1.00	2.00	10.14	31.58	48.53						
CFPS (\$)	4.97	10.33	18.05	49.02	89.45						
FCFPS (\$)	1.29	6.58	-3.79	-2.05	77.07						
BVPS (\$)	70.34	71.38	85.06	127.43	182.58						
Wtd avg ord shares (m)	646	646	646	646	646						
Wtd avg diluted shares (m)	646	646	646	646	646						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	-23.6	24.4	46.8	84.1	53.7						
EBIT (Adj) (%)	-120.0	256.5	556.1	216.2	65.4						
Core NPAT (%)	-96.5	855.6	460.9	211.4	65.0						
Core EPS (%)	-96.5	855.6	460.9	211.4	65.0						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	8,481	8,590	3,898	5,929	35,230						
Accounts receivables	6,996	9,552	15,405	27,629	38,590						
Inventory	4,101	5,068	9,323	16,721	23,354						
Net fixed & other tangibles	40,450	35,874	43,362	66,986	63,164						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	2,910	2,124	3,141	4,645	5,997						
Total assets	62,938	61,207	75,128	121,910	166,334						
Accounts payable	1,518	1,711	2,395	3,486	4,821						
Short-term debt	0	0	0	0	0						
Long-term debt	0	0	0	10,000	10,000						
Provisions & other liab	15,970	13,374	17,767	26,080	33,534						
Total liabilities	17,488	15,085	20,163	39,566	48,354						
Shareholders' equity	45,450	46,123	54,966	82,344	117,980						
Minority interests	0	0	0	0	0						
Total equity	45,450	46,123	54,966	82,344	117,980						
Net debt (Adj)	-8,481	-8,590	-3,898	4,071	-25,230						
Net debt to equity (Adj) (%)	-18.7	-18.6	-7.1	4.9	-21.4						
For definitions of the items in this table, please click here .											

Figure 1. NYCPB – 2Q26 Results

(NT\$mn)	2Q26 Actual	1Q26 Actual	Q/Q	2Q25 Actual	Y/Y	2Q26 Citi	Diff.	2Q26 Cons.	Diff.
Revenue	13,575	11,177	21%	9,583	42%	13,344	2%	13,496	1%
Gross profit	3,360	1,771	90%	769	337%	3,048	10%	2,879	17%
Gross margin	24.7%	15.8%	+8.9 ppt	8.0%	+16.7 ppt	22.8%	+1.9 ppt	21.3%	+3.4 ppt
Op. profit	2,899	1,352	114%	366	692%	2,567	13%	2,507	16%
OP margin	21.4%	12.1%	+9.3 ppt	3.8%	+17.5 ppt	19.2%	+2.1 ppt	18.6%	+2.8 ppt
Net income	2,262	1,309	73%	-187	-1307%	2,184	4%	2,174	4%
EPS (NT\$)	3.50	2.03	73%	(0.29)	-1307%	3.38	4%	3.34	5%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. NYCPB – Earnings Revisions

(NT\$mn)	3Q26E			4Q26E			2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	16,197	16,176	0%	18,005	17,820	1%	58,955	58,517	1%	108,538	107,214	1%	166,798	164,586	1%
Sequential growth (%)	19%	21%		11%	10%		47%	46%		84%	83%		54%	54%	
Gross profit	4,738	4,486	6%	5,248	5,197	1%	15,117	14,502	4%	44,627	44,000	1%	73,299	72,477	1%
Opex	583	582	0%	648	642	1%	2,111	2,123	-1%	3,508	3,645	-4%	5,287	5,180	2%
Operating profit	4,155	3,904	6%	4,600	4,555	1%	13,006	12,379	5%	41,119	40,355	2%	68,012	67,297	1%
Pre-tax profit	4,253	4,002	6%	4,711	4,666	1%	13,537	12,930	5%	41,476	40,891	1%	68,442	67,907	1%
Net income	3,487	3,282	6%	3,863	3,826	1%	10,920	10,601	3%	34,010	33,531	1%	56,122	55,684	1%
EPS (NT\$)	5.40	5.08	6%	5.98	5.92	1%	16.90	16.41	3%	52.63	51.89	1%	86.85	86.18	1%
Gross margin (%)	29.2%	27.7%	+1.5 ppt	29.1%	29.2%	-0.0 ppt	25.6%	24.8%	+0.9 ppt	41.1%	41.0%	+0.1 ppt	43.9%	44.0%	-0.1 ppt
Opex ratio (%)	3.6%	3.6%	+0.0 ppt	3.6%	3.6%	-0.0 ppt	3.6%	3.6%	-0.0 ppt	3.2%	3.4%	-0.2 ppt	3.2%	3.1%	+0.0 ppt
Operating margin (%)	25.6%	24.1%	+1.5 ppt	25.5%	25.6%	-0.0 ppt	22.1%	21.2%	+0.9 ppt	37.9%	37.6%	+0.2 ppt	40.8%	40.9%	-0.1 ppt
Net margin (%)	21.5%	20.3%	+1.2 ppt	21.5%	21.5%	-0.0 ppt	18.5%	18.1%	+0.4 ppt	31.3%	31.3%	+0.1 ppt	33.6%	33.8%	-0.2 ppt

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates

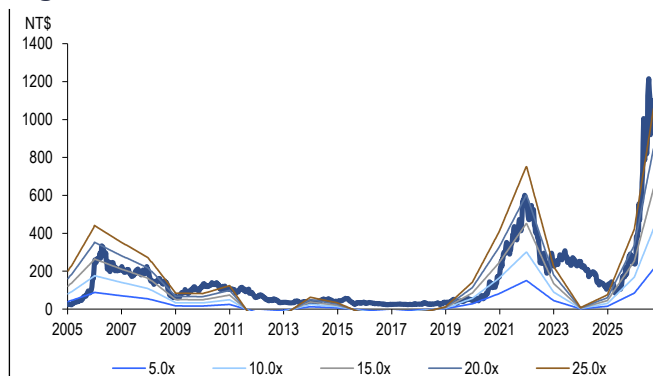
Figure 3. NYPCB – Forecast Summary

NYPCB (NT\$ in Mn, year-end Dec)	2026				2027				2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE											
Revenue	11,177	13,575	16,197	18,005	21,498	25,247	29,501	32,292	28,833	31,094	38,513	52,228	64,647	42,253	32,283	40,173	58,955	108,538	166,798
COGS	-9,406	-10,215	-11,460	-12,757	-13,565	-14,572	-17,063	-18,711	-28,483	-29,467	-32,761	-37,346	-38,779	-34,075	-31,926	-36,526	-43,838	-63,911	-93,499
Gross Profit	1,771	3,360	4,738	5,248	7,933	10,675	12,437	13,581	349	1,627	5,752	14,883	25,868	8,177	358	3,647	15,117	44,627	73,299
Operating Expense	-419	-460	-583	-648	-731	-858	-885	-1,033	-1,535	-1,555	-1,644	-2,012	-2,293	-1,847	-1,624	-1,665	-2,111	-3,508	-5,287
SG&A expenses	-419	-460	-583	-648	-731	-858	-885	-1,033	-1,535	-1,555	-1,644	-2,012	-2,293	-1,847	-1,624	-1,665	-2,111	-3,508	-5,287
R&D expenses	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
EBIT	1,352	2,899	4,155	4,600	7,202	9,817	11,552	12,548	-1,186	71	4,108	12,871	23,575	6,330	-1,267	1,982	13,006	41,119	68,012
Net Interest Income	34	37	39	39	15	15	30	30	5	50	37	14	114	308	238	144	149	90	160
Net Other Income	212	39	59	72	74	60	59	74	597	264	-142	210	1,673	469	1,192	219	382	267	270
Pre-Tax Profit	1,598	2,975	4,253	4,711	7,291	9,892	11,641	12,651	-584	385	4,003	13,095	25,362	7,107	163	2,346	13,537	41,476	68,442
Tax	290	714	765	848	1,312	1,781	2,095	2,277	0	-77	-337	-2,514	-5,946	-1,290	41	-399	-2,617	-7,466	-12,320
Net Profit	1,309	2,262	3,487	3,863	5,979	8,111	9,546	10,374	-584	308	3,666	10,582	19,416	5,817	204	1,947	10,920	34,010	56,122
EPS (NT\$)	2.03	3.50	5.40	5.98	9.25	12.55	14.77	16.05	-0.90	0.48	5.67	16.38	30.05	9.00	0.32	3.01	16.90	52.63	86.85
Revenue breakdown (%)																			
PCB	6%	9%	11%	9%	7%	6%	6%	5%	34%	31%	25%	19%	14%	17%	21%	14%	9%	6%	4%
PP	29%	28%	26%	26%	21%	21%	20%	17%	32%	29%	29%	31%	27%	22%	30%	29%	27%	20%	15%
FC	64%	62%	63%	65%	72%	72%	75%	78%	33%	41%	46%	50%	58%	62%	49%	57%	64%	75%	81%
Margins (%)																			
Gross Margin	15.8	24.7	29.2	29.1	36.9	42.3	42.2	42.1	1.2	5.2	14.9	28.5	40.0	19.4	1.1	9.1	25.6	41.1	43.9
Operating Margin	12.1	21.4	25.6	25.5	33.5	38.9	39.2	38.9	-4.1	0.2	10.7	24.6	36.5	15.0	-3.9	4.9	22.1	37.9	40.8
Net Margin	11.7	16.7	21.5	21.5	27.8	32.1	32.4	32.1	-2.0	1.0	9.5	20.3	30.0	13.8	0.6	4.8	18.5	31.3	33.6
Sequential Growth (%)																			
Revenue	0.1	21.5	19.3	11.2	19.4	17.4	16.8	9.5	8.3	7.8	23.9	35.6	23.8	-34.6	-23.6	24.4	46.8	84.1	53.7
Gross Profit	26.7	89.7	41.0	10.8	51.2	34.6	16.5	9.2	n.m.	365.5	253.6	158.7	73.8	-68.4	-95.6	919.6	314.5	195.2	64.2
EBIT	40.4	114.4	43.3	10.7	56.6	36.3	17.7	8.6	n.m.	n.m.	5659.7	213.3	83.2	-73.1	n.m.	n.m.	556.1	216.2	65.4
Net Profit	8.9	72.8	54.2	10.8	54.8	35.7	17.7	8.7	n.m.	n.m.	1089.4	188.6	83.5	-70.0	-96.5	855.6	460.9	211.4	65.0
EPS	8.9	72.8	54.2	10.8	54.8	35.7	17.7	8.7	n.m.	n.m.	1089.4	188.6	83.5	-70.0	-96.5	855.6	460.9	211.4	65.0

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates, Company Reports

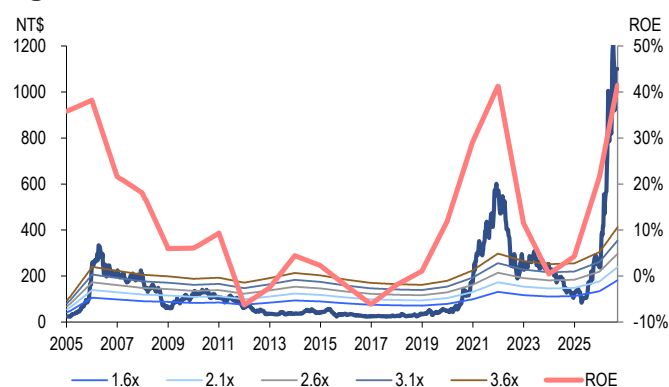
Figure 4. NYPCB – 12M Forward P/E Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: dataCentral, Citi Research

Figure 5. NYPCB – 12M Forward P/B Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

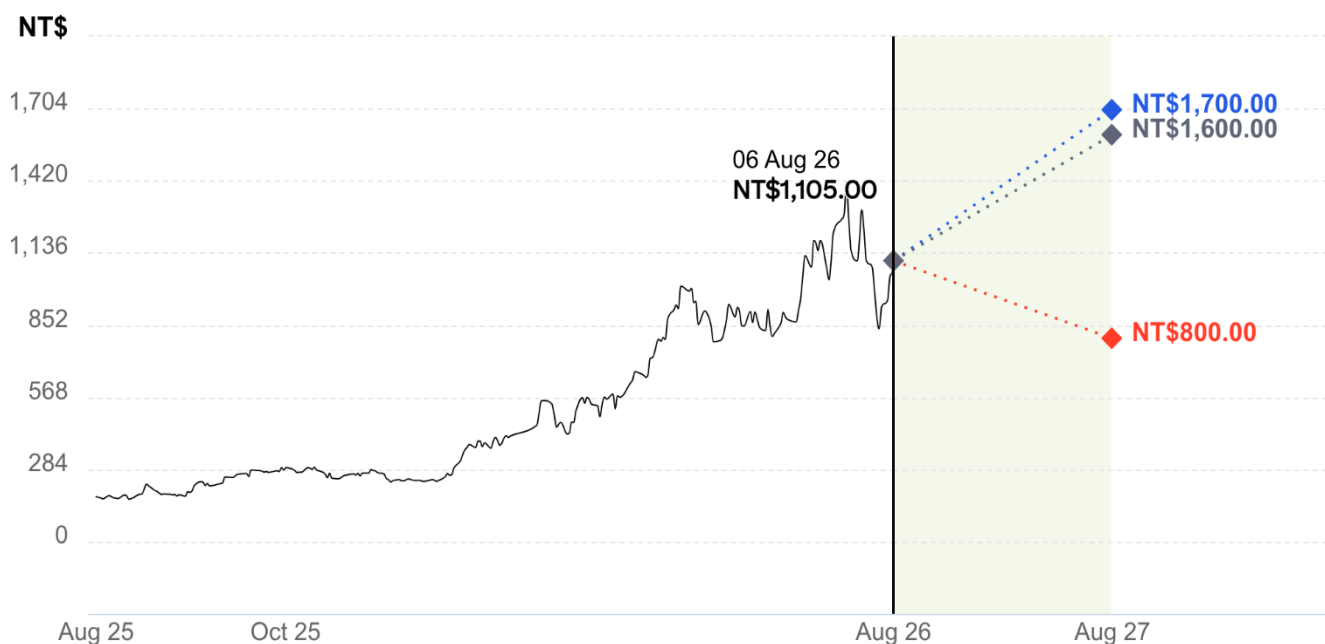
Source: dataCentral, Citi Research

Bull/Bear: NYPCB (8046.TW)

NT\$1,700.00
▲54% Upside

NT\$1,600.00
▲45% Upside

NT\$800.00
▼28% Downside



Spread 81pp
Current Price and expected returns (upside/downside) as of 06 Aug 2026

BULL Assumptions

- Higher-than-expected ABF shortage to boost pricing and margins
- Market share gains for new ABF/BT projects

BASE Assumptions

- +47%/+84% revenue growth for 2026E/27E
- 25.6%/41.1% GM and +22.1%/+37.9% OPM for 2026E/27E

BEAR Assumptions

- US entity list impact more than expected
- Weaker traditional PCB demand
- Lower-than-expected margins

NYP CB

Company description

Established in 1997, Nan Ya Printed Circuit Board (NYP CB) is a technology subsidiary of the Formosa Plastics Group. Nan Ya PCB's main products include conventional PCB, HDI, Flip Chip substrate (FCBGA and FCCSP), Wire Bond Substrate, etc. The company has manufacturing sites in Taiwan and Kunshan, China.

Investment strategy

We rate NYP CB shares as Buy. We believe ABF/BT should see a solid recovery in 2026 on robust AI demand: 1) NYP CB is the purest ABF play with a significant earnings turnaround, driven by growing chip sizes and layer counts for AI ASIC/networking; and 2) the BT business should benefit from price hikes on rising memory demand and T glass shortage. Considering T glass support from NYP CB's parent company, we believe NYP CB would have a better chance to win additional AI ASIC/networking business going forward.

Valuation

Our DCF-based TP for NYP CB is NT\$1,600. With a risk-free rate of 4.30% (10-year government bond rate), a market risk premium of 7% and an equity beta of 1.22 (YTD weekly share price), we calculate NYP CB's WACC as 12.8%. Our TP is equivalent to 94x/30x 2026E EPS/BVPS, which reflects its high P/E multiple during upcycles. NYP CB traded at 15-20x P/E during its 2003-2008 upcycle driven by PC/NB demand strength. In 2010-11 when the market was recovering from the global financial crisis, NYP CB traded at 25-35x P/E. In the last 2019-22 upcycle when ABF was in shortage, NYP CB traded at 30-40x P/E.

Risks

Key downside risks that could prevent the NYP CB shares from reaching our target price include: 1) weaker-than-expected ABF demand from key customers; 2) BT business seasonality weakness and fewer-than-expected price hikes; and 3) severe T glass shortages that cause a bottleneck to its production.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely

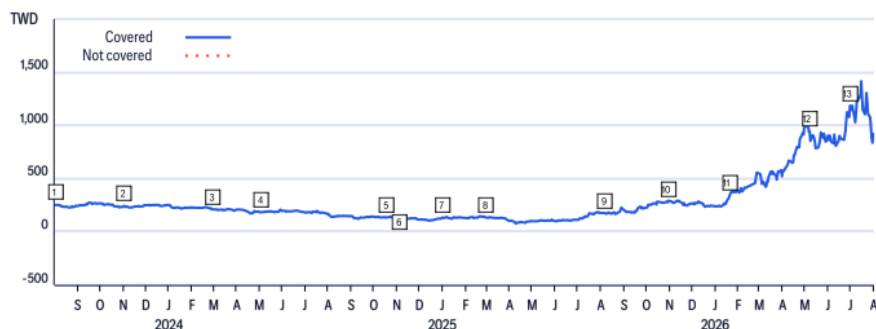
with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

NYP CB (8046.TW)

Ratings and Target Price History Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	03-Aug-23 11:47:20	2	*250.00	251.50
2	02-Nov-23 15:26:11	2	*241.00	243.00
3	29-Feb-24 14:01:07	2	*210.00	211.50
4	05-May-24 18:46:33	2	*200.00	184.50
5	20-Oct-24 21:10:34	2	*140.00	133.50

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	05-Nov-24 09:06:51	*3	*93.00	127.50
7	31-Dec-24 04:46:50	3	*85.00	130.50
8	28-Feb-25 11:17:59	3	*83.00	136.00
9	06-Aug-25 09:00:30	*2	*175.00	174.00
10	30-Oct-25 03:44:03	*1	*360.00	282.00

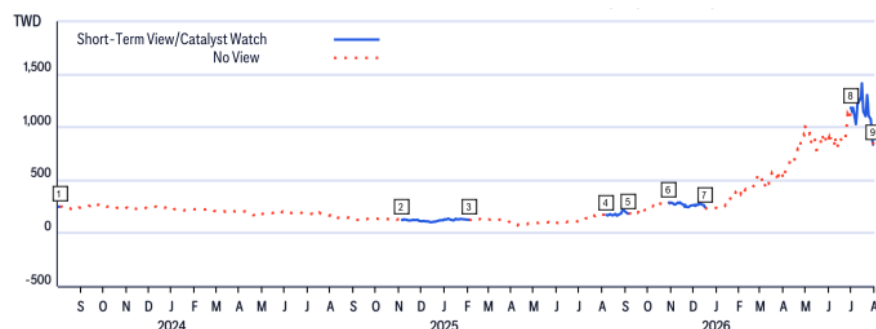
	Date	Rating	Target Price	Closing Price
11	20-Jan-26 10:55:31	1	*450.00	341.50
12	07-May-26 19:18:42	1	*1,100.00	947.00
13	30-Jun-26 10:10:46	1	*1,550.00	1,185.00

Rating/target price changes above reflect Eastern Time

NYP CB (8046.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-23 10:33:00	Remove CW	Downside	30 Days	252.50
2	05-Nov-24 04:06:51	Add CW	Downside	90 Days	127.50
3	03-Feb-25 19:44:35	Remove CW	Downside	90 Days	127.50

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
4	06-Aug-25 05:00:30	Add STV	Upside	30 Days	174.00
5	05-Sep-25 14:02:30	Remove STV	Upside	30 Days	187.50
6	29-Oct-25 23:44:03	Add CW	Upside	90 Days	290.50

	Date	Action	Expected Direction	Duration	Closing Price
7	17-Dec-25 23:32:09	Remove CW	Upside	90 Days	243.50
8	30-Jun-26 06:10:46	Add CW	Upside	30 Days	1,185.00
9	30-Jul-26 21:35:49	Remove CW	Upside	30 Days	837.00

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from NYP CB in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: NYP CB.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: NYP CB.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in

our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited Jack Chen; Laura (Chia Yi) Chen; Nicholas Lai

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates. Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail

clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia : This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinks/vcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHVjRGltZyY2xvc3VyZUh0bWxzL2dkaWV9kaXNfc2ViaV9UZjJtc29mVXNlLmh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial

status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States and Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht – BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing

or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

06 Aug 2026 12:43:24 ET | 16 pages

WinWay Technology (6515.TW)

2Q26 Margin Miss Weighs, but Correction Already Reflects Headwinds; Cut TP; Reiterate Buy

CITI'S TAKE

WinWay's 2Q26 results missed on margins, with net profit coming in below Citi/cons forecasts. GPM weakness reflected an unfavorable product mix, alongside costs from scaling up new test socket capacity to meet robust backlog. While contract-based pricing limits near-term pass-through on existing projects, we expect scale effects to support recovery as capacity ramps: Jul-26 revs reached another record high. We trim 2026E/27E earnings by 4%/7% and cut our TP to NT\$11,500 (from NT\$13,000; 41x vs. 45x 2H27-1H28E EPS) to reflect margin headwinds. We believe the recent share price correction (c.-16% since Jul vs. TAIEX at c.-4%) already reflects these headwinds, offering a more attractive entry point. Reiterate Buy.

2Q26 results missed on margins — WinWay reported 2Q26 net profit of NT\$672m (-4% QoQ/+228% YoY), missing Citi/cons forecasts by 16%/11%, driven primarily by weaker-than-expected margins. GPM came in at 38.3% (-4.7ppts QoQ/-10.6ppts YoY), below cons estimates, reflecting unfavorable mix (probe card contribution at 28% of revs), alongside costs associated with scaling up new capacity for AI/HPC test sockets to keep pace with a substantial order backlog. We believe WinWay's capacity expansion roadmap will continue to weigh on margins over the near term.

Growth trajectory remains intact despite margin pressure — As WinWay's projects and products are highly customized, it remains difficult to pass through pricing increases on existing programs to key customers under contract-based term. However, we expect rev to benefit from scale effects as new capacity comes online. We now model 3Q26 revenue to grow 25% QoQ, with margins seeing a mild recovery. WinWay reported Jul-26 rev of NT\$1.6bn (+10% MoM/+156% YoY), driven by continued AI/HPC demand alongside capacity ramp-up. Sustained AI GPU/server CPU shipments and AI ASIC project ramp-up will support 2H26 growth.

Implications — We cut 2026E/27E earnings forecasts by 4%/7% and slightly tweak 2028E estimates, reflecting updated guidance and margin assumptions. We lower TP to NT\$11,500 (from NT\$13,000), implying 41x 2H27E-1H28E EPS (from 45x), reflecting near-term margin pressure. That said, we believe the recent share correction has already priced in the headwinds, offering a more attractive valuation entry point. We continue to favor WinWay as a core beneficiary of rising testing complexity for advanced chips across diverse platforms. Reiterate Buy.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	1,186	34.31	153.7	197.5	43.9	26.3	0.2
2025A	1,673	46.97	36.9	144.3	37.6	27.9	0.4
2026E	3,428	95.48	103.3	71.0	26.9	43.7	0.7
2027E	7,218	200.79	110.3	33.7	15.1	56.2	1.0
2028E	13,155	365.96	82.3	18.5	8.4	57.1	2.1

Source: Powered by dataCentral

Buy / High Risk

Catalyst Watch: Upside, expires 25-AUG-26

Price (06 Aug 26 13:30) NT\$6,775.00

Target price NT\$11,500.00↓
from NT\$13,000.00

Expected share price return 69.7%

Expected dividend yield 1.0%

Expected total return 70.7%

Market Cap NT\$244,158M
US\$7,564M

Price Performance

(RIC: 6515.TW, BB: 6515 TT)



Michael Hung^{AC}

+886-2-8726-9092

michael.hung@citi.com

Laura (Chia Yi) Chen

+886-2-8726-9090

laura.cy.chen@citi.com

Jack Chen

+886-2-8726-9091

jack1.chen@citi.com

Nicholas Lai

+886-2-8726-9093

nicholas.lai@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

6515.TW: Fiscal year end 31-Dec						Price: NT\$6,775.00; TP: NT\$11,500.00; Market Cap: NT\$244,158m; Recomm: Buy/High Risk					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	5,798	7,857	15,754	26,582	41,934	PE (x)	na	na	71.0	33.7	18.5
Cost of sales	-3,265	-4,301	-9,396	-14,945	-21,756	PB (x)	43.9	37.6	26.9	15.1	8.4
Gross profit	2,534	3,556	6,358	11,637	20,179	EV/EBITDA (x)	na	na	56.5	26.3	14.1
Gross Margin (%)	43.7	45.3	40.4	43.8	48.1	FCF yield (%)	0.3	0.6	0.7	0.8	3.2
EBITDA (Adj)	1,528	2,256	4,270	9,111	16,606	Dividend yield (%)	0.2	0.4	0.7	1.0	2.1
EBITDA Margin (Adj) (%)	26.4	28.7	27.1	34.3	39.6	Payout ratio (%)	31	53	52	33	38
Depreciation	-160	-186	-231	-357	-576	ROE (%)	26.3	27.9	43.7	56.2	57.1
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	1,368	2,070	4,039	8,754	16,030	EBITDA	1,528	2,256	4,270	9,111	16,606
EBIT Margin (Adj) (%)	23.6	26.3	25.6	32.9	38.2	Working capital	951	-960	189	0	0
Net interest	9	44	44	44	44	Other	-1,431	507	-1,561	-4,859	-6,683
Associates	-1	2	20	0	0	Operating cashflow	1,049	1,803	2,899	4,251	9,923
Non-Op/Except/Other Adj	59	-54	79	0	0	Capex	-299	-280	-1,099	-2,199	-2,200
Pre-tax profit	1,435	2,061	4,182	8,798	16,074	Net acq/disposals	112	-122	-316	0	0
Tax	-249	-388	-755	-1,580	-2,919	Other	-898	1,124	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	Investing cashflow	-1,084	722	-1,416	-2,199	-2,200
Reported net profit	1,186	1,673	3,428	7,218	13,155	Dividends paid	-382	-896	-1,802	-2,399	-5,053
Net Margin (%)	20.5	21.3	21.8	27.2	31.4	Financing cashflow	516	-1,057	2,022	2,343	2,464
Core NPAT	1,186	1,673	3,428	7,218	13,155	Net change in cash	485	1,470	3,505	4,396	10,187
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	750	1,523	1,799	2,053	7,723
Reported EPS (\$)	34.31	46.97	95.48	200.79	365.96						
Core EPS (\$)	34.31	46.97	95.48	200.79	365.96						
DPS (\$)	10.68	24.85	50.00	66.58	140.20						
CFPS (\$)	30.35	50.61	80.74	118.27	276.04						
FCFPS (\$)	21.70	42.75	50.12	57.10	214.84						
BVPS (\$)	154.25	179.95	252.19	449.49	809.09						
Wtd avg ord shares (m)	34.6	35.6	35.9	35.9	35.9						
Wtd avg diluted shares (m)	34.6	35.6	35.9	35.9	35.9						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	57.5	35.5	100.5	68.7	57.8						
EBIT (Adj) (%)	145.7	51.3	95.2	116.7	83.1						
Core NPAT (%)	155.5	41.1	104.9	110.6	82.3						
Core EPS (%)	153.7	36.9	103.3	110.3	82.3						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	1,124	2,594	6,099	10,494	20,682						
Accounts receivables	1,835	2,151	3,844	7,048	10,442						
Inventory	757	842	1,618	2,587	3,498						
Net fixed & other tangibles	2,497	2,562	3,425	5,167	6,629						
Goodwill & intangibles	38	51	48	48	48						
Financial & other assets	1,329	844	2,573	5,708	9,029						
Total assets	7,580	9,044	17,607	31,051	50,327						
Accounts payable	762	1,099	2,092	3,332	4,499						
Short-term debt	31	0	0	0	0						
Long-term debt	147	0	2,663	5,006	7,470						
Provisions & other liab	1,100	1,500	3,625	6,270	8,759						
Total liabilities	2,040	2,599	8,381	14,608	20,728						
Shareholders' equity	5,540	6,445	9,226	16,444	29,599						
Minority interests	0	0	0	0	0						
Total equity	5,540	6,445	9,226	16,444	29,599						
Net debt (Adj)	-946	-2,594	-3,435	-5,488	-13,211						
Net debt to equity (Adj) (%)	-17.1	-40.2	-37.2	-33.4	-44.6						

For definitions of the items in this table, please click [here](#).

Figure 1. WinWay - 2Q26 earnings review

(NT\$m)	2Q26 Actual	1Q26 Actual	Q/Q	2Q25 Actual	Y/Y	2Q26 Citi	Diff.	2Q26 Cons.	Diff.
Revenue	3,523	2,980	18%	1,522	131%	3,461	2%	3,405	3%
Gross profit	1,350	1,282	5%	746	81%	1,509	-11%	1,454	-7%
Gross margin	38.3%	43.0%	-4.7 ppt	49.0%	-10.6 ppt	43.6%	-5.3 ppt	42.7%	-4.4 ppt
Op. profit	825	777	6%	460	79%	953	-13%	914	-10%
OP margin	23.4%	26.1%	-2.6 ppt	30.2%	-6.8 ppt	27.5%	-4.1 ppt	26.8%	-3.4 ppt
Net income	672	699	-4%	205	228%	796	-16%	757	-11%
EPS (NT\$)	18.70	19.54	-4%	5.76	225%	22.26	-16%	20.62	-9%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research Estimates, TEJ

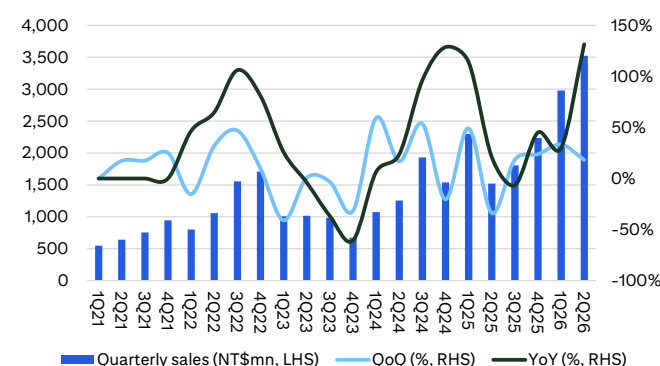
Figure 2. WinWay - Earnings estimates revision

(NT\$m)	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	15,754	14,569	8%	26,582	25,835	3%	41,934	40,828	3%
Sequential growth	101%	85%		69%	77%		58%	58%	
Gross profit	6,358	6,555	-3%	11,637	12,651	-8%	20,179	20,765	-3%
Opex	2,319	2,357	-2%	2,883	3,331	-13%	4,149	4,987	-17%
Operating profit	4,039	4,198	-4%	8,754	9,320	-6%	16,030	15,778	2%
Pre-tax profit	4,182	4,332	-3%	8,798	9,364	-6%	16,074	15,822	2%
Net income	3,428	3,576	-4%	7,218	7,741	-7%	13,155	13,059	1%
EPS (NT\$)	95.48	100.04	-5%	200.79	216.54	-7%	365.96	365.29	0%
Gross margin	40.4%	45.0%	-4.6 ppt	43.8%	49.0%	-5.2 ppt	48.1%	50.9%	-2.7 ppt
Opex ratio	14.7%	16.2%	-1.5 ppt	10.8%	12.9%	-2.0 ppt	9.9%	12.2%	-2.3 ppt
Operating margin	25.6%	28.8%	-3.2 ppt	32.9%	36.1%	-3.1 ppt	38.2%	38.6%	-0.4 ppt
Net margin	21.8%	24.5%	-2.8 ppt	27.2%	30.0%	-2.8 ppt	31.4%	32.0%	-0.6 ppt

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research Estimates

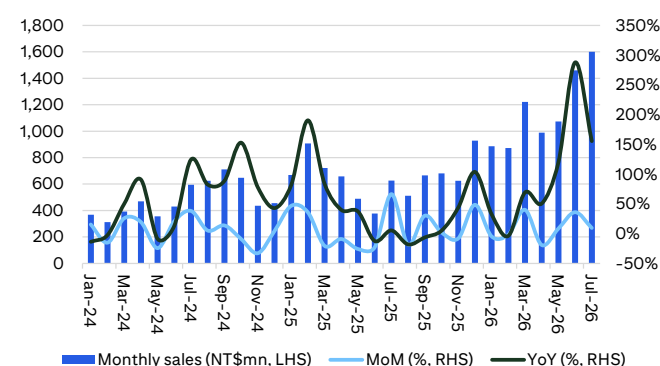
Figure 3. WinWay - Quarterly sales trend



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research

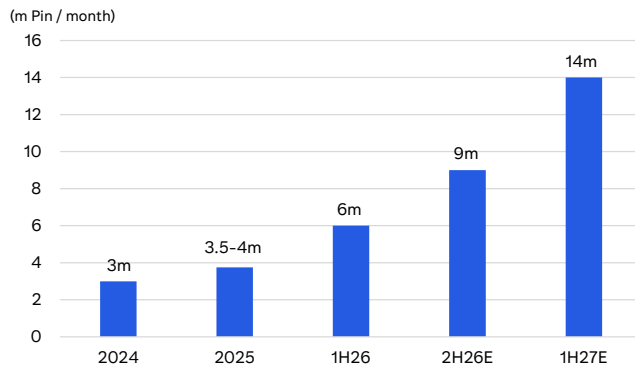
Figure 4. WinWay - Monthly sales trend



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research

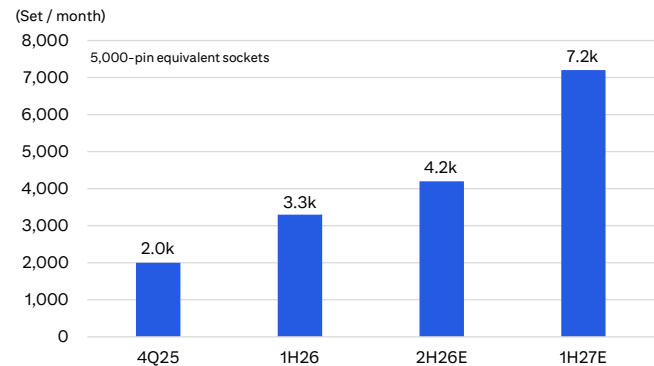
Figure 5. WinWay - In-house spring probe capacity trend



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research

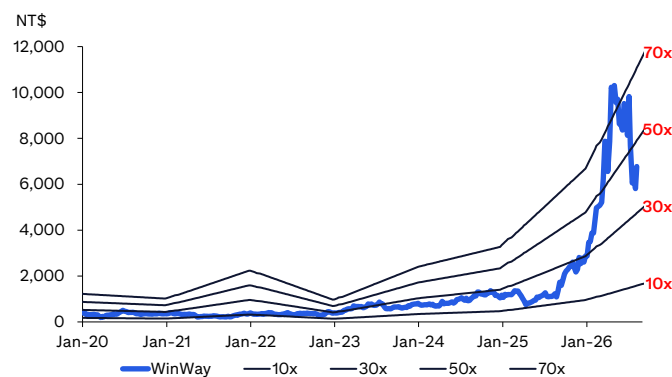
Figure 6. WinWay - Test socket capacity trend



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research

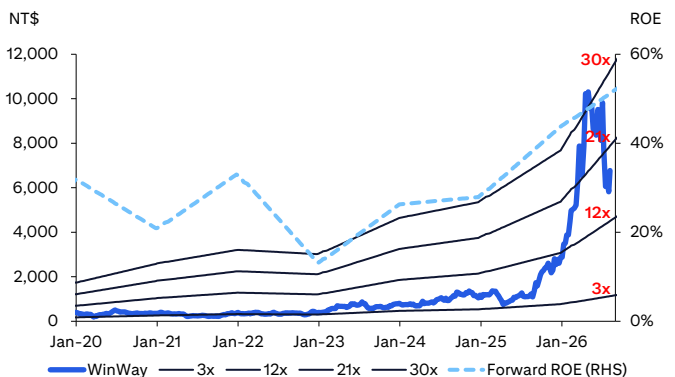
Figure 7. WinWay - Forward P/E band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research Estimates, TEJ

Figure 8. WinWay - Forward P/B band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research Estimates, TEJ

Figure 9. WinWay - Quarterly earnings forecast

(NT\$ in Mn, year-end Dec)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	2,980	3,523	4,404	4,846	5,318	6,040	7,042	8,183	7,857	15,754	26,582	41,934
Gross Profit	1,282	1,350	1,760	1,965	2,217	2,556	3,114	3,750	3,556	6,358	11,637	20,179
OPEX	(505)	(525)	(635)	(654)	(653)	(685)	(736)	(809)	(1,487)	(2,319)	(2,883)	(4,149)
Operating profit	777	825	1,125	1,312	1,564	1,872	2,378	2,941	2,070	4,039	8,754	16,030
Total Non-OP	97	22	9	15	8	13	9	15	(8)	143	44	44
Pre-tax profit	874	848	1,134	1,326	1,571	1,885	2,386	2,955	2,061	4,182	8,798	16,074
Income tax	(175)	(175)	(199)	(204)	(316)	(390)	(419)	(455)	(388)	(755)	(1,580)	(2,919)
Net Profit	699	672	935	1,122	1,256	1,495	1,967	2,500	1,673	3,428	7,218	13,155
EPS (NT\$)	19.54	18.70	26.00	31.21	34.94	41.58	54.72	69.55	46.97	95.48	200.79	365.96
Revenue mix												
Test & Burn-in socket	65%	64%	66%	64%	67%	68%	70%	75%	56%	65%	70%	77%
Coaxial socket	47%	50%	56%	56%	59%	59%	64%	69%	43%	53%	63%	72%
RF & Plastic socket	17%	12%	8%	6%	7%	7%	6%	5%	9%	10%	6%	4%
Burn-in socket	1%	2%	2%	1%	1%	1%	1%	1%	4%	2%	1%	1%
Contact element	7%	6%	6%	5%	5%	5%	5%	4%	10%	6%	5%	4%
Probe card	26%	28%	27%	29%	27%	26%	23%	20%	29%	28%	24%	19%
Others	3%	2%	2%	1%	1%	1%	1%	1%	4%	2%	1%	1%
Margins (%)												
Gross profit	43.0%	38.3%	40.0%	40.6%	41.7%	42.3%	44.2%	45.8%	45.3%	40.4%	43.8%	48.1%
OPEX to sales	16.9%	14.9%	14.4%	13.5%	12.3%	11.3%	10.4%	9.9%	18.9%	14.7%	10.8%	9.9%
Operating Margin	26.1%	23.4%	25.6%	27.1%	29.4%	31.0%	33.8%	35.9%	26.3%	25.6%	32.9%	38.2%
Pre-tax profit	29.3%	24.1%	25.7%	27.4%	29.6%	31.2%	33.9%	36.1%	26.2%	26.5%	33.1%	38.3%
Net Margin	23.4%	19.1%	21.2%	23.2%	23.6%	24.7%	27.9%	30.6%	21.3%	21.8%	27.2%	31.4%
Y/Y												
Net sales	29.7%	131.4%	144.1%	117.0%	78.4%	71.4%	59.9%	68.9%	35.5%	100.5%	68.7%	57.8%
Gross profit	14.4%	81.1%	131.9%	111.0%	73.0%	89.3%	76.9%	90.8%	31.7%	118.5%	59.1%	45.6%
Operating profit	6.8%	79.4%	176.3%	176.4%	101.4%	126.8%	111.3%	124.2%	51.3%	95.2%	116.7%	83.1%
Pre-tax profit	14.2%	219.9%	146.9%	132.1%	79.8%	122.4%	110.4%	122.8%	43.7%	102.9%	110.4%	82.7%
Net Margin	14.0%	228.0%	151.4%	132.2%	79.8%	122.4%	110.4%	122.8%	41.1%	104.9%	110.6%	82.3%
Q/Q												
Net sales	33.4%	18.2%	25.0%	10.0%	10%	14%	17%	16%				
Gross profit	37.6%	5.4%	30.4%	11.6%	13%	15%	22%	20%				
Operating profit	63.6%	6.2%	36.4%	16.6%	19%	20%	27%	24%				
Pre-tax profit	52.9%	-3.0%	33.8%	17.0%	18%	20%	27%	24%				
Net Margin	44.5%	-3.8%	39.1%	20.0%	12%	19%	32%	27%				

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research Estimates

Catalyst Watch on WinWay Technology (6515.TW)

Direction:	Upside
Duration:	Within 90 Days (expires 25 Aug 2026)
Date Added:	26 May 2026
Catalyst:	Earnings

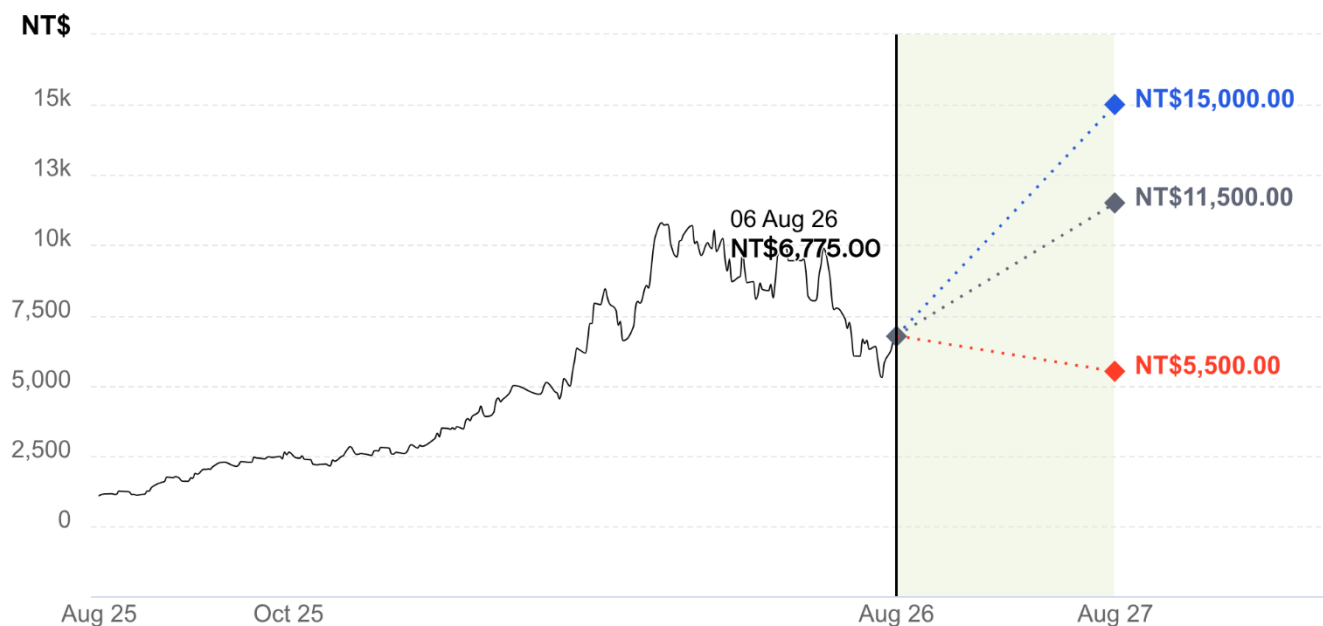
We have an accelerating earnings growth outlook for WinWay as a dominant beneficiary of the rising demand for AI GPUs and the SLT volume multiplier. Specifically, we believe the mass production of next-gen US AI GPU in 2Q26 and the upcoming AI ASIC project in 2H26 could be the catalysts. With leading positions in high-speed coaxial sockets and thermal management, combined with an improving sales mix from MEMS expansion, we are positive over WinWay's structural growth outlook.

Bull/Bear: WinWay Technology (6515.TW)

NT\$ 15,000.00
▲121% Upside

NT\$ 11,500.00
▲70% Upside

NT\$ 5,500.00
▼19% Downside



Spread 140pp
Current Price and expected returns (upside/downside) as of 06 Aug 2026

BULL Assumptions

- Accelerated test socket revenue growth of +180% in 2026E, driven by rapid adoption of 224G coaxial sockets and higher-than-expected SLT station deployments for the next-gen AI GPU/ASIC architecture.
- Target PE multiple of 50x

BASE Assumptions

- Test socket revenue growth of +131% in 2026E, supported by steady transition to next-gen AI GPU platform and the 4-5x volume multiplier in the SLT market.
- Target PE multiple of 41x

BEAR Assumptions

- Weaker-than-expected test socket revenue growth of +60% in 2026E, due to potential delays in next-gen GPU roadmaps or intensified competition in the high-frequency socket segment.
- Target PE multiple of 35x

WinWay Technology

Company description

WinWay, founded in 2001, is a global leader in semiconductor test interfaces and the world's largest test socket supplier. Originally specializing in high-speed solutions for IC design and OSAT firms, WinWay now dominates the AI and HPC sectors. The company provides a comprehensive portfolio including coaxial sockets, burn-in sockets, probe cards (MEMS & VPC), and advanced thermal management systems. Its flagship hypersocket technology and vertically integrated manufacturing enable high-performance validation for next-generation accelerators. WinWay's diverse solutions support mission-critical applications across global AI infrastructure, networking, and high-speed computing.

Investment strategy

We rate WinWay at Buy/High Risk (1H). We believe WinWay is well positioned for the AI infrastructure cycle, with dominance in the US AI GPU testing supply chain and participation in US CSP AI ASIC projects. Its leading proprietary coaxial socket and hypersocket technologies should provide a defensible technical moat as 224G SerDes and extreme package complexities expand. The company captures a wider share of the test interface market through its premium sockets and high-quality service, providing a multi-layered earnings engine supported by structural growth in AI testing intensity.

Valuation

We value WinWay using a PE-based approach that factors in earnings momentum and likely expansion of its addressable market. Our target price of NT\$11,500 is derived from applying c.41x to 2H27E-1H28E EPS, higher than the upper end of its long-term PE range, which we believe is justified given the company's entrenched position in the high-end AI GPU testing supply chain, rising contribution from coaxial socket and SLT solutions, and the increasing value of test content per module. With these structural drivers in place, and as we believe the market is starting to value it as an AI/HPC play (rather than a consumer electronics stock), we expect the multiple to hold at a premium relative to its historical averages.

Risks

Our quant rating system rates the WinWay stock High Risk based on its historical volatility.

Key downside risks that could impede the stock from reaching our target price and our earnings forecasts include: 1) client and sector concentration – specifically any delays in US AI GPU product roadmap could impact the business outlook for WinWay; 2) intensifying competition in coaxial and hypersockets from global peers; 3) faster-than-expected testing algorithm optimization, which could shorten testing durations and reduce the anticipated hardware demand multiplier; and 4) delay of MEMS Phase 2 mass production.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

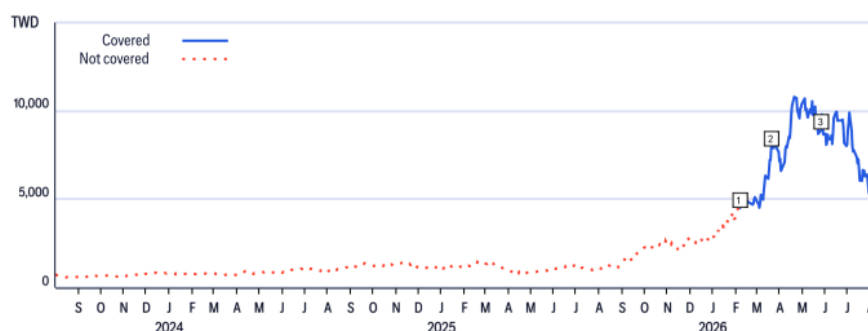
The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

WinWay Technology (6515.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



Date	Rating	Target Price	Closing Price
06-Feb-26 05:59:37	*1H	*6,000.00	4,510.00

*Indicates Change

Date	Rating	Target Price	Closing Price
20-Mar-26 02:14:37	1H	*10,000.00	7,930.00

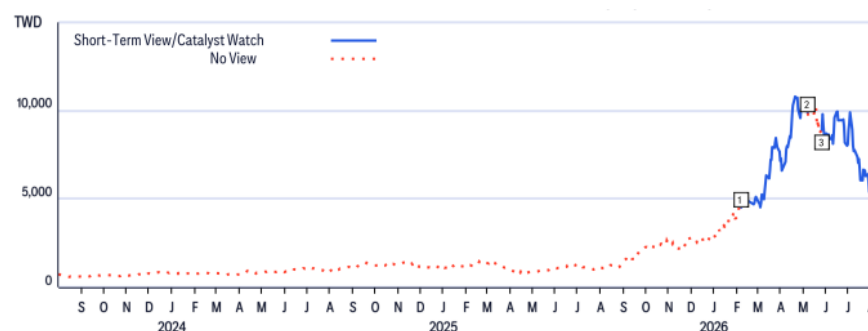
Date	Rating	Target Price	Closing Price
26-May-26 19:30:25	1H	*13,000.00	8,905.00

Rating/target price changes above reflect Eastern Time

WinWay Technology (6515.TW)

Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



Date	Action	Expected Direction	Duration	Closing Price
06-Feb-26 00:59:37	Add CW	Upside	90 Days	4,510.00

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
07-May-26 21:43:12	Remove CW	Upside	90 Days	9,860.00

Date	Action	Expected Direction	Duration	Closing Price
26-May-26 15:30:25	Add CW	Upside	90 Days	8,905.00

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from WinWay Technology in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: WinWay Technology.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: WinWay Technology.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is

moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited Jack Chen; Michael Hung; Laura (Chia Yi) Chen; Nicholas Lai

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar (parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia: This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (IFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvchViRGlzY2xvc3VyZUh0bWxzL2dkbV9kaXNfc2V9aV90ZXJtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The

securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in a CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the

securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, redisseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST